

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT,

V.

NYK LINE (NORTH AMERICA), INC.,

RESPONDENT.

**COMPLAINANT D.F. YOUNG, INC.'S MOTION TO RECOGNIZE THE TERMS OF
RESPONDENT, NYK LINE's (N.A.), INC.'S TARIFF 156 AND BILLS OF LADING, OR, IN
THE ALTERNATIVE, MOTION TO RE-OPEN AND REMAND PURSUANT TO FMC RULES
230(d) & (e)**

Thomas J. Wagner, Esquire
LAW OFFICES OF THOMAS J. WAGNER, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Boulevard
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel.: 215.790.0761
PA Bar ID No. 52876
Attorneys for Complainant, D. F. Young, Inc.

BEFORE THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
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Complainant, D. F. Young, Inc. ("DFY"), seeks:

- a. An Order that the record reflect the terms of Respondent NYK Line (N.A.), Inc.'s ("NYK") Bills of Lading and Tariff 156 (all included in NYK's public/published Tariff 156) or, in the alternative;
- b. An Order to re-open the proceeding and remand pursuant to FMC Rule 230(d) so that the Tariff 156's terms may be entered in to the record and considered, and in support thereof, states:

1. This matter is DFY's claim for Freight Forwarder Compensation ("FFC") against NYK under the terms of NYKS Tariff 156, a Tariff filed with the Commission. DFY's seeks the proposed Orders to clarify the record in light of a recently discovered clerical error. The individual who might have made that error is no longer employed in order to acquire a verified statement from. Thus, DFY's undersigned counsel submits the following Motion:

2. In preparation of DFY's Exceptions pursuant to FMC Rule 227 to the August 1, 2017 Initial Decision in this matter, the undersigned counsel discovered that a clerical error resulted in a filing

mistake when DFY's Motions for and in Opposition to Respondent's MSD filings ("DFY MSD filings" or "MSD") were filed in January 2017.

3. Counsel determined that Exhibit "A" submitted with DFY's MSD filings was not correct. Instead of containing what is described as in DFY's filings as "A. Respondent's Answers to Complainant's Request for Admissions"; the Exhibit "A" actually submitted with the MSD filings was a duplicate copy of DFY's MSD Exhibit "T. Respondent's Answers to Complainant's Interrogatories".

4. A true and correct copy of the intended Exhibit "A" is attached as Exhibit "A" to this Motion. A true and correct copy of what was actually submitted instead with DFY's MSD filings through clerical error as Exhibit "A" is attached hereto as Exhibit "B".

5. The actual/correct Exhibit "A" contained NYK's admission that "On March 1, 2015, Respondent had a tariff published or otherwise made available to the public which was solely applicable to Ro Ro shipments, i.e., Tariff 156 which provided at Rule 9 that compensation will be paid ocean freight forwarders in accordance with the rules and regulations promulgated by the Shipping Act of 1984 and only where such forwarder has complied with all the requirements of such Act, and, except as so admitted, denies RFA No. 1." (emphasis added), along with relevant portions of NYK Tariff 156.

6. DFY notes that both parties agree Tariff 156 is published to the public. Thus, DFY submits that the Commission may take judicial notice of the filings and terms simply by reference from the parties. *46 CFR* § 502.226.

7. DFY submits that Tariff 156's terms may also be referenced by the parties by name and page number. *46 CFR* § 502.161 DFY notes that Tariff 156 has no page numbers and is using NYK document production numbers when referring to the terms.

8. The import of this Motion is that a review of the Initial Decision reveals that Decision clearly did not review any of the fundamentally accepted terms of Tariff 156 that had to have led to the incorrect decision.

9. For example, Tariff 156 identifies that “4. *(Carriers Tariff) The terms of the carriers applicable tariff are deemed to be incorporated herein. Copies of the relevant provisions of the applicable tariff are obtainable from the carrier upon request. In the case of inconsistency between this Bill of Lading and the applicable tariff, this Bill of Lading shall prevail.*” (Exhibit “A”, attached at NYK 54975).

10. Tariff 156 terms identifies that the “rate” **and** “heavy lift” **and** “extra length” portions of the Tariff do not apply – and are not applicable. (Exhibit “A” at NYK 54886)(**emphasis added**).

11. NYK also incorporated these materials by reference in their Answers to DFY's interrogatories (*see*, Exhibit “A” Respondent's Answers to Complainants Interrogatories" to DFY's Motion for Summary to Decision; “Response No. 25” incorporating NYK’s document production by reference pursuant to §502.206 and “conclusively establish[ing]” the terms of the tariff. 46 CFR §502.207 pursuant to DFY's Request for Admissions.)

12. DFY brings this concern to the Commission in that it was DFY’s clerical error that omitted Tariff 156’s terms from Exhibit “A”. DFY submits that the Tariff terms – including NYK’s Bill of Lading terms - are obvious, relevant, material and demonstrate that the tariff does apply – something that is not reflected in the Initial Decision.

13. Instead, the Initial Decision concluded that because “DFY has not established as a matter [o]f (SIC) law that the tariff applied to these service contract shipments”, DFY’s Summary Judgment was denied and NYK’s Summary Decision was granted. *id.* at 15 (Initial Decision, Exhibit “D”)

14. However, Tariff 156 Bill of Lading terms incorporate the Tariff for every DFY/NYK shipment.

15. The NYK/DFY Power of Attorney (Exhibit "C" to this Motion) specifically incorporates the Bill of Lading terms into every shipment:

4. BILL OF LADING FORMS. For the Ford shipments identified above, Forwarding Agent shall . . . incorporate by reference into all bills of lading issued hereunder⁴ the terms and conditions of CARRIERS regular form bill of lading . . . CARRIER, Forwarding Agent and Ford agree that the terms and conditions of CARRIERS regular form bill of lading shall apply to all shipments hereunder . . ."
(*Exhibit "C"*)

16. Thus, there is no real dispute that not only did NYK intend to have the Tariff apply here, it actually required DFY to incorporate its tariff into all shipments that DFY issued Bills of Lading under. An example of those Bills of Lading are attached as *Exhibit "E"*.

17. Therefore, NYK has agreed that the tariff applies.

18. In addition, the Initial Decision at 14 – 15 concluded the tariff, by its express terms, did not apply. In doing so, the I.D. interpreted the tariff language:

The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and heavy lift and extra length charges, if applicable..." The tariff rate and heavy lift and extra length charges, if applicable
(*emphasis added*)

19. The Initial Decision concluded that that the term "if applicable" only applied to "heavy lift and extra length charges" and disregarded the simple definition of "gross freight" as the measure of FFC. However, Tariff 156 identifies that the tariff rate **and** the heavy lift **and** the extra length charges, are not applicable. (Exhibit "A" hereto, Tariff 156, NYKS 54886). So, it appears that the Initial Decision ignored the actual terms of the tariff that it was interpreting.

20. As important, given that each term is separated by the conjunction "and" there was no basis in fact or logic to separate the 2 terms "heavy lift" and extra length" from the term "tariff rate" in determining applicability, the tariff terms resolve this issue as well.

21. According to the tariff, neither the "tariff rate", "heavy lift", nor "extra length charges" are applicable. A simple view of Tariff 156 confirms this fundamental error in the Initial Decision

22. Exhibit 7 to DFY's Opposition to NYK's Motion for Summary Decision and Exhibit 11 to DFY's Opposition to NYK's Motion for Summary Decision reaffirms this point. NYK attempted to have DFUY waive it's right to FFC while acknowledging that the applicable tariff provided for freight forwarder compensation. (*Exhibit "C"*)

23. ["DFY] requested 'Please confirm that you still support the freight forwarder's commission structure which is filed in your governing tariff, applicable to shipments exporting from the US.'" (*Exhibit "C"*)

24. NYK's replied "thanks for your message below. While we understand your concerns regarding freight forwarder's compensation in our applicable tariff, if the parties agree this requirement can be waived. It has been the intent of NYK to execute a similar Power of Attorney to that which was accepted by your predecessor." (*Exhibit "C"*)

25. Rule 230(d) governing practice before the FMC provides that:

(d) Reopening by the Commission. Where a decision has been issued by the presiding officer or where a decision by the presiding officer has been omitted, but before issuance of Commission decision, the Commission may, after petition and reply in conformity with paragraphs (a) and (b) of this section, or upon its own motion, reopen a proceeding for the purpose of taking further evidence.

(e) Remand by the Commission. Nothing contained in this rule shall preclude the Commission from remanding a proceeding to the presiding officer for the taking of additional evidence or determining points of law.

26. Primarily, DFY submits that simply recognizing Tariff 156 terms as set forth in the tariff that was, through clerical error, not submitted as Exhibit "A" to its Motion for Summary Decision will not require a re-opening. Rather, DFY submits that the Commission should consider the correct Exhibit "A" as evidence which was ignored in the Initial Decision, despite it being available and part of the record under FMC Rule 161. *46 CFR§502.161*

27. NYK/DFT's Power of Attorney incorporating the terms of NYK bills of lading that incorporate the tariff would certainly satisfy the Initial Decision's requirement that DFY had an obligation to demonstrate that the Tariff was applicable to these shipments. Clearly it was.

28. Further, the simple terms of the tariff demonstrating that the "tariff rate" was not applicable would arguably eliminate the factual and logical basis offered by the Initial Decision to conclude that the term "if applicable" only modified "heavy lift" and "extra length", but not the "tariff rate".

29. Agencies have broad discretion in determining whether to reopen a proceeding. Their decisions are reviewed under an abuse of discretion standard. *Interstate Commerce Commission v. Jersey City, et al.*, 322 U.S. 503 (1944); *Interstate Commerce Commission v. Board of Locomotive Engineers*, 482 U.S. 270 (1987).

30. The commission's preference for a complete record was discussed in the case of *Hudson Shipping (Hong Kong), LTD* – possible violations of Section 10(a)(1) of the Shipping Act of 1984, 29 SRR 1376 (ALJ 2002), where the ALJ reopened the record and vacated discovery sanctions prior to an issuance of an initial decision. While the Initial Decision has already been served, the commission may reopen a proceeding for the purpose of taking further evidence, particularly if the evidence is a material fact that “might affect the outcome of the suit under the governing law.” *Grew Master International*

Freight Services LTD – possible violations of Section 10(a)(1) 10(b)(1) of the Shipping Act of 1984, 29 S.R.R. 1303, 1318 (FMC 2003). DFY submits that it's counsel's clerical error is a harmless one that involves a piece of evidence that both parties and commission are aware of, have relied upon and should rightly be part of the record under FMC Rule 161.

31. The evidence that DFY wishes to be recognized and considered as part of the record pursuant to Rules 230, 161 and 226, and most definitely would have been part of the record had there not been a clerical error in the submission of Exhibit "A". This evidence eliminates the Initial decision's basis for denying DFY's MSD and granting NYK's.

32. Rule 226 of the Commission's Rules provides that official notice may be taken of any matter that may be judicially noticed by the Court. 46 C.R.F. §502.226, Rule 201 of the Federal Rules of Evidence allows for judicial notice of an adjudicative fact, including the publication to the public of NYK's Tariff 156.

33. More to the point, the Commission's Rules may be waived to prevent undue hardship, manifest injustice or if the expeditious conduct of business so requires. 46 C.F.R. §502.10 DFY submits that a clerical mistake, like the one described here, can be accommodated by the Commission.

34. DFY submits that the correction of a clerical error in the submission of record evidence will provide manifest justice in this matter. This is especially true when the evidence is of a type that should clearly be part of the record under FMC Rule 161.

35. Consideration of NYK's Tariff 156 and the terms of its Bills of Lading are material evidence and consideration will most likely lead to a material change in the Decision here. The proceedings are governed by the Administrative Procedure Act. ("APA") The APA evidentiary standard is not a rigid one, designed to accommodate doing justice. The Supreme Court which has long held that

administrative agencies like the FMC are not bound by the formal Rules of Evidence. *Spiller v. Atchison T.&S.F.R. Co.*, 253 U.S. 117 (1920). Thus, DFY submits that the Commission has the authority and the power to recognize Tariff 156 as fully part of this record. That recognition will permit the Commission to fully consider Tariff 156's terms when ruling on DFY's contemporaneously filed Exceptions to the Initial Decision. (*Exhibit "F"*)

36. In the alternative, DFY submits that the Commission has the authority, should it so decide, to re-open the proceeding under FMC Rule 230(d) and remand the proceeding back to ALJ Wirth for specific consideration of NYK'S Tariff 156, the bill of lading terms, Tariff 156 applicability language and NYK's agreement, through the Power of Attorney with DFY, to incorporate the tariff in each and every shipment and each and every bill of lading DFY issued.

37. DFY submits that it has acted promptly, provided an explanation of the clerical error, demonstrated the materiality of the tariff terms and the effect that the evidence would have. Although NYK may oppose this request, there does not appear to be any basis for claiming surprise or prejudice, as the evidence is admitted to and is an NYK publication at the heart of this dispute. DFY submits that simply identifying these materials in it's MSD arguments that the tariff applied and that the service contract had no effect on that application would have put NYK on notice that it's tariff terms were being referred to.

38. DFY has always asserted that the tariff applied and that the service contract did not affect that application.

- **RELIEF REQUESTED**

DFY petitions the Commission to order that the correct Exhibit “A” be considered part of the record in this proceeding and/or to simply recognize that those terms and that language and Tariff 156 are part of the record when considering DFY's Exceptions. Recognition of that material is relevant to both parties' claims and defenses and is materials enough to most likely lead to a different result. DFY submits that those materials can be recognized, and that the Commission can take official notice of those materials. *FMC Rule 161*

In the alternative, DFY respectfully request that the Commissions reopen this proceeding in order to include admit the evidence of the terms of NYK's Bills of Lading, it's tariff and tariff applicability language of Tariff 156 pursuant to FMC Rule 230(d).

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: September 6, 2017

By: _____

Thomas J. Wagner, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel.: 215.790.0761
PA Bar ID No. 52876
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CERTIFICATE OF SERVICE

The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Motion to Recognize the Terms of Respondent, NYK Line's (N.A.), Inc. Tariff 156 and Bills of Lading or, in the Alternative, Motion to Re-Open and Remand Pursuant to FMC Rule 230 via United States Mail, first class, postage prepaid upon the following at the addresses provided:

Paul M. Keane, Esquire
Joseph De May, Jr., Esquire
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
pkeane@cckd-ny.com
jdemay@cck-ny.com
Attorneys for NYK, NYK Line (North America), Inc.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: September 6, 2017

By: _____

Thomas J. Wagner, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel.: 215.790.0761
PA Bar ID No. 52876
Attorney for Complainant, D. F. Young, Inc.

Exhibit “A”

THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.

Complainant,

v.

NYK LINE (NORTH AMERICA), INC.,

Respondent.

Docket No. 16-02

RESPONDENT'S ANSWER
TO COMPLAINANT'S REQUEST
FOR ADMISSIONS

Respondent, by its undersigned attorneys, answers Complainant's Requests for Admissions ("RFA") as follows:

SPECIFIC OBJECTIONS TO DEFINITIONS

Respondent objects to the RFA's boilerplate Definitions on grounds that (A) they seem to have been drafted to apply to discovery methods other than Requests for Admissions, and (B) they purport to impose obligations on Respondent that are greater than or different from those imposed by 46 C.F.R. 502. 207 and 502.12.

Definition No. 1: The applicability of the Commission's Rules and the Federal Rules of Civil Procedure are determined by the Rules themselves and not by any party's self-created definitions.

Definition No. 3: Requests for Admissions are not a method for obtaining documents or information. They may only be used to obtain admissions as to the truth of specific matters or the genuineness of specific documents.

Definition Nos. 4 – 6, 12 - 13: These definitions make the requests vague or compound rather than singular, specific and detailed; and they violate 46 CFR

Definition No. 17: Requests for Admissions are not a method for obtaining information.

Definition No. 25: Respondent treats this instruction as Complainant's waiver of the requirement under 46 CFR 502.207(a)(3) that Respondent seek permission from the Presiding Officer in order to amend these answers.

For the foregoing reasons, Respondent will not be bound by any of Complainant's Definitions to which it has objected and will answer instead in compliance with 46 CFR 502.207. The following answers are without prejudice to Respondent's objections.

ANSWER TO REQUESTS FOR ADMISSIONS

1. Admit that on March 1, 2015, Respondent had a tariff published or otherwise made available to the public that required it to pay freight forwarder compensation.

Answer: Admits that on March 1, 2015, Respondent had a tariff published or otherwise made available to the public which was solely applicable to Ro Ro shipments, i.e., Tariff 156 which provided at Rule 9 that compensation will be paid to ocean freight forwarders in accordance with the rules and regulations promulgated by The Shipping Act of 1984 and only where such forwarder has complied with all the requirements of such Act, and, except as so admitted, denies RFA no. 1.

2. Admit that Respondent has not amended, revoked, or otherwise changed the tariff in effect on March 1, 2015 that obligated it to pay freight forwarder compensation.

Answer: Admits that Respondent has not amended, revoked, or otherwise changed Tariff 156 in effect on March 1, 2015 and, except as so admitted, denies RFA no. 2.

Rule Number	Rule Name	Applies	Doc	Status
001	SCOPE	-	NYKS-156	F
001-1	SAUDI ARABIA INLAND PORTION	YES	NYKS-156	F
002	APPLICATION OF RATES AND CHARGES	-	NYKS-156	F
002-1	APPLICATION OF FIO BASIS	-	NYKS-156	F
002-2	ADVANCE CHARGES	-	NYKS-156	F
002-3	LOADED CAR, VAN, H/VAN, VEHICLE, N.O.S.	-	NYKS-156	F
002-4	DOCUMENTATION	YES	NYKS-156	F
002-5	BILL OF LADING FEE	YES	NYKS-156	F
002-6	MANIFEST CORRECTIONS	OPTIONAL	NYKS-156	F
002-7	DOCUMENTATION FEE FOR TAIWAN CARGO	YES	NYKS-156	F
002-8	DOCUMENTATION FEE - F EAS E/AUS	YES	NYKS-156	F
002-9	DOCUMENTATION FEE (EUROPE)	YES	NYKS-156	F
003	RATE APPLICABILITY RULE	-	NYKS-156	F
004	HEAVY LIFT	-	NYKS-156	F
005	EXTRA LENGTH	-	NYKS-156	F
006	MINIMUM BILL OF LADING CHARGES	YES	NYKS-156	F
006-1	USE OF CARRIER EQUIPMENT - ROLL TRAILERS	-	NYKS-156	F
006-2	MAFI MINIMUM OCEAN FREIGHT CHARGE	-	NYKS-156	F
007	PAYMENT OF FREIGHT CHARGES	-	NYKS-156	F
008	BILL(S) OF LADING	-	NYKS-156	F
009	FREIGHT FORWARDER COMPENSATION	YES	NYKS-156	F
010	SURCHARGES AND ARBITRARIES	-	NYKS-156	F
010-1	BUNKER ADJUSTMENT FACTOR (BAF)	NO	NYKS-156	F
010-10	TAMPA WHARFAGE	YES	NYKS-156	F
010-11	PACIFIC PORTS WHARFAGE - AUTOMOBILES	YES	NYKS-156	F
010-11A	PACIFIC PORTS WHARFAGE WESTBOUND - HIGH AND HEAVY CARGO	YES	NYKS-156	F
010-11B	PACIFIC PORTS WHARFAGE EASTBOUND - HIGH AND HEAVY CARGO	YES	NYKS-156	F
010-12	OUTPORT ARBITRARY RULE - AUTOMOBILES	YES	NYKS-156	F
010-12A	OUTPORT ARBITRARY RULE - OTHER CARGO	YES	NYKS-156	F
010-13	BRUNSWICK WHARFAGE - USSR/EUR/UK/SCN	YES	NYKS-156	F
010-13A	BRUNSWICK WHARFAGE - FAR EAST/SE ASIA/AUST	YES	NYKS-156	F
010-14	EAST COAST AND PUERTO RICO WHARFAGE	-	NYKS-156	F
010-15	BUNKER ADJUSTMENT FACTOR FOR N/S SERVICE	YES	NYKS-156	F
010-16	BUNKER ADJUSTMENT FACTOR FOR USCX SERVICE	YES	NYKS-156	F
010-17	BUNKER ADJUSTMENT FACTOR FOR USEC SHUTTLE SERVICE	YES	NYKS-156	F
010-18	PANAMA CANAL SURCHARGE	YES	NYKS-156	F
010-18A	PANAMA CANAL SURCHARGE	YES	NYKS-156	F
010-19	PORT OF ENTRY FEES	YES	NYKS-156	F
010-2	AUTOS/LIGHT DUTY VEHICLES BAF	-	NYKS-156	F
010-20	STUFFING / DE-STUFFING CHARGE ON MAFIS	OPTIONAL	NYKS-156	F
010-21	BUNKER ADJUSTMENT FACTOR (EUROPE)	YES	NYKS-156	F
010-3	RESERVED	-	NYKS-156	F
010-4	RESERVED	-	NYKS-156	F
010-5	RESERVED	-	NYKS-156	F
010-6	RESERVED	-	NYKS-156	F
010-7	HOUSTON WHARFAGE	-	NYKS-156	F
010-8	TOWING SURCHARGE	OPTIONAL	NYKS-156	F
010-9	FORKLIFTABLE CARS SURCHARGE	OPTIONAL	NYKS-156	F
011	MINIMUM QUANTITY RATES	-	NYKS-156	F
012	AD VALOREM RATES	-	NYKS-156	F
013	TRANSSHIPMENT	-	NYKS-156	F
014	CO-LOADING IN FOREIGN COMMERCE	-	NYKS-156	F
015	OPEN RATES IN FOREIGN COMMERCE	-	NYKS-156	F
016	HAZARDOUS CARGO	-	NYKS-156	F
017	GREEN SALTED HIDES IN FOREIGN COMMERCE	-	NYKS-156	F
018	RETURNED CARGO IN FOREIGN COMMERCE	-	NYKS-156	F
019	SHIPPER'S REQUESTS IN FOREIGN COMMERCE	-	NYKS-156	F
020	OVERCHARGE CLAIMS	-	NYKS-156	F
021	USE OF CARRIER EQUIPMENT	-	NYKS-156	F
022	AUTOMOBILE RATES IN DOMESTIC OFFSHORE COMMERCE	-	NYKS-156	F
023	CARRIER TERMINAL RULES AND CHARGES	-	NYKS-156	F
023-1	TERMINAL RECEIVING CHARGE	YES	NYKS-156	F
023-2	TERMINAL HANDLING CHARGE - BAL/HOU/NWR/JAX/SANJ	YES	NYKS-156	F
023-2A	TERMINAL HANDLING CHARGE - TAMPA	YES	NYKS-156	F
023-3	TERMINAL HANDLING CHARGE - USEC	YES	NYKS-156	F
023-3A	TERMINAL HANDLING CHARGE - USWC	YES	NYKS-156	F
023-4	RESERVED	-	NYKS-156	F
023-5	BRUNSWICK TERMINAL HANDLING CHARGE - USSR/EUR/UK/SCN - AUTO/HH	YES	NYKS-156	F
023-5A	BRUNSWICK TERMINAL HANDLING CHARGE - USSR/EUR/UK/SCN - HH AND STATIC	YES	NYKS-156	F
023-5B	BRUNSWICK TERMINAL HANDLING CHARGE - FEA/SEA/AUS - AUTO/HH	YES	NYKS-156	F
023-6	TERMINAL HANDLING CHARGE (EUROPE) AUTO WESTBOUND	YES	NYKS-156	F
023-6A	TERMINAL HANDLING CHARGE (EUROPE) AUTO EASTBOUND	YES	NYKS-156	F
023-6B	TERMINAL HANDLING CHARGE (EUROPE) H/H WESTBOUND/EASTBOUND	YES	NYKS-156	F
024	INVOCES IN FOREIGN COMMERCE: BONDS AND AGENTS	-	NYKS-156	F
025	CERTIFICATION OF SHIPPER STATUS IN FOREIGN COMMERCE	-	NYKS-156	F
026	TIME/VOLUME RATES IN FOREIGN COMMERCE	-	NYKS-156	F
027	LOYALTY CONTRACTS IN FOREIGN COMMERCE	-	NYKS-156	F
027-1	LOYALTY CONTRACT NO. 1	-	NYKS-156	F
027-2	LOYALTY CONTRACT NO. 2	-	NYKS-156	F
027-3	LOYALTY CONTRACT NO. 3	-	NYKS-156	F
028	DEFINITIONS	-	NYKS-156	F
029	SYMBOLS	-	NYKS-156	F
030	ACCESS TO TARIFF INFORMATION	-	NYKS-156	F
031	SEASONAL DISCONTINUANCE	-	NYKS-156	F
032	MILITARY CARGO TERMS	-	NYKS-156	F
033	PROJECT RATES	-	NYKS-156	F
034	TERMINAL TARIFFS	-	NYKS-156	F

1. (Definition) The following words both on the face and back of this Bill of Lading have the meanings hereby assigned:

(a) "Carrier" means Nippon Yusen Kaisha including the servants, agents and the Master, and the Vessel and/or her owner;

(b) "Merchant" includes the shipper, consignor, consignee, owner or receiver of the Goods and also the holder of this Bill of Lading;

(c) "Goods" mean the cargo described on the face hereof and, if the cargo is packed into container(s), loaded on pallet(s) or

unitized into similar article(s)

of transport supplied or furnished by or on behalf of the Merchant, include such article(s) of transport as well;

(d) "Vessel" includes vessel, ship, craft, lighter or other conveyances which is or shall be substituted, in whole or in part, for the vessel named in the column "Ocean Vessel" on the face hereof.

(e) "Sub-Contractor" includes owners and operators of the Vessel or any other vessel (other than the Carrier), stevedores, terminal operators, warehousemen, road and rail transport operators and any independent contractors employed by the Carrier in performance of the Carriage and any sub-contractor thereof.

(f) "Carriage" means the whole or any part of the operations and services undertaken by the Carrier in respect of the Goods covered by this Bill of Lading.

(g) "Person" includes an individual, group, company, or other entity.

2. (Clause Paramount) (1) This Bill of Lading shall have effect subject to the provisions of the International Carriage of Goods by Sea Act, 1957 of Japan, as amended 3 June, 1999

2 (hereinafter be called "the Act"), unless it is adjudged that any other legislation of a nature similar to the International Convention for the Unification of Certain Rules relating to Bills of Lading signed at Brussels on 25 August, 1924, or the amendments by the Protocol signed at Brussels on 23 February, 1968, or the amendments by the Protocol signed at Brussels on 21 December, 1979, including without limitation, the Carriage of Goods by Sea Act, 1936, of the United States (the similar legislation shall hereinafter be called "Hague Rules Legislation"), compulsorily applies to this Bill of Lading, in which case it shall have effect subject to the provisions of such Hague Rules Legislation. The Act or Hague Rules Legislation shall be deemed to be incorporated herein.

(2) If any provision of this Bill of Lading is held to be repugnant to any extent to the Act or Hague Rules Legislation or to any other laws, statutes or

regulations applicable to the contract evidenced by this Bill of Lading, such provision shall be null and void to that extent but no further.

3. (Governing Law and Jurisdiction) (a) The contract evidenced by or contained in this Bill of Lading shall be governed by Japanese law except as may be otherwise provided herein, and (b) notwithstanding anything else contained in this Bill of Lading or in any other contract, any and all actions against the Carrier in respect of the Goods or arising out of the Carriage shall be brought before the Tokyo District Court in Japan to the exclusion of the jurisdiction of any other courts whilst any such actions against the Merchant may be brought before the said Court or any other competent court at the Carrier's option..

4. (Carrier's Tariff) The terms of the Carrier's applicable Tariff are deemed to be incorporated herein. Copies of the relevant provisions of the applicable Tariff are obtainable from the Carrier upon request. In the case of inconsistency between this Bill of Lading and the applicable Tariff, this Bill of Lading shall prevail.

5. (Limitation Statutes, Demise Clause) (1) Nothing in this Bill of Lading shall operate to limit or deprive the Carrier of the benefit of, and right to, all limitations of or exemptions from liability authorized by laws, statutes or regulations of any countries. (2) If the Vessel is not owned by, or chartered by demise to the Carrier (as the case may be notwithstanding anything that appears to the contrary), this Bill of Lading shall have effect only as a contract with the owner or demise charterer, as principal, as the case may be, made through the agency of the Carrier, who acts as agent only and shall be under no liability whatsoever in respect thereof.

6. (Period of Responsibility) (1) The Carrier shall in no event be liable for any loss of or damage to or in connection with the Goods, whether caused by the Carrier's negligence or not, occurring before loading on board and/or after discharge from the Vessel, whether the Goods are awaiting shipment, landed or stored or put into craft, barge, lighter or otherwise whether belonging to the Carrier or not, or pending transshipment at any stage of the Carriage. (2) In case loading and/or discharge are effected by the Merchant at his expense (in which case the terms "FI", "FO" or "FIO" are shown in this Bill of Lading as the case may be), the Carrier's responsibility shall,

notwithstanding the preceding paragraph, commence when loading has been completed and/ or cease when discharge has begun respectively, and shall be exonerated from any loss of or damage to or in connection with the Goods occurring during such loading and/or discharge, even if such loading and/or discharge are done with the assistance and/or advice of the Master/Vessel's officers/crew, who in such cases, are deemed to be an agent(s) or employee(s) of the Merchant.

7. (Sub-Contract

ing and Indemnity) (1) The Carrier shall be entitled to sub-contract the Carriage on any terms whatsoever, including liberty to further sub-contract. (2) The Merchant undertakes that no claim or allegation shall be made against any Person whomsoever by whom the Carriage is performed or undertaken (including all Sub-Contractors of the Carrier), other than the Carrier, which imposes or attempts to impose upon any such Person, or any vessel owned by any such Person, any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of such Person and, if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof. Without prejudice to the foregoing every such Person shall have the benefit of every right, defense, limitation and liberty of whatsoever nature herein contained or otherwise available to the Carrier as if such provisions were expressly for his benefit; and in entering into this contract, the Carrier, to the extent of these provisions, does so not only on his own behalf but also as agent and trustee for such Persons. (3) The provisions of Article 7.(2), including but not limited to the undertakings of the Merchant contained therein, shall extend to claims or allegations of whatsoever nature against other Persons chartering space on the carrying vessel.

(4) The Merchant further undertakes that no claim or allegation in respect of the Goods shall be made against the Carrier by any Person other than in accordance with the terms and conditions of this Bill of Lading which imposes or attempts to impose upon the Carrier any liability whatsoever in connection with the Goods or the Carriage, whether or not arising out of negligence on the part of the Carrier and, if any such claim or allegation should nevertheless be made, to indemnify the Carrier against all consequences thereof.

8. (Scope of Contractual Carriage) (1) The Carrier shall have liberty to carry the Goods as a single shipment or as several shipments by the Vessel and/or any other means of transport including by land and air, whether

owned or operated by the Carrier or not, by any route whatsoever, whether or not such route is direct, advertised or customary.

(2) The Vessel shall have liberty to call and/or stay at any port or place in or out of the direct, advertised or customary route, once or more often and in any order backwards or forwards, and/or to omit calling at any port or place whether scheduled or not.

(3) The Vessel shall have liberty to, either with or without the Goods on board, and before or after proceeding towards the port of discharge, adjust compasses and other navigational instruments, make trial trips or tests, dry-dock, go to repair yards, shift berths, take in fuel or stores, embark or disembark any Person, carry contraband, explosives, munitions, warlike stores and hazardous cargo, sail with or without pilots, tow or be tow

ed, and save or attempt to save life or property.

(4) Any action taken by the Carrier under this Article shall be deemed to be included within the scope of the contractual carriage and such action or delay resulting therefrom shall not be deemed to be a deviation. Should the Carrier be held responsible in respect of such action, the Carrier shall be entitled to the full benefit of all privileges, rights and immunities contained herein.

9. (Liberties) (1) In any situation whatsoever, whether or not existing or anticipated before commencement of or during the Carriage, which in the judgement of the Carrier, (i) has given or is likely to give rise to danger, injury, loss, delay, risk of capture, seizure or detention, or disadvantage of whatsoever nature to the Vessel, the Carrier, the Goods, any Person or any property, or (ii) has rendered or is likely to render it in any way unsafe, impracticable or unlawful or against the interest of the Carrier or the Merchant to commence or continue the Carriage or to discharge the Goods at the port of discharge by the route or in the manner originally intended by the Carrier, the Carrier (a) before the Goods are loaded on board the Vessel, may cancel the contract of the Carriage without compensation and to require the Merchant to take delivery of them and upon his failure to do so, to warehouse or place them anywhere at the risk and expense of the Merchant; and/or (b) if the Goods have been loaded on board the Vessel whether or not approaching, entering or attempting to approach, enter the port of discharge or attempting or commencing to discharge, may discharge the Goods or any part thereof at any port or place selected by the Carrier or to carry them back to the port of loading and

there discharge them; and/or (c) at any time, may dispose of the Goods in such way as the Carrier may deem advisable at the risk and expense of the Merchant. Any action under (b) above shall constitute complete and final delivery and full performance of this contract, and the Carrier shall thereafter be freed from any obligation hereunder.

(2) If, after any action under the preceding paragraph, the Carrier makes any arrangements to store and/or transship and/or forward the Goods, it is agreed that the Carrier does so as agent only for, and at the sole risk and expense of, the Merchant without any liability whatsoever in respect of such agency. The Merchant shall reimburse the Carrier forthwith upon demand all extra freight, charges and expenses incurred thereby.

(3) The situations referred to in the paragraph (1) above shall include, but shall not be limited to, those caused by the existence or apprehension of war declared or undeclared, hostilities, warlike or belligerent acts or operations, riots, civil commotions or other disturbances; closure of, obstacle in or danger to any canal; blockade of port or place or interdict or prohibition of or restriction on commerce or trading; quarantine, sanitary or other similar regulation or restrictions; strikes, lockouts or other labour troubles whether partial or general and whether or not involving employees of the Carrier or his Sub-Contractors; congestion of port, wharf, quay or any other place; shortage, absence or obstacles of labour or facilities for loading, discharge, delivery or other handling of the Goods; epidemics or diseases; bad weather, shallow water, ice or other obstacles in navigation.

(4) In case the Goods or their condition bring about, during the Carriage, any danger or risk which renders it, in the judgment of the Master, unsuitable or unsafe for the Vessel to continue the navigation, due to any cause or reason for which the Carrier is not responsible, the Carrier may take any action as provided for in the paragraphs (1) and (2) above, with the same effect as provided for in the last sentence of the paragraph (1) above.

(5) The Carrier, in addition to all other liberties provided for in this Article, shall have liberty to comply with orders, directions, regulations, recommendations or suggestions as to departure, arrival, route, ports of call, stoppage, loading, discharge, handling, destination, delivery, quarantine or otherwise, howsoever given by any government, public authorities or department thereof or any person acting or purporting to act with authority of such government, public authorities or department thereof or by any committee or Person having, under the terms of any

insurance on the Vessel, the right to give such orders, directions, regulations, recommendations or suggestions. If by reason of and/or in compliance with any such orders, directions, regulations, recommendations or suggestions anything is done or is not done, the same shall be deemed to be included within the contractual carriage and shall not be deemed to be a deviation.

10. (Unknown Clause) (1) Any reference on the face hereof to marks, numbers, description, quantity, gauge, weight, measure, nature, kind, value and any other particulars of the Goods is as furnished by the Merchant, and the Carrier shall not be responsible for the accuracy thereof. The Merchant warrants the Carrier that the particulars furnished by him are correct and shall indemnify the Carrier against all loss, damage, expenses, liability, penalties and fines arising out of or resulting from inaccuracy thereof.

(2) If the cargo received by the Carrier is packed into container(s), loaded on pallet(s) or unitized into similar article(s) of transport by or on behalf of the Merchant, this Bill of Lading is *prima facie* evidence of the shipment only of the number of such article(s) as shown on the face hereof; and the order and condition of the contents and any other reference to marks, numbers, number and kind of packages or pieces, description, quality, quantity, gauge, weight, measure, nature, kind and value are unknown to the Carrier. The Carrier shall accept no responsibility therefore.

11. (Deck Cargo, Live Animals) (1) The Goods stowed in poop, forecastle, deckhouse, shelter deck, passenger space or any other covered space shall be deemed to be stowed under deck for all purposes including general average.

(2) The Carrier has the right to carry the Goods in container(s) under deck or on deck. When the Goods are carried on deck, the Carrier shall not be required to specially note, mark or stamp any statement of "on deck stowage" on the face hereof, any custom to the contrary notwithstanding, and the Goods so carried shall be subject to the applicable Hague Rules Legislation as provided for in Article 2 hereof, and shall be deemed to be carried under deck for all purposes including general average.

(3) The Goods carried on deck and herein stated to be so carried and live animals, birds, reptiles and fish are accepted solely at the risk of the Merchant and the Carrier shall not be liable for any loss, damage, disease or mortality thereof, whether or not caused by the act or negligence of the Carrier or by the unseaworthiness of the Vessel.

12. (Dangerous Goods, Contraband) (1) The Carrier undertakes to carry the Goods of an explosive, inflammable, radioactive, corrosive, damaging, noxious, hazardous, poisonous, injurious or dangerous nature only upon the Carrier's acceptance of a prior written application by the Merchant for the carriage of such Goods. Such application must accurately state the nature, name, label and classification of the Goods as well as the method of rendering them innocuous, with the full names and addresses of the shipper and the consignee.

(2) The Merchant shall undertake that the nature of the Goods referred to in the preceding paragraph is distinctly and permanently marked and manifested on the outside of the Goods or package(s) and shall also undertake to submit the documents or certificates required by any applicable statutes or regulations or by the Carrier.

(3) Whenever the Goods are discovered to have been shipped without complying with the paragraph (1) or (2) above or the Goods are found to be contraband or prohibited by any laws or regulations of the port of loading, discharge or call or any place or waters during the Carriage, the Carrier shall be entitled to have such Goods rendered innocuous, thrown overboard or discharged or otherwise disposed of at the Carrier's discretion without compensation and the Merchant shall be liable for and indemnify the Carrier against any kind of loss, damage or liability including loss of freight, and any expenses directly or indirectly arising out of or resulting from such shipment.

(4) The Carrier may exercise or enjoy the right or benefit conferred upon the Carrier under the preceding paragraph whenever it is apprehended that the Goods shipped in compliance with the paragraph (1) and (2) above become dangerous to the Carrier, Vessel, cargo, Persons and/or other property.

(5) The Carrier has the right to inspect the contents of the Goods or package(s) at any time and anywhere without the Merchant's agreement but only at the risk and expense of the Merchant.

13. (Special Goods) (1) Special Stowage: The Goods shall not be carried in the refrigerated, ventilated, insulated, heated or any other special compartments but shall be carried in the ordinary compartments, unless (i) special arrangements for such stowage have been agreed upon in writing prior to shipment between the Carrier and the Merchant, (ii) such special arrangements are noted on the face of this Bill of Lading, and (iii) special freight as required has been prepaid. The Carrier shall not be liable for any loss of or damage to

or in connection with the Goods arising out of or resulting from such stowage in the ordinary compartments.

(2) Valuable Goods: The Carrier shall not be liable to any extent for any loss of or damage to or in connection with platinum, gold, silver, jewelry, precious stones, precious metals, radioisotopes, precious chemicals, bullion, specie, currency, negotiable instruments, securities, writings, documents, pictures, embroideries, works of art, curios, heirlooms, collections of every nature or any other valuable goods whatsoever including goods having particular value only for the Merchant, unless the true nature and value of the Goods have been declared in writing by the Merchant before shipment of the Goods, and the same is inserted in this Bill of Lading and the additional charges as required have been prepaid in addition to freight.

(3) Iron and Steel: The iron, steel and metal goods which are at the time of shipment in the ordinary external condition as to rust, corrosion, oxidation, moisture, scratch, dent or bend are admitted as being in apparent good order and condition by the Carrier and the Merchant, and the terms "apparent good order and condition" on the face hereof does not mean any admission by the Carrier as to the absence of such ordinary rust, corrosion, oxidation, moisture, scratch, dent or bend. In case of iron and steel, angles, bars, channels, etc. shipped loose or in bundles, the Carrier shall not be responsible for correct delivery, and all expenses incurred at the port of discharge consequent upon insufficient securing or marking shall be paid by the Merchant unless: (a) every piece is distinctly and permanently marked with oil-paint; (b) every bundle is securely fastened, distinctly and permanently marked with oil-paint and metal-tagged, so that each piece or bundle can be distinguished at the port of discharge

(4) Cotton: As the Carrier has no reasonable means of checking the marks upon the cotton at the time of shipment, any reference to the marks on the face hereof is made at the Merchant's request only for the Merchant's convenience and the Carrier shall not be liable for the inaccuracy thereof. The Merchant shall undertake to take delivery of the cotton actually loaded at the port of loading and shall not refuse to do so merely because of discrepancy of the marks between those stated on the face hereof and those shown upon the cotton.

(5) Lumber and Timber: the lumber, timber and products thereof which are at the time of shipment in the ordinary external condition as to chafage, breakage, hook holes, split, broken pieces, stain, warps, shakes and/or declaration are admitted as being in apparent

good order and condition by the Carrier and the Merchant, and the term "apparent good order and condition" on the face hereof does not mean any admission by the Carrier as to the absence of such ordinary chafage, breakage, hook holes, split, broken pieces, stain, warps, shakes and/or declaration.

(6) Bulk Cargo: The quantity or weight of the Goods shown on the face hereof is ascertained by a party other than the Merchant and the Carrier, who have no reasonable means of checking the accuracy thereof, and agreed to be stated herein only for the Merchant's convenience, without constituting any evidence against the Carrier.

14. (Heavy Lift) (1) The weight of a single piece or package exceeding 2,240 lbs. gross must be declared by the Merchant in writing before receipt by the Carrier and must be marked clearly and durably on the outside of

the piece or package in letters and figures not less than two inches high.

(2) In case of the Merchant's failure in his obligations under the preceding paragraph, the Carrier shall not accept the Goods, and if he accepts, shall not be responsible for any loss of or damage to or in connection with the Goods, and at the same time the Merchant shall be liable for loss of or damage to any property or for personal injury arising as a result of the Merchant's said failure and shall indemnify the Carrier against any kind of loss, damage or liability suffered or incurred by the Carrier as a result of such failure.

15. (Delivery by Marks) (1) The Carrier shall not be liable for failure of or delay in delivery in accordance with marks unless such marks shall have been clearly and durably stamped or marked upon the Goods, or package(s) by the Merchant before shipment in letters and numbers not less than 2 inches high, together with the names of the port of discharge and/or destination.

(2) In no circumstances shall the Carrier be responsible for delivery in accordance with other than leading marks.

(3) The Merchant warrants the Carrier that the marks on the Goods or package(s) correspond to the marks shown on this Bill of Lading and also in all respects comply with all laws and regulations in force at the port of discharge and/or destination, and shall indemnify the Carrier against all loss, damage, expenses, penalties and fines arising out of or resulting from incorrectness or incompleteness thereof.

(4) Goods which cannot be identified as to marks and numbers, cargo sweepings, liquid residue and any unclaimed goods not otherwise a

accounted for shall be

allocated for the purpose of completing delivery to the various merchants of goods of like character, in proportion to any apparent shortage, loss of weight or damage, and such Goods or parts thereof shall be accepted as full and complete delivery.

16. (Loading, Discharge and Delivery) (1) Loading and discharge shall be effected by the Carrier at his expense unless otherwise specifically shown herein. However, any expense, costs, dues and other charges which incur before loading and after discharge of the Goods shall be borne by the Merchant.

(2) Notwithstanding any custom of the port to the contrary, the Goods may be discharged as soon as the Vessel is ready to discharge, without notice, continuously day and night, Sundays and holidays included, regardless of weather, onto wharf or quay or into warehouse, or into lighter, hulk, lazaretto, craft or on any other place and may be stored there.

(3) At any port the Carrier is authorized by the Merchant to entrust masterportorage (receiving, watching, weighing, delivering, lighterage, cartage, custody) and any other services to any firm, corporation, Person, whether owned by, subsidiary to, associated or affiliated with or employed by the Carrier

or not, or to custom or public authorities or department thereof, and who are deemed to act solely as agent of the Merchant.

(4) Optional delivery shall be granted only when arranged prior to the time of shipment the Goods and so expressly noted herein. The Merchant desiring to avail himself of the option so expressed must give notice in writing to the Carrier at the first port of call of the Vessel named in the option at least 48 hours prior to the Vessel's arrival there, otherwise the Goods shall be discharged at any of the optional ports at the Carrier's option and the Carrier's responsibility shall then cease.

(5) Notwithstanding any Article to the contrary, the Carrier does not undertake that the Goods shall arrive at the port of discharge or destination at any particular time, or in time to meet any particular market or use and the Carrier shall not be responsible for any direct or indirect loss or damage which is caused through delay.

17. (Transshipment and Forwarding) (1)(i) In case of through carriage under this Bill of Lading, the Merchant constitutes the Carrier his agents to enter into contract with others for the pre-carriage and/or on-carriage of the Goods and/or for the storing, lightering, transshipment or other dealing therewith,

prior to, or in the course of, or subsequent to the Carriage in the Carrier's Vessel without any liability attaching to him in respect of such agency. (ii) The responsibility of each carrier acting as such is limited to that part of the

transport actually undertaken by

him, and the Carrier shall not be under any liability for damage and/or loss arising from whatsoever cause during any other part of the transport, even though the freight for the whole transport has been collected by the Carrier.

(2) Any statement of the port or place, whether littoral or inland, in the column "Final Destination" on the face hereof is solely for the purpose of the Merchant's reference, and in case the columns "(Local Vessel)" and "(From)" on the face hereof are filled up and this Bill of Lading is issued at a place other than the port of loading onto the Vessel, any statement herein as to the shipment of the Goods shall be construed to relate only to the time when and place where the Goods were loaded on board the local vessel. The Carrier's liability, in those events, shall be determined in accordance with paragraph (1) of this Article.

(3) The Carrier shall be at liberty, whether or not arranged beforehand or indicated on the face hereof, to transship the whole or any part of the Goods, with or without notice, at any port or place for any purpose whatsoever, or to forward the same by any means of transport by water, land or air, whether owned or operated by the Carrier or not. The Carrier's liability shall, in this event, cease when the Goods leave the Vessel's tackle.

18. (Over-carriage)

In case the Goods or any part thereof can not be found during the Vessel's stay at the port of discharge, the Goods are, when found, to be forwarded to their destination at the Carrier's expense

but free of

liability for any loss, depreciation or damage arising from over-carriage or return-carriage.

19. (Lien and Unclaimed Goods) (1) The Carrier shall have a lien on the Goods, which shall survive delivery, for all freight, dead freight, demurrage, storage, general average, salvage, damages, loss, charges, expenses and any other sums whatsoever payable by or chargeable to or for the account of the Merchant under this Bill of Lading and any other contracts of carriage with the Merchant whatsoever, whether they may be relevant to this Bill of Lading or not, and the cost and expenses of recovering the same, and may sell the Goods privately or by public auction without notice to the

Merchant. If on sale of the Goods, the proceeds fail to cover the amount due and the cost and expenses incurred, the Carrier shall be entitled to recover the deficit from the Merchant.

(2) If the Goods are unclaimed during a reasonable time, or whenever in the Carrier's judgement the Goods will become deteriorated, decayed or worthless, the Carrier may, at his discretion and without any responsibility attaching to him, sell, abandon or otherwise dispose of the Goods solely at the risk and expense of the Merchant.

20. (Notice of Claim and Time for Suit) (1) Unless notice of loss or damage and the general nature of such loss or damage be given in writing to the Carrier at the port of discharge before or at the time of delivery of the Goods or, if the loss or damage be not apparent, within 3 days after delivery, the Goods shall be deemed to have been delivered as described in this Bill of Lading.

(2) In any event the Carrier shall be discharged from all liability whatsoever in respect of the Goods unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered.

21. (Defenses and Limits for the Carrier)

The defenses and limits of liability provided for in this Bill of Lading shall apply in any action against the Carrier for all liability whatsoever in respect of the Goods whether the action be founded in contract, in tort or otherwise.

22. (Limitation of Liability) (1) When the Carrier is liable for compensation in respect of any loss of or damage to the Goods, such compensation shall be calculated by reference to the value of the Goods at the place and time they are discharged from the Vessel, or at the place and time they should have been discharged. For the purpose of determining the extent of the Carrier's liability for loss of or damage to the Goods, the value of the Goods is presumed to be the invoice value plus freight and insurance premium, if paid. In no event shall the Carrier be liable for any loss of profit or any consequential loss.

(2) (i) Notwithstanding the preceding paragraph, the Carrier shall not be liable for loss or damage in an amount exceeding 666.67 Units of Account per package or unit or 2 Units of Account per kilogram of gross weight of the Goods lost or damaged, whichever is the higher, or in case of the Goods not shipped in packages, per

customary freight unit, unless the value of the Goods higher than this amount has been declared in writing by the Merchant before shipment of the Goods and inserted in this Bill of Lading together with nature thereof and the additional charges as required have been prepaid in addition to freight. This declaration, if embodied in the Bill of Lading, shall be prima facie evidence, but shall not be conclusive on the Carrier. The Unit of Account mentioned in the preceding paragraph is the Special Drawing Right (SDR) as defined by the International Monetary Fund. Notwithstanding anything else contained herein, if this Bill of Lading covers the Goods moving to or from the U.S.A. (including its districts, territories or possessions), and if the following is not invalid or unenforceable under the local law of the jurisdiction in which legal proceedings are brought, then the amount of the foregoing limitation shall instead be U.S.\$500 per package or customary freight unit. If the actual value of the Goods per package or unit exceeds such declared value, the value the Carrier may be liable for shall nevertheless be deemed to be the declared value and the Carrier's liability, if any, shall not exceed the declared value. Any partial loss or damage shall be adjusted pro rata on the basis of such declared value. In case the declared value is markedly higher than the actual value, the Carrier shall in no event be liable to pay any compensation. (ii) Where the cargo has been packed into container(s) or unitized into similar article(s) of transport by or on behalf of the Merchant, and when the number of packages or units packed into container (s) or unitized into similar article(s) of transport is not enumerated on the face hereof, each container or similar article including the entire contents thereof shall be considered as one package for the purpose of the application of the limitation of liability provided for herein.

23. (Freight and Charges) (1) Freight may be calculated on the basis of the particulars of the Goods furnished by the Merchant who shall be deemed to have guaranteed the Carrier the accuracy of the contents, weight, measure or value as furnished by him, at the time of shipment, but the Carrier may, for the purpose of ascertaining the actual particulars, at any time, open the package(s), container(s), pallet(s) and/or other similar article(s) of transport and examine contents, weight, measure and value of the Goods at the risk and expense of the Merchant. In case of incorrect declaration of the contents, weight, measure or value of the Goods, the Merchant shall be liable for and bound to pay to the Carrier, (a) the balance of freight between the freight charged and that which would have been due,

had the correct details been given, plus (b) as and by way of liquidated and ascertained damages, a sum equal to the correct freight.

(2) Full freight to the port of discharge and/or destination named herein shall be considered as completely earned on shipment of the Goods, whether the freight be stated or intended to be prepaid or to be collected at the port of discharge, destination or any other place. The Carrier shall be entitled to all freight and other charges due hereunder, whether actually paid or not, and to receive and retain them

irrevocably under any circumstances whatsoever, whether the Vessel and/or the Goods be lost or not, or the voyage be broken up or frustrated or abandoned at any stage of the Carriage. Full freight shall be paid on damaged or unsound Goods.

(3) The payment of freight and/or charges shall be made in full and in cash without any offset, counterclaim or deduction. Where freight is payable at the port of discharge, destination or any other place, such freight and all other charges shall be paid in the currency named in this Bill of Lading, or at the Carrier's option, in other currency subject to the regulations of the freight conference concerned or custom at the place of payment.

(4) Goods once shipped cannot be taken away or disposed of by the Merchant except upon the Carrier's consent and against payment of full freight and compensation for any loss, damage or expense sustained by the Carrier through such taking away or disposal. If the Goods are not available when the Vessel is ready to load, the Carrier is relieved of any obligation to load such Goods and the Vessel may leave the port without further notice and dead freight shall be paid by the Merchant.

(5) The Merchant shall be liable for, and indemnify the Carrier against all dues, duties, taxes and charges including consular fees levied on the Goods, or all fines and/or loss sustained or incurred by the Carrier in connection with the Goods howsoever caused, including the Merchant's failure to comply with laws and regulations of any government or public authorities in connection with the Goods or to procure consular, Board

of Health or other certificate to accompany the Goods. The Merchant shall be liable for return freight and charges on the Goods refused exportation or importation by any government or public authorities. If the Carrier is of the opinion that the Goods stand in need of sorting, inspecting, mending or repairing or reconditioning or otherwise require protecting or caring for, the Carrier may carry out such work at the cost and expense of the Merchant. The Merchant authorizes the Carrier to pay and/or incur all such charges and

expenses and to do any matters mentioned above at the expense of and as agent for the Merchant and to engage other Persons to regain or seek to regain possession of the Goods and do all things deemed advisable for the benefit of the Goods.

(6) The shipper, consignor, consignee, owner or receiver of the Goods and holder of this Bill of Lading shall be jointly and severally liable to the Carrier for the payment of all freight and charges and for the performance of the obligation of each of them hereunder.

24. (General Average, New Jason Clause) (1) General average shall be adjusted, stated and settled at Tokyo or any other port or place at the Carrier's option according to the York-Antwerp Rules, 1994 or any amendment, revision or replacement of these Rules, and as to matters not provided for by these Rules, according to the laws and usages of the port or place of adjustment, and in the currency selected by the Carrier. The general average statement shall be prepared by the adjusters appointed by the Carrier. Average agreement or bond and such cash deposit as the Carrier may deem sufficient to cover the estimated contribution of the Goods and any salvage and special charges thereon and any other additional securities as the Carrier may require shall be furnished by the Merchant to the Carrier before delivery of the Goods.

(2) The New Jason Clause as published by the Baltic and International Maritime Council is hereby incorporated into this Bill of Lading.

25. (Both to Blame Collision Clause)
The Both to Blame Collision Clause as published by the Baltic and International Maritime Council is hereby incorporated into this Bill of Lading.

(Local Clause) (1) Goods to or from U. S. A. : In case this Bill of Lading covers the Goods moving to or from the U. S. A. and if it is adjudged that the Carriage of Goods by Sea Act, 1936 of the U. S. A. governs this Bill of Lading, (i) the provisions of the Carriage of Goods by Sea Act, 1936 of the U. S. A. shall govern before the Goods are loaded on and after they are discharged from the Vessel and throughout the entire time the Goods are in the custody of the Carrier, notwithstanding Article 6 (1), and (ii) Article 11 (2) hereof shall be replaced by the following terms; "With respect to live animals, birds, reptiles and fish and the Goods carried on deck and stated herein to be so carried, all risks of loss or damage by perils inherent in or incidental to such carriage shall be borne by the Merchant, but in all

other respects in connection with the custody and carriage of such Goods, the Carrier shall have the benefit of the provisions of the Carriage of Goods by Sea Act, 1936 of the U. S. A., notwithstanding Section 1 (c) thereof, and of all the terms and conditions of this Bill of Lading except those inconsistent with the provisions of this Article".

(2) Goods for Holland, Belgium, Germany: Weighing on board during discharge is only allowed by permission of the Carrier. If permission be given all additional expenses incurred by the Vessel in consequence of such weighing on board and whether in respect of extra stevedoring charges or otherwise shall be for account of the Merchant, notwithstanding any custom to the contrary. Permission may be withdrawn by the Carrier at any time during discharge without prejudice to the Carrier's right to recover additional expenses already incurred.

(3) Goods to and from Amsterdam: The Goods to and from Amsterdam to be transshipped at Rotterdam at the expense of the Carrier, but at the risk of the Merchant.

(4) Goods for Algier and Casablanca: Taxe de Péage to be paid by consignees.

NYK Shipped • Waybill Clause ('14 amendment)

<FACE>

<BACK>

1. (Definition)
2. (Clause Paramount)
3. (Governing Law and Jurisdiction)
4. (Carrier's Tariff)
5. (Limitation Statutes, Demise Clause)
6. (Period of Responsibility)
7. (Sub-Contracting and Indemnity)
8. (Scope of Contractual Carriage)
9. (Liberties)
10. (Unknown Clause)
11. (Deck Cargo, Live Animals)
12. (Dangerous Goods, Contraband)
13. (Special Goods)
14. (Weight Declaration of Goods)
15. (Delivery by Marks)
16. (Loading, Discharge and Delivery)
17. (Transshipment and Forwarding)
18. (Over-carriage)
19. (Lien and Unclaimed Goods)
20. (Notice of Claim and Time for Suit)
21. (Defences and Limits for the Carrier)
22. (Limitation of Liability)
23. (Freight and Charges)
24. (General Average, New Jason Clause)
25. (Both to Blame Collision Clause)
- (Local Clause)

<FACE>

Shipped on board the Vessel, the Goods, or packages said to contain the cargo described below, in apparent good order and condition unless otherwise indicated herein, to be carried to the port of discharge or such port or place as selected by the Carrier under the terms and conditions of this Bill, with or without transshipment, as the Vessel and/or other connecting conveyances may safely get, and to be delivered there in like order and condition unto order or assigns, subject to the terms, conditions and exceptions on the face and back hereof.

This Bill (duly endorsed if it is negotiable) must be surrendered in exchange for the Goods or delivery order except where this Bill issued as a Sea Waybill. Where issued as a Sea Waybill, this Bill is not negotiable or a document of title and delivery shall be made to the named consignee on production of such reasonable proof of identify as may be required by the Carrier.

In accepting this Bill, the Merchant agrees to be bound by all the stipulations, exceptions, terms and conditions on the face and back hereof, whether written, typed, stamped or printed, as fully as if signed by the Merchant, any local custom or privilege to the contrary notwithstanding and agrees that all agreements or freight engagements for and in connection with the carriage of the Goods are superseded by this Bill.

In witness whereof, the undersigned, on behalf of Nippon Yusen Kaisha, the Master and the owner of the Vessel, has signed the number of Bill(s) stated below, all of this tenor and date, one of which being accomplished, the others to stand void.

<BACK>

1. (Definition) The following words both on the face and back of this Bill have the meanings hereby assigned:

- (a) "Bill" means this document, whether issued as a Bill of Lading or a Sea Waybill, and whether issued in paper or electronic form ;
- (b) "Carrier" means Nippon Yusen Kaisha including the servants, agents and the Master, and the Vessel and/or her owner;
- (c) "Merchant" includes the shipper, consignor, consignee, owner or

receiver of the Goods and also the holder of this Bill and any other person acting on their behalf;

- (d) "Goods" mean the cargo described on the face hereof and, if the cargo is packed into container(s), loaded on pallet(s) or unitized into similar article(s) of transport supplied or furnished by or on behalf of the Merchant, include such article(s) of transport as well;
- (e) "Vessel" includes vessel, ship, craft, lighter or other conveyances which is or shall be substituted, in whole or in part, for the vessel named in the column "Ocean Vessel" on the face hereof.
- (f) "Sub-Contractor" includes owners and operators of the Vessel or any other vessel (other than the Carrier), stevedores, terminal operators, warehousemen, road and rail transport operators and any independent contractors employed by the Carrier in performance of the Carriage and any sub-contractor thereof.
- (g) "Carriage" means the whole or any part of the operations and services undertaken by the Carrier in respect of the Goods covered by this Bill.
- (h) "Person" includes an individual, group, company, or other entity.
- (i) "Shipper" means Person(s) described as shipper on this Bill and/or Person(s) who entered into the contract of Carriage.

2. (Clause Paramount) (1) This Bill shall have effect subject to the provisions of the International Carriage of Goods by Sea Act, 1957 of Japan, as amended on 3 June, 1992 (hereinafter called the "Act"), unless it is adjudged that any other legislation of a nature similar to the International Convention for the Unification of Certain Rules relating to bills of lading signed at Brussels on 25 August, 1924, or the amendments by the Protocol signed at Brussels on 23 February, 1968, or the amendments by the Protocol signed at Brussels on 21 December, 1979, including without limitation, the Carriage of Goods by Sea Act, 1936, of the United States (hereinafter called "US COGSA")(such similar legislation and US COGSA shall hereinafter be called "Hague Rules Legislation"), compulsorily applies to this Bill, in which case it shall have effect subject to the provisions of such Hague Rules Legislation. Notwithstanding anything else in this Bill, on all the Carriage to or from the United States of America (this expression includes its districts territories and possessions), this Bill shall have effect subject to US COGSA.

(2) The Act or Hague Rules Legislation, whichever is applicable pursuant to Article 2(1) shall also apply and govern the Carriage before the Goods are loaded on and after they are discharged from the Vessel and throughout the entire time the Goods are in custody of the Carrier, its agents, servants, representatives and Sub-Contractors.

The Act or Hague Rules Legislation shall be deemed to be incorporated herein. If any provision of this Bill is held to be repugnant to any extent to the Act or Hague Rules Legislation or to any other laws, statutes or regulations applicable to the contract evidenced by this Bill, such provision shall be null and void to that extent but no further.

(3) Where this Bill is issued as a Sea Waybill, this Bill shall have effect subject to the CMI Uniform Rules for Sea Waybills, which are deemed to be incorporated herein; provided, however, that if any provisions of such Rules are inconsistent with those of this Bill, the latter shall prevail.

3. (Governing Law and Jurisdiction) (a) The contract evidenced by or contained in this Bill shall be governed and construed by Japanese law except as may be otherwise provided for herein, and (b) notwithstanding anything else contained in this Bill or in any other contract, any and all actions against the Carrier in respect of the Goods or arising out of the Carriage shall be brought before the Tokyo District Court in Japan to the exclusion of the jurisdiction of any other courts whilst any such actions against the Merchant may be brought before the said Court or any other competent court at the Carrier's option. Where the Goods are subjected to adverse or competing claims, the Carrier may place the Goods in the custody of a court of competent jurisdiction for a determination of ownership and/or right to possession. The Carrier shall have no liability to the Merchant arising out of such placement. The Merchant consents to the exclusive jurisdiction of such Court.

4. (Carrier's Tariff) The terms of the Carrier's applicable Tariff are deemed to be incorporated herein. Copies of the relevant provisions of the applicable Tariff are obtainable from the Carrier upon request. In the case of inconsistency between this Bill and the applicable Tariff, this Bill shall prevail.

5. (Limitation Statutes, Demise Clause) (1) Nothing in this Bill shall operate

Exhibit “B”

THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.

Complainant,

v.

NYK LINE (NORTH AMERICA), INC.,

Respondent.

Docket No. 16-02

RESPONDENT'S ANSWERS TO
COMPLAINANT'S INTERROGATORIES

OBJECTIONS TO DEFINITIONS

Definition No. 1: The extent to which the Rules apply is determined by the Rules themselves and not by parameters set by a private party to any FMC proceeding.

Definition Nos. 3 and 7: A party's obligation to provide information in response to interrogatories is set out in Rule 502.205(a)(1). Complainant cannot redefine or enlarge that obligation.

Definition No. 6: This definition is too vague and ambiguous and has an oppressive multiplier effect on the interrogatories.

Definition No. 9 (first): A party's obligations in respect of objections to interrogatories is determined by Rule 502.205(a)(2) and (b). Complainant cannot redefine or enlarge that obligation.

Definition No. 16: Under Rule 502.205(a)(1), interrogatories may only be used to obtain information. The option to produce documents belongs solely to the party answering the interrogatories.

Definition No. 25: Respondent's obligations to supplement its responses is determined by Rule 201(j). A private party to an FMC proceeding cannot expand or redefine those obligations.

INTERROGATORY NO. 1:

Please provide the following personal identifying information for any such person or persons preparing, providing information for, or otherwise answering the following Interrogatories, other than counsel for Respondent, and indicate the Interrogatory for which each such person provided or helped to prepare a response:

- (a) The full name, including any other names that person or persons has/have used or been known by;
- (b) The date of birth for each such person or persons;
- (c) The Social Security Number for each such person or persons;
- (d) The present home address of each such person or persons;
- (e) The relationship(s) of any such person or persons to Respondent.

RESPONSE NO. 1:

OBJECTION: Respondent objects to Interrogatory 1(b-d) on grounds that providing birth dates and Social Security Nos. is an invasion of privacy and not reasonably calculated to lead to the discovery of admissible evidence.

ANSWER: Without prejudice to the foregoing objection:

- 1. Gary Hurley, Respondent's Vice President of Sales
Interrogatories 2, 3, 4, 5, 11, 14, 15, 16, 20, 21
- 2. John Grbic, Respondent's Sr. Director (Trades)
Interrogatories 2, 3, 4, 5, 10, 11, 13, 15, 18, 19, 21
- 3. Luigi De Lucia, Respondent's Trade Manager
Interrogatories 4, 5, 6, 7, 10
- 4. Eric Jaworski, Respondent's Trade Manager
Interrogatories 4, 5, 6, 7, 10
- 5. Marissa Moore (Respondent's Business Process Management)
Interrogatories 4, 5, 6, 7, 8, 10
- 6. Steve Kim, Respondent's Analyst
Interrogatories 4, 5, 6, 7, 10
- 7. Stacey Kuzak Respondent's Analyst
Interrogatories 4, 5, 6, 7, 8, 10

8. Stacey Southers Respondent's Manager (Customer Service & Documentation)
Interrogatories 4, 5, 6, 7, 8, 10
- 9, Sherrie Panzilius, Respondent's Documentation
Interrogatories 4, 5, 6, 7, 8, 10

Each of the foregoing can be reached at Respondent's offices at 300 Lighting Way, Secaucus,
NJ 07094

INTERROGATORY NO. 2:

Please identify any tariff published by Respondent or otherwise made available to the public in effect at any point from March 1, 2013, indicated on what date(s) any such tariff(s) became effective or ceased to be so.

RESPONSE NO. 2:

OBJECTION: Objected to on grounds of relevance, undue annoyance, expense and oppression. The interrogatory calls for identification of all tariffs, not just those relating to freight forwarder compensation for Ro/Ro shipments. Moreover, it is not reasonably calculated to lead to the production of admissible evidence. Even if it were, the time and expense needed to answer the interrogatory is unreasonably disproportionate the benefit to be derived.

ANSWER: Tariff 156 is and was the only tariff applicable to the Ro Ro trade.

INTERROGATORY NO. 3:

Regarding any agreements between Respondent and Ford in effect at any time between March 1, 2013 and the present date, please provide the following information in as much detail as possible:

- (a) Complete descriptions of the nature and scope of any such agreements, including whether such agreements were/are oral or written;
- (b) Dates such agreements became effective;
- (c) Dates such agreements ceased to be effective;
- (d) Names of persons executing or finalizing such agreements on behalf of Respondent and Ford; and
- (e) Identification of any part of such agreements that would have the effect of barring Complainant from obtaining compensation for freight forwarding services on shipments of Ford productions on vessels owned and/or operated by Respondent.

RESPONSE NO. 3:

OBJECTION: Respondent objects to this interrogatory on grounds that it seeks information that is required to be kept confidential by federal regulations [46 CFR 530.4].

ANSWER: Subject to the foregoing objection, Respondent will provide the Service Contract between Ford and Respondent in effect on and after March 1, 2013 through December 31, 2016, and the renewal covering the period from January 1, 2016 forward, provided Complainant agrees to sign a confidentiality agreement.

INTERROGATORY NO. 4:

Please describe in as much detail as possible what role Complainant has played in facilitating shipments of Ford products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent. If Complainant's role was not the same on all such shipments, please identify which shipments relate to each description of Complainant's role that you provide. Any description of what role Complainant so played should include but is not limited to whether and to what extent Complainant performed the following:

- (a) Ordered cargo to port;
- (b) Prepared and/or processed export correspondences or other documents, including the required 'electronic export information';
- (c) Booked, arranged for, or confirmed cargo space;
- (d) Prepared or processed delivery orders or dock receipts;
- (e) Prepared and/or processed common carrier bills of lading or other shipping correspondences or other documents;
- (f) Prepared or processed consular correspondences or other documents or arranged for their certification;
- (g) Arranged for warehouse storage;
- (h) Arranged for cargo insurance;
- (i) Assisted with clearing shipments in accordance with United States Government export regulations;
- (j) Prepared and/or sent advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (k) Handled freight or other monies advanced by shippers, or remitted or advanced freight or other monies or credit in connection with the dispatching of shipments;
- (l) Coordinated the movement of shipments from origin to vessel;
- (m) Gave advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch;
- (n) Contributed to the choice in particular vessels or shipping routes used;
- (o) Contributed to the choice of particular groups of shipments;
- (p) Contributed to the choice of discharge ports;
- (q) Assumed any responsibility for shipments;
- (r) Discussed rates, charges, surcharges or other charges on shipments;
- (s) Confirmed arrival and/or transfer of shipments; and
- (t) Confirmed progress of shipments.

RESPONSE NO. 4:

OBJECTION: Objected to on grounds of relevance, undue annoyance, expense and oppression. The only services which qualify a freight forwarder for compensation are those set out at 46 CFR 515.42(C)(1-2). Of those items set out at subparts (a) - (t), the only ones proper are (c), (d) (as to dock receipts only) and (e) (only to the extent the bills of

lading or shipping documents are similar to bills of lading or dock receipts). The other requested items of information are not reasonably calculated to lead to the discovery of admissible evidence.

ANSWER: In regard to services Complainant alleged it performed for Respondent on its Freight Forwarder Verification, the only service that Complainant performed was to remotely print NYK Bills of Lading in accordance with EDI exchanged between Ford and Respondent. Such remote printing was performed by Complainant at Ford's request.

INTERROGATORY NO. 5:

Please describe in as much detail as possible what role Complainant has played in facilitating shipments of Ford products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent. If you claim that Complainant's role was not the same on all such shipments, please identify which shipments relate to each description of Complainant's role that you provide. Any description of what role Complainant so played should include but is not limited to whether and to what extent Complainant performed the following:

- (a) Ordered cargo to port;
- (b) Prepared and/or processed export correspondences or other documents, including the required 'electronic export information';
- (c) Booked, arranged for, or confirmed cargo space;
- (d) Prepared or processed delivery orders or dock receipts;
- (e) Prepared and/or processed common carrier bills of lading or other shipping correspondences or other documents;
- (f) Prepared or processed consular correspondences or other documents or arranged for their certification;
- (g) Arranged for warehouse storage;
- (h) Arranged for cargo insurance;
- (i) Assisted with clearing shipments in accordance with United States Government export regulations;
- (j) Prepared and/or sent advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (k) Handled freight or other monies advanced by shippers, or remitted or advanced freight or other monies or credit in connection with the dispatching of shipments;
- (l) Coordinated the movement of shipments from origin to vessel;
- (m) Gave advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch;
- (n) Contributed to the choice in particular vessels or shipping routes used;
- (o) Contributed to the choice of particular groups of shipments;
- (p) Contributed to the choice of discharge ports;
- (q) Assumed any responsibility for shipments;
- (r) Discussed rates, charges, surcharges or other charges on shipments;
- (s) Confirmed arrival and/or transfer of shipments; and
- (t) Confirmed progress of shipments.

RESPONSE NO. 5:

See answer to Interrogatory No. 4 above.

INTERROGATORY NO. 6:

Please describe in as much detail as possible what actions Complainant performed in the preparation and/or processing of bills of lading for shipments of Ford products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent. If Complainant performed different actions regarding such preparation and processing on particular shipments, please identify which shipments correspond to each description you provide.

RESPONSE NO. 6:

Complainant, at the request of Ford, remotely printed NYK bills of lading for use by Ford and such bills of lading were printed on the basis of EDI and email instructions exchanged between Ford and Respondent.

INTERROGATORY NO. 7:

Please identify the any and all individuals with knowledge of the booking, securing, or reserving of cargo space for shipments of Ford Products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent and describe the scope of knowledge of each such individual. If any individual(s) only has/have knowledge relative to particular shipments, please identify which shipments correspond to the personal knowledge of the individual(s).

RESPONSE NO. 7:

See, individuals numbered 2-9 in Respondent's answer to Interrogatory No. 1. In addition, Sharon Parcha of Ford, John Hubbard of Ford, Linda Ferguson of Ford, Steve Emmons of Ford.

INTERROGATORY NO. 8:

Please identify the any and all individuals with knowledge of the preparation and processing of bills of lading or other correspondences or written materials in any format whatsoever for shipments of Ford Products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent and describe the scope of knowledge of each such individual. If any individual(s) only has/have knowledge relative to particular shipments, please identify which shipments correspond to the personal knowledge of the individual(s).

RESPONSE NO. 8:

Marissa Moore (Business Process Management) was responsible for EDI connection with Ford and all EDI Communications.

Stacey Southerd's responsibility was documentation.

Sherrie Panzelius's responsibility was documentation.

Sharon Parcha provided booking and forecasting information from Ford which was the basis for the remote printing of the bills of lading covering the Ford Service contract shipments.

INTERROGATORY NO. 9:

Please identify the any and all individuals with knowledge of the following concerning shipments of Ford Products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent and describe the scope of knowledge of each such individual:

- (a) Ordering cargo to port;
- (b) Preparing or processing delivery orders or dock receipts;
- (c) Preparing or processing consular documents or arranging for their certification;
- (d) Arranging for warehouse storage;
- (e) Arranging for cargo insurance;
- (f) Assisting with clearing shipments in accordance with U.S. Governmental export regulations;
- (g) Preparing and/or sending advance notifications of shipments;
- (h) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (i) Coordinating the movement of shipments from origin to vessel;
- (j) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems important to dispatch of cargo.

Please indicate which category of knowledge listed above each named person possesses. If any individual(s) only has/have knowledge relative to particular shipments, please identify which shipments correspond to the personal knowledge of the individual(s).

RESPONSE NO. 9:

OBJECTION: Objected to on grounds of relevance, undue annoyance, expense and oppression. The only services which qualify a freight forwarder for compensation are those set out at 46 CFR 515.42(C)(1-2). Of those items set out at subparts (a) - (t) above, the only ones proper are (c), (d) (as to dock receipts only) and (e) (only to the extent the bills of lading or shipping documents are similar to bills of lading or dock receipts). The other requested items of information are not reasonably calculated to lead to the discovery of admissible evidence.

ANSWER: Items a – j are not services performed by or on behalf of Respondent. Upon information and belief many of the functions set forth in, items a – j were performed in-house at Ford by Ford personnel during the times in question.

INTERROGATORY NO. 10:

Please describe in as much detail as possible what factual basis(es) exist(s) in support of Respondent's position that Complainant did not perform freight forwarding services on shipments of Ford products from March 1, 2015 through the present on vessels owned and/or operated by Respondent, including but not limited to:

- (a) Whether any person or entity other than Complainant performed freight forwarding services on such shipments, and, if so, who provided such services, what particular services were provided, when such services were provided, and on which particular shipments were such services provided;
- (b) Whether Complainant's claims for freight forwarder compensation fail to factually comply with the terms of Respondent's applicable tariff, and, if so, which term and/or terms are not satisfied by Complainant's claim and how Complainant's claim fails to satisfy the term and/or terms; and
- (c) Whether Complainant's claims for freight forwarder compensation fail to factually comply with the terms of any regulation of the Federal Maritime Commission and/or any statute, and, if so, which term and/or terms are not satisfied by Complainant's claim and how Complainant's claim fails to satisfy the term and/or terms.

RESPONSE NO. 10:

OBJECTION: Objected to on grounds that the only freight forwarding services that qualify Complainant for compensation are those set out at 46 CFR 515.42(c)(1-2).

Respondent objects to so much of this interrogatory as seeks information about services other than those.

ANSWER: Ford Motor Company engaged, booked, secured, reserved, and contracted directly with Respondent for space aboard Respondent's vessels and Ford directly confirmed that space with Respondent via emails directly from Ford employees or EDI messages from Ford's SAP Platform. The bills of lading were prepared based on emails exchanged with Ford and ultimately were printed out remotely at Ford's request on the basis of an EDI Proof Bill of lading prepared by Respondent which was required to be printed out remotely without any revision by Complainant pursuant to the POA Agreement

dated April 2, 2015. Complainant did not perform the services necessary to receive freight forwarder compensation under FMC regulations or Respondent's Tariff 156.

INTERROGATORY NO. 11:

Has Respondent ever performed any freight forwarding services related to shipments of Ford Products on any vessels at the request of Complainant? If so, please provide the following information in as much detail as possible:

- (a) The bill of lading number(s) for each shipment(s) for which Respondent performed such requested services;
- (b) The identity(ies) of which representative(s) for Complainant made such request(s);
- (c) The identity(ies) of which representative(s) for Respondent received such request(s);
- (d) In as much detail as possible, what the request(s) entailed;
- (e) The identity(ies) of the person or persons that performed such services on behalf of Respondent (including on which shipment such person or persons performed those services);
- (f) The exact, requested services performed on each shipment(s) by Respondent; and
- (g) The particular number of any freight forwarder license held by Respondent or any of its agents that performed such, requested services.

RESPONSE NO. 11:

Respondent is a vessel operating common carrier (VOCC) and performs those services required for a VOCC. It is not a freight forwarder and has not performed freight forwarding services on behalf of Complainant.

INTERROGATORY NO. 12:

Is Respondent aware of any factual basis for concluding that Complainant has or has had any beneficial interest as defined in 46 CFR §515.2(b) in any shipment of Ford products from March 1, 2015 up through the present date carried on vessels owned and/or operated by Respondent? If so, please provide the following information in as much detail as possible:

- (a) The bill of lading number for any such shipment(s);
- (b) The nature and scope of the beneficial interest Complainant allegedly has in the shipment(s);
- (c) The identity(ies) of all individuals with knowledge of the factual basis of any such beneficial interest(s).

RESPONSE NO. 12:

None known.

INTERROGATORY NO. 13:

Has any other person or entity demanded freight forwarder compensation and/or brokerage fees from Respondent within the last five (5) years? If so, please provide the following information in as much detail as possible:

- (a) The identity(ies) of any person(s) or entity(ies) making such demand(s);
- (b) When such demands were made;
- (c) Whether Respondent denied such demand(s), either in whole or in part;
- (d) Any reasons relied on by Respondent for denying such demand(s), either in whole or in part;
- (e) The caption of any litigation(s) or legal proceeding(s) commenced regarding such demand(s) including the name of the applicable court(s) or agency(ies); and
- (f) How such litigation(s) or legal proceeding(s) were resolved.

RESPONSE NO. 13:

OBJECTION: Respondent objects to this Interrogatory on grounds that it is irrelevant and immaterial to the present action and is not reasonably calculated to lead to the discovery of admissible evidence. Respondent further objects to the time frame in the interrogatory which goes back five years prior to the time frame in question and is therefore unduly burdensome.

ANSWER: Without prejudice to the foregoing objection, other than Complainant, no other person or entity has "demanded" freight forwarder compensation or brokerage in the last five years.

INTERROGATORY NO. 14:

Has any other person or entity claimed that Respondent has otherwise violated the terms of its effective tariff(s) within the last five (5) years? If so, please provide the following information in as much detail as possible:

- (a) The identity(ies) of any person(s) or entity(ies) making such claims(s);
- (b) When such claims were made;
- (c) Which particular sections of Respondent's tariff the person(s) or entity(ies) claimed were violated;
- (d) The caption of any litigation(s) or legal proceeding(s) commenced regarding such claim(s) including the name of the applicable court or agency; and
- (e) How such litigation(s) or legal proceeding(s) were resolved.

RESPONSE NO. 14:

OBJECTION: Objected to on grounds of relevance in that it is not reasonably calculated to lead to the discovery of admissible evidence. Complainant's right to freight forwarder compensation will be determined solely by its own compliance with 46 CFR 515 and the applicable NYK tariff, not by the claims of any other forwarder. Moreover, providing the information sought will be unduly expensive and oppressive to Respondent to the extent this proceeding must then consider the merits of other freight forwarder compensation claims or payments--thus unduly multiplying the issues and proceedings.

ANSWER: Without prejudice to the foregoing objection, no other person or entity has claimed that Respondent has otherwise violated the terms of its effective tariff(s) within the last five (5) years.

INTERROGATORY NO. 15:

Is Respondent aware of any factual basis for concluding that Complainant has waived any freight forwarding compensation it otherwise would be owed by Respondent? If so, please provide the following information in as much detail as possible:

- (a) The identity(ies) of any person(s) or entity(ies) making any statements, either written or oral, or executing any agreements which made such a waiver;
- (b) How such a waiver was made;
- (c) When such a waiver was made;
- (d) The identity(ies) of any person(s) or entity(ies) receiving any statements, either written or oral, or executing any agreements which made such a waiver; and
- (e) Any acts or omissions by Complainant or any of its agents that constituted such a waiver.

RESPONSE NO. 15:

ANSWER: Complainant was never owed any freight forwarding commission by Respondent since it did not perform the requisite services specified in its verification, so there was no compensation to waive. See also response to 16 infra.

INTERROGATORY NO. 16:

Does Respondent contend that any term or provision of the Agreement or any correspondence and/or communication related thereto in any way limit compensation for freight forwarding services to which Complainant would otherwise be entitled? If so, please provide the following in as much detail as possible:

- (a) What particular term or provision of the Agreement so limits Complainant's freight forwarding compensation;
- (b) What correspondence or communication related to the Agreement so limits Complainant's freight forwarding compensation;
- (c) The identity(ies) of the particular person(s) who sent and/or receive such correspondences or who engaged in such communication; and
- (d) How such term, provision, correspondence, or communication so limits Complainant's freight forwarding compensation;

RESPONSE NO. 16:

ANSWER: Complainant was never entitled to freight forwarder compensation from Respondent and was advised of this fact in writing prior to signing the Agreement and as a result of such notification it agreed to removal of a compensation provision which it initially presented to Respondent before the Agreement was signed. Subject to the foregoing objection, Respondent will produce copies of the emails and exchanges between Complainant and Respondent provided Complainant signs a confidentiality agreement.

INTERROGATORY NO. 17:

Please describe in as much detail as possible any and all freight charges Respondent has assessed Ford or any person or entity acting on behalf of Ford for shipments of Ford products since March 1, 2015 carried on vessels owned/and or operated by Respondent, including but not limited to the following information:

- (a) The total compensation owed to Respondent from Ford for such shipments;
- (b) Whether Respondent has yet to be paid for any of the charges it has assessed for such shipments, and, if so, the reasons understood by Respondent for any such lack of payment; and
- (c) The dates and amounts of any payments Respondent has received from Ford for such shipments

RESPONSE NO. 17:

OBJECTION: Respondent objects to this interrogatory's part (c) on grounds that it seeks information that is required to be kept confidential by federal regulations [46 CFR 530.4].

ANSWER:

- (a) As of April 6, 2016, Respondent has assessed Ford \$27,924,520.00 in freight , including, where applicable under the Ford Service Contract, adjustments for Bunker surcharges.
- (b) No payments are due and owing outside of the time frame for payments set forth in the Ford Service Contract.
- (c) Subject to the foregoing objection, Respondent will produce documents responsive to this request provided Complainant signs a confidentiality agreement..

INTERROGATORY NO. 18:

Were outport arbitraries charged on any shipment of Ford products from March 1, 2015 through the present date carried on vessels owned and/or operated by Respondent? If so, please provide the following information in as much detail as possible

- (a) The bill of lading number for any such shipment(s);
- (b) The amount charged for each outport arbitrary, including to which shipment it was charged;
- (c) Whether any such outport arbitraries were discussed with Complainant, and, if so, the dates they were discussed, which particular outport arbitraries were discussed, and the identities of the persons acting on behalf of Complainant, Respondent, and any third parties during such discussions; and
- (d) The identity(ies) of all individuals with knowledge of the factual basis of any such beneficial interest(s).

RESPONSE NO. 18:

ANSWER: No outport arbitraries were charged as per the Service Contract between Ford and Respondent.

INTERROGATORY NO. 19:

Were any supplemental charges (including but not limited to accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fees assessed for use of containers, and/or surcharges assessed in addition to freight rates published in Respondent's applicable tariff or tariffs) charged on any shipment of Ford products from March 1, 2015 through the present date carried on vessels owned and/or operated by Respondent? If so, please provide the following information in as much detail as possible

- (b) The particular type of supplemental charge(s);
- (c) The amount for each supplemental charge, including to which shipment it was charged;
- (d) Whether any such charges were discussed with Complainant, and, if so, the dates they were discussed, which particular outport arbitraries were discussed, and the identities of the persons acting on behalf of Complainant, Respondent, and any third parties during such discussions; and
- (e) The identity(ies) of all individuals with knowledge of the factual basis of any such charge.

RESPONSE NO. 19:

ANSWER: In regard to the charges listed above no such charges were applicable as per the Ford Service Contract. Freight charges did from time to time include Bunker Adjustment when applicable under the Ford Service Contract. Documents responsive to this request will be provided in response to Complainant's RFP. Since Supplemental charges were not included in the Ford Service Contract there was no reason to discuss such charges with either Ford or anyone else including Complainant.

INTERROGATORY NO. 20:

Are you aware of any statement or statements (including those described in any previous Interrogatory), concerning the subject matter of this action from any party, witness or other person? If yes, please perform the following for each such statement:

- (a) Identify the individual(s) who has/have given the statement(s);
- (b) Identify each individual(s) who obtained the statement(s);
- (c) State whether the statement(s) is/are written or oral and provide the date, place, and time that the statement(s) was/were obtained; and
- (d) Identify each person and/or entity who presently has custody of the original or a copy of the statement(s).

RESPONSE NO. 20:

ANSWER: Discussions and emails between Steve Emmons and Gary Hurley in 2015. Emails and POA drafts exchanged with DFY's Robert Tracy. Documents will be attached to NYK's response to Complainant's RFP.

INTERROGATORY NO. 21:

Does Respondent or any person acting on its behalf in relation to shipments of Ford products carried on vessels owned and/or operated by Respondent possess a valid freight forwarder license issued by the Federal Maritime Commission? If so, please provide:

- (a) The number for such license;
- (b) The name of the person and/or entity holding such license;
- (c) The date such license was issued; and
- (d) For which particular Ford shipments this license was used by Respondent and/or its agent.

RESPONSE NO. 21:

ANSWER: Respondent does not have a freight forwarding license.

INTERROGATORY NO. 22:

Please describe any and all insurance policies held by Respondent which could possibly provide Respondent coverage for claims asserted by Complainant, including but not limited to the following information:

- (a) The name of the insurance carrier which issued each policy of insurance;
- (b) The named insured(s) under each policy and the policy number;
- (c) The type of each policy and the effective dates;
- (d) The amount of coverage provided for injury to each person and/or entity, for each occurrence, and in the aggregate for each policy;
- (e) Each exclusion, if any, in the policy which is applicable to any claims thereunder and the reasons why Respondent or the insurer states the exclusion is applicable.

RESPONSE NO. 22:

ANSWER: As of this date no policy has been identified. If a policy is identified as covering this claim this interrogatory will be supplemented.

INTERROGATORY NO. 23:

If Respondent has engaged, or expects to engage any expert witnesses (including but not limited to forensic accountants), whether or not Respondent intends to have said experts testify on Respondent's behalf on any matter pertaining to this action, please state:

- (a) The name of the expert;
- (b) The expert's professional address;
- (c) The expert's occupation;
- (d) The expert's specialty;
- (e) The expert's qualifications (i.e. Curriculum Vitae);
- (f) The topic or subject matter upon which expert is expected to testify;
- (a) The substance of the facts to which the expert is expected to testify;
- (h) The substance of the opinion to which the expert is expected to testify;
- (i) A summary of the grounds for each opinion the expert is expected to testify.

RESPONSE NO. 23:

OBJECTION: This interrogatory is objected to on grounds that it calls for Respondent to provide expert disclosure in advance of the July 16, 2016 deadline agreed to by Complainant in the Joint Report on the parties' meet and confer.

ANSWER: Without prejudice to that objection, as of the date of this response, Respondent has not engaged any expert witnesses. Respondent will supplement this response if and when it engages an expert.

INTERROGATORY NO. 24:

Please describe in as much detail as possible any exhibits Respondent has identified for use at hearing in this subject suit.

RESPONSE NO. 24:

ANSWER: As of this date, Respondent has not decided which documents it will submit at the hearing of this suit but reserves its right to submit any documents submitted in response to Complainant's Request for Production.

INTERROGATORY NO. 25:

Please provide in as much detail as possible any information not otherwise provided above which supports any of Respondent's defenses or contradicts any of Complainant claims in this matter.

RESPONSE NO. 25:

ANSWER: See, Responses 1-24, Respondent's response to Complainant's Request for Admission, and Respondent's response to Complainant's Request for Production and any subsequent supplements to the foregoing.

Dated: White Plains, NY, April __, 2016

CICHANOWICZ CALLAN KEANE & De MAY, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
212-344-7042 (T)
914-682-2083
Attorneys for Respondent

By: _____
Paul M. Keane

Exhibit “C”

Gabriel Major

From: Robert Tracy <Robert.Tracy@dfyoung.com>
Sent: Tuesday, March 03, 2015 3:24 PM
To: gary.hurley@na.nykline.com
Cc: john.grbic@na.nykline.com; robert.cirillo@na.nykline.com; ted.janeway@na.nykline.com; Wes Wyatt
Subject: RE: NYK/DFY POA for Ford Business

Hello Gary,

After reviewing your proposed POA, we disagree with your view that we do not perform freight forwarding services for Ford. Also, your agreement with our predecessor is not relevant. It is our desire to enter into a POA with NYK; however, we cannot sign the agreement you proposed. Our lawyers have reviewed the scope of work and determined we clearly perform functions of a licensed freight forwarder and therefore are lawfully entitled to the freight forwarding commissions. Please send as soon as possible a revised POA agreement that does not exclude the commissions referenced in your governing tariff.

Regards,
Rob

This message and any attachments are intended only for the use of the addressee and may contain information that is privileged and confidential. If the reader of the message is not the intended recipient or an authorized representative of the intended recipient, you are hereby notified that any dissemination of this communication is strictly prohibited. If you have received this communication in error, notify the sender immediately by return email and delete the message and any attachments from your system.

From: gary.hurley@na.nykline.com [mailto:gary.hurley@na.nykline.com]
Sent: Friday, February 27, 2015 5:37 PM
To: Robert Tracy
Cc: john.grbic@na.nykline.com; robert.cirillo@na.nykline.com; ted.janeway@na.nykline.com
Subject: RE: NYK/DFY POA for Ford Business

Rob,

Thanks for your message below. While we understand your concerns regarding freight forwarders compensation in our applicable tariff, if the parties agree this requirement can be waived. It has been the intent of NYK to execute a similar Power of Attorney to that which was accepted by your predecessor. In that Power of Attorney, it was clearly agreed upon by the parties that there would be no compensation of any kind made by NYK to Ford's agent. We do not view the services that you are providing as a freight forwarder. As such, please find the revised redline of the Power of Attorney for your review and approval."

Thanks and regards
Gary

From: Robert Tracy <Robert.Tracy@dfyoung.com>
To: "gary.hurley@na.nykline.com" <gary.hurley@na.nykline.com>,
Cc: "john.grbic@na.nykline.com" <john.grbic@na.nykline.com>, "robert.cirillo@na.nykline.com" <robert.cirillo@na.nykline.com>,
"led.janeway@na.nykline.com" <led.janeway@na.nykline.com>
Date: 02/27/2015 12:33 PM
Subject: RE: NYK/DFY POA for Ford Business

Hello Gary,

We are reviewing the POA. In the meantime, your current position is clear to us regarding the proposed foreign to foreign compensation agreement we discussed earlier. Please confirm that you still support the freight forwarder's commission structure which is filed in your governing tariff, applicable to shipments exporting from the US.

Best Regards,
Rob

This message and any attachments are intended only for the use of the addressee and may contain information that is privileged and confidential. If the reader of the message is not the intended recipient or an authorized representative of the intended recipient, you are hereby notified that any dissemination of this communication is strictly prohibited. If you have received this communication in error, notify the sender immediately by return email and delete the message and any attachments from your system.

From: gary.hurley@na.nykline.com [mailto:gary.hurley@na.nykline.com]
Sent: Friday, February 27, 2015 9:31 AM
To: Robert Tracy
Cc: john.grbic@na.nykline.com; robert.cirillo@na.nykline.com; fed.janeway@na.nykline.com
Subject: Re: NYK/DFY POA for Ford Business

Rob,

Thanks yrs below and our phone conversation. We have made the minor changes we discussed via phone and as agreed have reviewed your revised commission wording and discussed with our legal team and since we will not be paying any commission for this business to DF Young, there is no reason to have this paragraph in the POA. Plse find the final POA draft for your review and if agreeable plse sign and scan back and will have NYK sign and send you back executed copy for your files.

Thanks and regards
Gary

From: Robert Tracy <Robert.Tracy@dfyoung.com>
To: "gary.hurley@na.nykline.com" <gary.hurley@na.nykline.com>,
Cc: "led.janeway@na.nykline.com" <led.janeway@na.nykline.com>, "john.grbic@na.nykline.com" <john.grbic@na.nykline.com>,
"robert.cirillo@na.nykline.com" <robert.cirillo@na.nykline.com>
Date: 02/26/2015 02:53 PM
Subject: NYK/DFY POA for Ford Business

Hello Gary,

Please see attached revised POA for you review.

Regards,
Rob

This message and any attachments are intended only for the use of the addressee and may contain information that is privileged and confidential. If the reader of the message is not the intended recipient or an authorized representative of the intended recipient, you are hereby notified that any dissemination of this communication is strictly prohibited. If you have received this communication in error, notify the sender immediately by return email and delete the message and any attachments from your system.

From: gary.hurley@na.nykline.com [<mailto:gary.hurley@na.nykline.com>]

Sent: Thursday, February 26, 2015 11:36 AM

To: Robert Tracy

Cc: semmons@ford.com; ted.janeway@na.nykline.com; john.grbic@na.nykline.com; robert.cirillo@na.nykline.com

Subject: NYK/DFY POA for Ford Business

Rob,

Plse find POA which we used the DFY draft and had our lawyers review. Basically no key issues and just added a few changes:

Main change was we eliminated item 6 on orig draft which pertained to commissions as NYK will not be paying DFY any commission for this svc.

Plse review and if agreeable plse sign and scan back to my attention and will have NYK signature and scan executed copy back to you for your files.
If any questions or comments plse advise.

We look forward to working closely with you on the Ford business going forward
Best Regards

Gary

The materials contained in and accompanying this e-mail have been prepared solely for informational purposes. Neither NYK nor any of its affiliates make any warranties in relation to the use of them. The information contained in this e-mail message may be confidential, subject to legal privilege, or otherwise protected from disclosure, and is intended solely for the use of the intended recipient(s). If you have received this communication in error, please notify the sender immediately and delete all copies in your possession.

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Gabriel Major

From: gary.hurley@na.nykline.com
Sent: Monday, May 11, 2015 10:19 AM
To: Robert Tracy
Cc: john.grbic@na.nykline.com; robert.cirillo@na.nykline.com; ted.janeway@na.nykline.com; Wes Wyatt; Tomohiro.Hosaka@na.nykline.com
Subject: Re: NYK/DFY POA for Ford Business
Attachments: NYK DFY Ford POA 20150507.pdf

Robert,

Sorry for delay on this issue and hope below now settles and we can proceed to to provide our joint customer Ford the proper svc.

Please find the attached, limited Power of Attorney that has been signed by NYK Line. This Power of Attorney gives DF Young the ability to print Bills of Ladings remotely at the request of our customer Ford. This is not intended to give DF Young any other authority beyond this limited usage. The execution of this limited Power of Attorney does not entitle DF Young to receive any compensation from NYK. Any and all compensation that DF Young receives shall come from Ford and not NYK. We expect that DF Young will not issue any invoice to NYK for providing this in-house service for Ford. The previous agent for Ford did not receive compensation of any kind from NYK and both Ford & NYK expect that to remain unchanged. In the event DF Young issues an invoice to NYK, this Power of Attorney shall be terminated immediately and the invoice shall be returned unpaid.

Best Regards
Gary

From: Robert Tracy <Robert.Tracy@dfyoung.com>
To: "gary.hurley@na.nykline.com" <gary.hurley@na.nykline.com>,
Cc: "john.grbic@na.nykline.com" <john.grbic@na.nykline.com>, "robert.cirillo@na.nykline.com" <robert.cirillo@na.nykline.com>, "ted.janeway@na.nykline.com" <ted.janeway@na.nykline.com>, Wes Wyatt <Wes.Wyatt@dfyoung.com>
Date: 05/05/2015 01:18 PM
Subject: NYK/DFY POA for Ford Business

I received an undeliverable so I am resending.

Hello Gary,

As you know, the FMC has suggested that we enter into a POA for Ford built up vehicle shipments where there is no mention of Freight Forwarding compensation what so ever. The POA document was never intended to address this issue anyway. In fact, we have signed the version you prepared where there is no mention of the Freight Forwarding Compensation one way or the other, which you now don't want to honor. We have attempted to enter into this agreement with NYK multiple times since we have become Ford's Freight Forwarder. We do not understand your position against entering in the POA and thus negatively impacting our mutual customer's operations. You will find attached a signed copy of the POA. We again ask that you return a counter-signed copy so that we (DFY and NYK) can provide the best possible service for Ford.

Best Regards,
Robert Tracy

DF Young, Inc.

The materials contained in and accompanying this e-mail have been prepared solely for informational purposes. Neither NYK nor any of its affiliates make any warranties in relation to the use of them. The information contained in this e-mail message may be confidential, subject to legal privilege, or otherwise protected from disclosure, and is intended solely for the use of the intended recipient(s). If you have received this communication in error, please notify the sender immediately and delete all copies in your possession.

AGREEMENT

This Agreement (hereinafter "Agreement") is made this 2nd day of April, 2015, by and between NYK Line (North America) Inc. and principal place of business located at 300 Lighting Way, Secaucus, NJ 07094 (hereinafter "CARRIER") and D.F. Young, Inc., having an office and principal place of business at 1235 Westlakes Drive, Suite 255, Berwyn, PA 19312 (hereinafter "Forwarding Agent").

WHEREAS, in accordance with the regulations of the Federal Maritime Commission of the United States of America, Forwarding Agent is a duly licensed Ocean Transportation Intermediary;

WHEREAS, Forwarding Agent performs freight forwarding services on behalf of the Ford Motor Company and its affiliated companies (hereinafter "Ford"), in connection with shipments of newly manufactured Ford vehicles (a) to and/or from the United States of America, and (b) in foreign-to-foreign trade lanes;

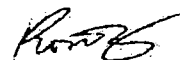
WHEREAS, CARRIER is a carrier of goods by water for hire, whose services Forwarding Agent and Ford use for the transportation of certain of the referenced shipments;

WHEREAS, CARRIER, Forwarding Agent and Ford desire to simplify the process of bill of lading issuance for such business;

NOW, THEREFORE, for and in consideration of the above premises, the mutual promises and covenants set forth below, and other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, CARRIER and Forwarding Agent agree as follows:

1. TERM. This Agreement shall commence on the above date and shall remain in effect for services in place with Ford. Except with respect to bills of lading that have already been issued in accordance with this Agreement, either party may terminate this Agreement at any time, for any reason. Notice of termination by CARRIER or Forwarding Agent may be given by written, electronic or facsimile notice, and termination shall take effect either immediately upon such notice or upon such later date as may be specified in said notice. Termination shall not affect the rights or liabilities of the parties in existence on the date of termination.

2. SCOPE. It is understood and agreed Forwarding Agent is acting on behalf of Ford, from whom Forwarding Agent has written power of attorney. Forwarding Agent enters into this Agreement on its own behalf and on behalf of Ford who, together with Forwarding Agent, shall be bound by the terms and conditions



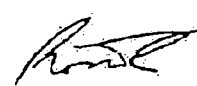
hereof. This Agreement shall apply to all shipments of Ford for which (a) Forwarding Agent performs freight forwarding services, and (b) CARRIER has provided Forwarding Agent with written authorization to proceed in accordance with the procedure set forth herein. For purposes of the foregoing, subject to the provisions of this Agreement, transmission by CARRIER and receipt by Forwarding Agent of Electronic Data Interchange ("EDI") containing bill of lading data shall constitute such authorization.

3. ELECTRONIC DATA. Electronic bill of lading data shall, in accordance with bookings made by Forwarding Agent and/or Ford, be created by CARRIER or its duly authorized agent and transmitted to Forwarding Agent via EDI, for the sole purpose of printing at Forwarding Agent's office bills of lading to be used for the Ford shipments identified above. Forwarding Agent shall provide, at its sole cost, all personnel and equipment (such as hardware, software, printers, etc.) necessary to receive and utilize the EDI. Forwarding Agent shall follow all instructions and directions CARRIER may provide in connection with the bill of lading data. Unless authorized by CARRIER in writing, Forwarding Agent shall at no time (a) alter or supplement any bill of lading data, or (b) alter, supplement, correct, amend, replace, duplicate or reissue any bills of lading created from the bill of lading data.

4. BILL OF LADING FORMS. For the Ford shipments identified above, Forwarding Agent shall, in accordance with the instructions and directions provided by CARRIER, use the bill of lading data to print and issue bills of lading on forms to be supplied by Forwarding Agent. It shall be the responsibility of Forwarding Agent effectively to incorporate by reference into all bills of lading issued hereunder the terms and conditions of CARRIER's regular form bill of lading, a copy of which is attached as "Exhibit A." CARRIER, Forwarding Agent and Ford agree that the terms and conditions of CARRIER's regular form bill of lading shall apply to all shipments hereunder. It shall also be the responsibility of Forwarding Agent to identify on bills of lading CARRIER as the carrier and, when authorized to do so in accordance with the terms of this Agreement, to sign the bills of lading for or on behalf of CARRIER, as agent thereof.

Forwarding Agent shall under no circumstances permit the bill of lading data or the bills of lading printed therewith to be used for purposes other than those authorized by this Agreement.

In the event of any conflict between the terms and conditions of the bill of lading and of this Agreement, the terms and conditions of this Agreement shall control.



5. BILL OF LADING ISSUANCE AND RELEASE. Forwarding Agent is appointed special agent of CARRIER for the sole purpose of issuing bills of lading hereunder. CARRIER shall provide Forwarding Agent with specific written or data communications that cargo has been loaded to a vessel and that bills of lading are authorized to be released. Only upon receipt of such communications shall Forwarding Agent be authorized to print, sign and release bills of lading. Under no circumstances shall Forwarding Agent print, sign or release bills of lading without having received such communications from CARRIER, in advance.

6. PROPERTY RIGHTS. Unless such information is otherwise available to the general public, CARRIER and Forwarding Agent shall keep all information shared or otherwise obtained by reason of this Agreement confidential. Neither party shall use, transmit, share with third parties or otherwise divulge such information without the express written consent of the other party.

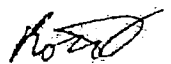
This Agreement shall not be construed to allow either party to use the names, trade-names, good will, trade-marks or copyrights of the other. CARRIER and Forwarding Agent hereby agree not to use or otherwise infringe upon any such property rights, unless authorized to do so in a separate agreement signed by the party against whom enforcement is sought.

7. ASSIGNMENT. Neither party may assign any of its rights or delegate any of its duties under this Agreement without the prior written consent of the other party. Nothing herein shall be construed to restrict the right of CARRIER to act through its duly authorized agents.

8. INDEMNIFICATION. Forwarding Agent shall defend, indemnify and hold harmless CARRIER from and against any and all claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, that arise out of Forwarding Agent's breach of this Agreement, negligence or intentional misconduct, except to the extent that such claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, arise out of any breach of this Agreement, negligence or intentional misconduct of CARRIER.

9. LAW. This Agreement shall be governed by and construed in accordance with the general maritime laws of the United States including the Federal Bills of Lading Act. The parties agree to comply with the foregoing and all other applicable law.

In the event of any breach of this Agreement by Forwarding Agent, CARRIER shall have the right to bring an action against Forwarding Agent in the state or

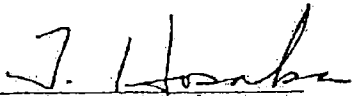


federal courts located in the Southern District of New York to the jurisdiction of the aforesaid forum. All other causes of action concerning this Agreement shall be brought, if at all, in the forum set forth in the bill of lading.

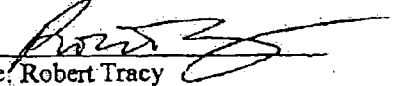
10. MISCELLANEOUS. This Agreement is mutually non-exclusive and it is agreed CARRIER and Forwarding Agent may enter into like agreements with other parties. This Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in a writing signed by the party against whom enforcement is sought.

CARRIER

By: NYK Line (North America) Inc.
As an Agent for Nippon Yusen Kabushiki Kaisha

By: 
Name: Tomohiro Hosaka
Title: Vice President - RoRo Division

D. F. Young, Inc.

By: 
Name: Robert Tracy
Title: Director - Global Vehicle Logistics

AGREEMENT

This Agreement (hereinafter "Agreement") is made this 2nd day of April, 2015, by and between NYK Line (North America) Inc. and principal place of business located at 300 Lighting Way, Secaucus, NJ 07094 (hereinafter "CARRIER") and D.F. Young, Inc., having an office and principal place of business at 1235 Westlakes Drive, Suite 255, Berwyn, PA 19312 (hereinafter "Forwarding Agent").

WHEREAS, in accordance with the regulations of the Federal Maritime Commission of the United States of America, Forwarding Agent is a duly licensed Ocean Transportation Intermediary;

WHEREAS, Forwarding Agent performs freight forwarding services on behalf of the Ford Motor Company and its affiliated companies (hereinafter "Ford"), in connection with shipments of newly manufactured Ford vehicles (a) to and/or from the United States of America, and (b) in foreign-to-foreign trade lanes;

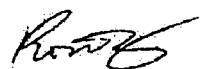
WHEREAS, CARRIER is a carrier of goods by water for hire, whose services Forwarding Agent and Ford use for the transportation of certain of the referenced shipments;

WHEREAS, CARRIER, Forwarding Agent and Ford desire to simplify the process of bill of lading issuance for such business;

NOW, THEREFORE, for and in consideration of the above premises, the mutual promises and covenants set forth below, and other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, CARRIER and Forwarding Agent agree as follows:

1. TERM. This Agreement shall commence on the above date and shall remain in effect for services in place with Ford. Except with respect to bills of lading that have already been issued in accordance with this Agreement, either party may terminate this Agreement at any time, for any reason. Notice of termination by CARRIER or Forwarding Agent may be given by written, electronic or facsimile notice, and termination shall take effect either immediately upon such notice or upon such later date as may be specified in said notice. Termination shall not affect the rights or liabilities of the parties in existence on the date of termination.

2. SCOPE. It is understood and agreed Forwarding Agent is acting on behalf of Ford, from whom Forwarding Agent has written power of attorney. Forwarding Agent enters into this Agreement on its own behalf and on behalf of Ford who, together with Forwarding Agent, shall be bound by the terms and conditions



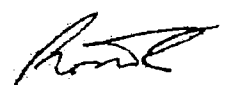
hereof. This Agreement shall apply to all shipments of Ford for which (a) Forwarding Agent performs freight forwarding services, and (b) CARRIER has provided Forwarding Agent with written authorization to proceed in accordance with the procedure set forth herein. For purposes of the foregoing, subject to the provisions of this Agreement, transmission by CARRIER and receipt by Forwarding Agent of Electronic Data Interchange ("EDI") containing bill of lading data shall constitute such authorization.

3. ELECTRONIC DATA. Electronic bill of lading data shall, in accordance with bookings made by Forwarding Agent and/or Ford, be created by CARRIER or its duly authorized agent and transmitted to Forwarding Agent via EDI, for the sole purpose of printing at Forwarding Agent's office bills of lading to be used for the Ford shipments identified above. Forwarding Agent shall provide, at its sole cost, all personnel and equipment (such as hardware, software, printers, etc.) necessary to receive and utilize the EDI. Forwarding Agent shall follow all instructions and directions CARRIER may provide in connection with the bill of lading data. Unless authorized by CARRIER in writing, Forwarding Agent shall at no time (a) alter or supplement any bill of lading data, or (b) alter, supplement, correct, amend, replace, duplicate or reissue any bills of lading created from the bill of lading data.

4. BILL OF LADING FORMS. For the Ford shipments identified above, Forwarding Agent shall, in accordance with the instructions and directions provided by CARRIER, use the bill of lading data to print and issue bills of lading on forms to be supplied by Forwarding Agent. It shall be the responsibility of Forwarding Agent effectively to incorporate by reference into all bills of lading issued hereunder the terms and conditions of CARRIER's regular form bill of lading, a copy of which is attached as "Exhibit A." CARRIER, Forwarding Agent and Ford agree that the terms and conditions of CARRIER's regular form bill of lading shall apply to all shipments hereunder. It shall also be the responsibility of Forwarding Agent to identify on bills of lading CARRIER as the carrier and, when authorized to do so in accordance with the terms of this Agreement, to sign the bills of lading for or on behalf of CARRIER, as agent thereof.

Forwarding Agent shall under no circumstances permit the bill of lading data or the bills of lading printed therewith to be used for purposes other than those authorized by this Agreement.

In the event of any conflict between the terms and conditions of the bill of lading and of this Agreement, the terms and conditions of this Agreement shall control.



5. BILL OF LADING ISSUANCE AND RELEASE. Forwarding Agent is appointed special agent of CARRIER for the sole purpose of issuing bills of lading hereunder. CARRIER shall provide Forwarding Agent with specific written or data communications that cargo has been loaded to a vessel and that bills of lading are authorized to be released. Only upon receipt of such communications shall Forwarding Agent be authorized to print, sign and release bills of lading. Under no circumstances shall Forwarding Agent print, sign or release bills of lading without having received such communications from CARRIER, in advance.

6. PROPERTY RIGHTS. Unless such information is otherwise available to the general public, CARRIER and Forwarding Agent shall keep all information shared or otherwise obtained by reason of this Agreement confidential. Neither party shall use, transmit, share with third parties or otherwise divulge such information without the express written consent of the other party.

This Agreement shall not be construed to allow either party to use the names, trade-names, good will, trade-marks or copyrights of the other. CARRIER and Forwarding Agent hereby agree not to use or otherwise infringe upon any such property rights, unless authorized to do so in a separate agreement signed by the party against whom enforcement is sought.

7. ASSIGNMENT. Neither party may assign any of its rights or delegate any of its duties under this Agreement without the prior written consent of the other party. Nothing herein shall be construed to restrict the right of CARRIER to act through its duly authorized agents.

8. INDEMNIFICATION. Forwarding Agent shall defend, indemnify and hold harmless CARRIER from and against any and all claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, that arise out of Forwarding Agent's breach of this Agreement, negligence or intentional misconduct, except to the extent that such claims, demands, actions, causes of actions, liabilities, costs and/or expenses (including reasonable attorneys' fees), however presented, arise out of any breach of this Agreement, negligence or intentional misconduct of CARRIER.

9. LAW. This Agreement shall be governed by and construed in accordance with the general maritime laws of the United States including the Federal Bills of Lading Act. The parties agree to comply with the foregoing and all other applicable law.

In the event of any breach of this Agreement by Forwarding Agent, CARRIER shall have the right to bring an action against Forwarding Agent in the state or

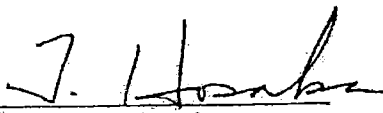


federal courts located in the Southern District of New York to the jurisdiction of the aforesaid forum. All other causes of action concerning this Agreement shall be brought, if at all, in the forum set forth in the bill of lading.

10. MISCELLANEOUS. This Agreement is mutually non-exclusive and it is agreed CARRIER and Forwarding Agent may enter into like agreements with other parties. This Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in a writing signed by the party against whom enforcement is sought.

CARRIER

By: NYK Line (North America) Inc.
As an Agent for Nippon Yusen Kabushiki Kaisha

By: 
Name: Tomohiro Hosaka
Title: Vice President – RoRo Division

D. F. Young, Inc.

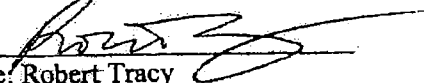
By: 
Name: Robert Tracy
Title: Director – Global Vehicle Logistics

Exhibit “D”

S	E	R	V	E	D
August 1, 2017					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

DOCKET NO. 16-02

D.F. YOUNG, INC.

v.

NYK LINE (NORTH AMERICA) INC.

**INITIAL DECISION DENYING COMPLAINANT'S SUMMARY DECISION MOTION
AND GRANTING RESPONDENT'S SUMMARY DECISION MOTION¹**

I. Introduction

A. Summary

Both Complainant D.F. Young, Inc. ("DFY"), a licensed freight forwarder, and Respondent NYK Line (North America) Inc. ("NYK Line" or "NYK"), an ocean common carrier, filed motions seeking summary decision in this proceeding. DFY claims that it operated as a freight forwarder on shipments of vehicles transported by NYK Line pursuant to service contracts with Ford Motor Company ("Ford") and that NYK Line failed to pay freight forwarder fees stated in its tariff. NYK Line contends that the tariff did not apply to the vehicles transported pursuant to the service contracts and that there is no legal or contractual right to the payments sought by DFY from NYK Line.

The heart of this dispute is a legal issue – whether this particular tariff for freight forwarder compensation applied to this particular cargo. The parties identified and discussed freight forwarder compensation prior to signing a power of attorney agreement between themselves. Unable to reach an agreement on whether DFY was entitled to collect freight forwarder compensation for the cargo in question, the parties signed a power of attorney agreement which was silent on the issue. DFY

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

now seeks \$537,213.33² in compensation based on NYK Line's tariff. NYK Line asserts that the tariff does not apply to this cargo which was shipped under service contracts.

Both DFY and NYK Line filed motions seeking summary decision. Although the legal issues in the two motions are similar, the factual analysis differs as factual disputes must be construed in the light most favorable to the non-moving party when evaluating motions for summary decisions. As discussed more fully in section II below, DFY's motion for summary judgment³ arguing that payment is due under NYK Line's tariff provisions is denied because DFY has not shown that it is entitled to compensation under NYK Line's tariff and because even if the tariff applied, there is a factual dispute regarding whether DFY met the tariff requirements for payment of freight forwarder compensation.

As discussed more fully in section III below, NYK Line's motion for summary decision is granted because DFY is not entitled to tariff freight forwarder compensation where the tariff only applied to tariff rates, there was no agreement which obligated NYK Line to pay freight forwarder compensation, DFY had actual knowledge that the cargo was being shipped pursuant to service contracts, NYK Line had indicated to DFY that it would not pay freight forwarder compensation, and such compensation had not been paid to the previous provider. Each motion will be addressed separately.

B. Procedural History

On January 29, 2016, DFY commenced this proceeding by filing a complaint alleging that NYK Line violated the Shipping Act of 1984 ("Shipping Act").⁴ DFY alleges that it performed freight forwarder services in connection with shipments of cars by Ford and that NYK Line violated the Shipping Act by "refusing to compensate Complainant for the freight forwarding services performed on Ford shipments placed on vessels [owned and/or] operated by Respondent and/or its agents or affiliates, for which Respondent received freight charges." Complaint at 11, ¶ 47. DFY alleges violations of 46 U.S.C. § 41102(c) and 46 C.F.R. § 515.42. Complaint at 11, ¶ 47.

NYK Line filed its answer on March 8, 2016, denying that it owed the freight charges or had violated the Shipping Act, and alleging three affirmative defenses: DFY did not perform any freight forwarding services; unjust enrichment; and, lack of consideration. Answer at 11, ¶ VIII. On

² This amount includes freight fees and bunker adjustment fees. Complainant's Motion at 17. The complaint seeks in excess of \$252,776.89. Complaint at 11, ¶ 48-49.

³ Administrative Law Judges are authorized to issue initial decisions, 46 C.F.R. § 501.5(e), so the motion is more properly described as a motion seeking summary decision.

⁴ "On October 14, 2006, the President signed a bill reenacting the Shipping Act as positive law. The bill's purpose was to 'reorganize[e] and restat[e] the laws currently in the appendix to title 46. It codifies existing law rather than creating new law.' H.R. Rep. 109-170, at 2 (2005).

August 24, 2016, NYK Line filed a motion to amend its answer in part to add a fourth affirmative defense that the shipments at issue “were Service Contract shipments, not tariff shipments and therefore do not qualify for freight forwarder compensation.” Amended Answer at 11, ¶ VIII. The motion seeking to amend the answer was granted on September 23, 2016.

The parties engaged in extensive discovery. On October 13, 2016, the proceeding was transferred to the undersigned. On December 1, 2016, a telephonic pre-hearing conference was held with counsel for the parties. Counsel indicated that discovery was complete and there were no pending motions. Both parties reasserted their desire for an oral hearing and indicated that such a hearing could last up to ten days. They indicated that settlement discussions had not resolved the proceeding, in part due to a disagreement regarding legal issues impacting the case. Both parties requested an opportunity to file motions for summary decision, in the hope of resolving the matter without the time and expense of a hearing. On December 6, 2016, a scheduling order was issued granting the request to file motions for summary decision and providing filing deadlines.

DFY’s motion seeking summary judgment, including a statement of material facts in support of the motion and appendix with exhibits (“Complainant’s Motion”) was filed on January 10, 2017. NYK Line filed its opposition brief, opposition to Complainant’s proposed findings of facts, proposed counter facts, and appendix with exhibits (“Respondent’s Opposition”) on January 30, 2017. DFY filed its reply brief (“Complainant’s Reply”) on February 7, 2017.

NYK Line’s motion seeking summary decision including proposed findings of fact and addendum, as well as an appendix with exhibits, (“Respondent’s Motion”) was filed on January 9, 2017. DFY filed its opposition brief (“Complainant’s Opposition”) on January 31, 2017. NYK Line filed its reply brief (“Respondent’s Reply”) on February 7, 2017.

In addition, NYK Line filed motions seeking confidential treatment on January 15, 2017; January 30, 2017; and, February 7, 2017. Given the outcome of the summary decision motions, the request for an oral hearing is moot.

C. Preliminary Matters

1. Jurisdiction

The Shipping Act provides that a “person may file with the . . . Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-98 (FMC 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000). DFY alleges violations of the Shipping Act, including violations of the Commission’s tariff and freight forwarding regulations. There is no challenge to the Commission’s jurisdiction over the allegations or the parties.

2. Motion for Confidential Treatment

NYK Line filed three motions seeking confidential treatment of certain materials in its motion for summary decision, opposition to Complainant's motion for summary decision, and its reply on its own motion for summary decision. NYK Line specifically states that the material for which confidentiality is sought concerns or arises out of service contracts between Respondent and two non-parties. NYK Line marked material for which it sought confidential treatment with a yellow highlighter in the confidential versions of the briefs and filed public versions of the briefs. Confidential exhibits are excluded from the public version of the filings.

DFY also filed confidential and public versions of its briefs. Material marked with a yellow highlighter in DFY's confidential versions does not appear in the public versions, so it is presumed that DFY is seeking confidential treatment of this material. Confidential exhibits are excluded from the public versions of the filings.

Pursuant to 46 U.S.C. § 40502, covered service contracts are filed confidentially with the Commission. 46 U.S.C. § 40502(b)(1). Pursuant to Commission Rule 530.4, "[a]ll service contracts and amendments to service contracts filed with the Commission shall, to the full extent permitted by law, be held in confidence." 46 C.F.R. § 530.4. In addition, the parties entered into a stipulation and order of confidentiality regarding how to handle confidential material in this proceeding.

The requests for confidential treatment will be granted. However, it is noted that the parties marked more information as confidential than necessary. These broad confidentiality requests hinder the public's ability to understand this proceeding and Commission regulations. In future filings, the parties should limit the material marked as confidential, otherwise, the filings may be rejected. Because this initial decision rules on summary decision motions, where factual issues are not central and the focus is on questions of law, it was possible to write this initial decision without including discussion of any confidential material. This was done, in part, to ensure the public's understanding of this proceeding and the legal issues involved.

D. Relevant Law

Summary decision is appropriate when the material facts are not in dispute and a party is entitled to judgment as a matter of law. To understand the issues in this case, it is helpful to review the laws governing motions for summary decision, freight forwarder compensation, ocean carrier tariffs, and service contracts.

1. Motion for Summary Decision Standard

The Commission has emphasized that:

At the summary judgment stage, the role of the judge "... is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a

genuine issue for trial.” The party seeking summary judgment . . . has the burden of demonstrating that there is no genuine issue of material fact.

EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc., 31 S.R.R. 540, 545 (FMC 2008) (citations omitted).

The party moving for summary judgment bears the initial burden of identifying evidence that demonstrates the absence of any genuine issue of material fact. *Greene v. Dalton*, 164 F.3d 671, 675 (D.C. Cir. 1999) (citing *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986)). The mere existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247-48 (1986). However, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no ‘genuine issue for trial.’” *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (citation omitted). The inferences to be drawn from the underlying facts must be viewed in the light most favorable to the nonmoving party. *Matsushita*, 475 U.S. at 587.

Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *In re Korean Air Lines Disaster*, 597 F. Supp. 613, 618 (D.D.C. 1984). See also Fed. R. Civ. P. 56 advisory committee notes, 2007 amendments (“there is discretion to deny summary judgment when it appears that there is no genuine issue as to any material fact”).

2. Freight Forwarder Compensation

Freight forwarder compensation is governed by section 40904 of the Shipping Act and part 515 of the Commission’s Rules. 46 U.S.C. § 40904; 46 C.F.R. § 515. Section 40904 permits, but does not require, common carriers to pay freight forwarder compensation. 46 U.S.C. § 40904.

§ 40904. Compensation by common carriers

(a) Certification of License and Services.-A common carrier may compensate an ocean freight forwarder for a shipment dispatched for others only when the ocean freight forwarder has certified in writing that it holds an ocean transportation intermediary’s license (if required under section 40901 of this title) and has-

(1) engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of the space; and

(2) prepared and processed the ocean bill of lading, dock receipt, or other similar document for the shipment.

(b) Dual Compensation.-A common carrier may not pay compensation for services described in subsection (a) more than once on the same shipment.

(c) Beneficial Interest Shipments.-An ocean freight forwarder may not receive compensation from a common carrier for a shipment in which the ocean freight forwarder has a direct or indirect beneficial interest. A common carrier may not knowingly pay compensation on that shipment.

46 U.S.C. § 40904.

Section 515.42 provides in relevant part:

§ 515.42 Forwarder and carrier compensation; fees. . . .

(b) *Certification required for compensation.* A common carrier may pay compensation to a licensed freight forwarder only pursuant to such common carrier's tariff provisions. When a common carrier's tariff provides for the payment of compensation, such compensation shall be paid on any shipment forwarded on behalf of others where the forwarder has provided a certification as prescribed in paragraph (c) of this section and the shipper has been disclosed on the bill of lading as provided for in paragraph (a) of this section. The common carrier shall be entitled to rely on such certification unless it knows that the certification is incorrect. The common carrier shall retain such certifications for a period of five (5) years.

(c) *Form of certification.* When a licensed freight forwarder is entitled to compensation, the forwarder shall provide the common carrier with a certification which indicates that the forwarder has performed the required services that entitle it to compensation. The required certification may be provided electronically by the forwarder or may be placed on one copy of the relevant bill of lading, a summary statement from the forwarder, the forwarder's compensation invoice, or as an endorsement on the carrier's compensation check. Electronic certification must contain confirmations by the forwarder and the carrier identifying the shipments upon which forwarding compensation may be paid. Each forwarder shall retain evidence in its shipment files that the forwarder, in fact, has performed the required services enumerated on the certification. The certification shall read as follows:

The undersigned hereby certifies that neither it nor any holding company, subsidiary, affiliate, officer, director, agent or executive of the undersigned has a beneficial interest in this shipment; that it is the holder of valid FMC License No. __, issued by the Federal Maritime Commission and has performed the following services:

(1) Engaged, booked, secured, reserved, or contracted directly with the carrier or its agent for space aboard a vessel or confirmed the availability of that space; and

(2) Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

(d) *Compensation pursuant to tariff provisions.* No licensed freight forwarder, or employee thereof, shall accept compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s). No conference or group of common carriers shall deny in the export commerce of the United States compensation to an ocean freight forwarder or limit that compensation, as provided for by section 19(e)(4) of the Act (46 U.S.C. 40904(d)) and 46 CFR part 535.

(e) *Electronic data interchange.* A licensed freight forwarder may own, operate, or otherwise maintain or supervise an electronic data interchange-based computer system in its forwarding business; however, the forwarder must directly perform value-added services as described in paragraph (c) of this section in order to be entitled to carrier compensation.

(f) *Compensation; services performed by underlying carrier; exemptions.* No licensed freight forwarder shall charge or collect compensation in the event the underlying common carrier, or its agent, has, at the request of such forwarder, performed any of the forwarding services set forth in §515.2(h), unless such carrier or agent is also a licensed freight forwarder, or unless no other licensed freight forwarder is willing and able to perform such services.

(g) *Duplicative compensation.* A common carrier shall not pay compensation for the services described in paragraph (c) of this section more than once on the same shipment. . . .

(i) *Compensation; beneficial interest.* A licensed freight forwarder may not receive compensation from a common carrier with respect to any shipment in which the forwarder has a beneficial interest or with respect to any shipment in which any holding company, subsidiary, affiliate, officer, director, agent, or executive of such forwarder has a beneficial interest.

46 C.F.R. § 515.42. *See also Pacon Express, Inc. – Possible Violations of Sections 10(a)(1) and 19(d)(4) of the Shipping Act*, 28 S.R.R. 352, 353-356 (ALJ 1998) (discussing in detail the background and potential issues with freight forwarder compensation).

3. Ocean Carrier Tariffs

Ocean freight forwarder tariffs are governed by section 40501 of the Shipping Act and part 520 of the Commission's Rules.

Title 46 U.S.C. Section 40501 states:

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.

46 U.S.C. § 40501(a)(1). Section 40501 also states that a “tariff under subsection (a) shall . . . state the level of compensation, if any, of any ocean freight forwarder by carrier or conference.”

46 U.S.C. § 40501(b)(3). Section 40501(a)(1) does not apply to “new assembled motor vehicles.”

46 U.S.C. § 40501(a)(2).

The Commission has promulgated regulations regarding carrier tariffs.

§ 520.1 Scope and purpose.

(a) *Scope*. The regulations of this part govern the publication of tariffs in automated systems by common carriers and conferences in the waterborne foreign commerce of the United States. They cover the transportation of property by such carriers, including through transportation with inland carriers. They implement the tariff publication requirements of section 8 of the Shipping Act of 1984 (“the Act”) (46 U.S.C. 40501–40503), as modified by the Ocean Shipping Reform Act of 1998 and section 424 of Public Law 105–258.

(b) *Purpose*. The requirements of this part are intended to permit:

(1) Shippers and other members of the public to obtain reliable and useful information concerning the rates and charges that will be assessed by common carriers and conferences for their transportation services;

(2) Carriers and conferences to meet their publication requirements pursuant to section 8 of the Act (46 U.S.C. 40501–40503);

(3) The Commission to ensure that carrier tariff publications are accurate and accessible and to protect the public from violations by carriers of section 10 of the Act (46 U.S.C. 41101–41106); and

(4) The Commission to review and monitor the activities of controlled carriers pursuant to section 9 of the Act (46 U.S.C. 40701–40706).

46 C.F.R. § 520.1.

The Commission requires that published tariffs “[s]tate the level of ocean transportation intermediary, as defined by section 3(17)(A) of the Act (46 U.S.C. 40102(18)), compensation, if any, to be paid by a carrier or conference.” 46 C.F.R. § 520.4(a)(3). The Commission also requires tariffs to include “sample copies of any bill of lading, contract of affreightment or other document evidencing the transportation agreement” and “copies of any loyalty contract, omitting the shipper’s name.” 46 C.F.R. § 520.4(a)(5)–(6). Ocean transportation tariffs are also required to include “any rule that affects the application of the tariff.” 46 C.F.R. § 520.4(d).

The Commission excepts tariff requirements on shipments of “bulk cargo, forest products, recycled metal scrap, new assembled motor vehicles, waste paper and paper waste.” 46 C.F.R. § 520.13(c)(1). The Commission defines “motor vehicle” as “a wheeled vehicle whose primary purpose is ordinarily the non-commercial transportation of passengers, including an automobile, pickup truck, minivan, or sport utility vehicle.” 46 C.F.R. § 520.2.

4. Service Contracts

Service contracts are governed by section 40502 of the Shipping Act and part 530 of the Commission’s Rules.

a. Definition

The Commission recently discussed the history and profound impacts of service contracts.

In 1984, Congress passed the Shipping Act of 1984, which introduced the concept of carriage under service contracts filed with the Federal Maritime Commission. The pricing of liner services via negotiated contracts, rather than exclusively by public tariffs, was a change that had profound effects on the liner industry. FMC regulations require all ocean freight rates, surcharges, and accessorial charges in liner trades be published in ocean common carrier tariffs or agreed to in service contracts filed with the Commission. Contemporaneous with the filing of service contracts, carriers are also required to make available to the public a concise statement of essential terms in tariff format.

Amendments to Regulations Governing Service contracts and NVOCC Service Arrangements, final rule, 82 Fed. Reg. at 16288 April 4, 2017 (Effective Date: May 5, 2017) (citation omitted).

The term “service contract” means a written contract, other than a bill of lading or receipt, between one or more shippers, on the one hand, and an individual ocean common carrier or an agreement between or among ocean common carriers, on the other, in which – (A) the shipper or shippers commit to providing a certain volume or portion of cargo over a fixed time period; and (B) the ocean common carrier or the agreement commits to a certain rate or rate schedule and a defined

service level, such as assured space, transit time, port rotation, or similar service features.

46 U.S.C. § 40102(20). The Shipping Act sets forth specific requirements for service contracts.

(a) In general. – An individual ocean common carrier or an agreement between or among ocean common carriers may enter into a service contract with one or more shippers subject to the requirements of this part.

(b) Filing requirements. – (1) In general. Each service contract entered into under this section by an individual ocean common carrier or an agreement shall be filed confidentially with the Federal Maritime Commission. (2) Exemptions. – Paragraph (1) does not apply to . . . new assembled motor vehicles . . .

(c) Essential terms. – Each service contract shall include (1) the origin and destination port ranges; (2) the origin and destination geographic areas in the case of through intermodal movements; (3) the commodities involved; (4) the minimum volume or portion; (5) the line-haul rate; (6) the duration; (7) service commitments; and (8) the liquidated damages for nonperformance, if any.

(d) Publication of certain terms. – When a service contract is filed confidentially with the Commission, a concise statement of the essential terms specified in paragraphs (1), (3), (4), and (6) of subsection (c) shall be published and made available to the general public in tariff format. . . .

(f) Remedy for breach. – Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. . . .

46 U.S.C. § 40502. The complaint does not allege violations of the service contracts, so the exclusive remedy provision does not apply.

The Commission's Rule 8 provides specific guidance for filing service contract terms, requiring:

(b) Every service contract filed with the Commission shall include the complete terms of the service contract including, but not limited to, the following:

(1) The origin port ranges in the case of port-to-port movements and geographic areas in the case of through intermodal movements;

(2) The destination port ranges in the case of port-to-port movements and geographic areas in the case of through intermodal movements;

- (3) The commodity or commodities involved;
 - (4) The minimum volume or portion;
 - (5) The service commitments;
 - (6) The line-haul rate;
 - (7) Liquidated damages for non-performance (if any);
 - (8) Duration, including the (i) Effective date; and (ii) Expiration date;
 - (9) The legal names and business addresses of the contract parties; the legal names of affiliates entitled to access the contract; the names, titles and addresses of the representatives signing the contract for the parties; and the date upon which the service contract was signed, except that in the case of a contract entered under the authority of an agreement or by a shippers' association, individual members need not be named unless the contract includes or excludes specific members. . . .
 - (10) A certification of shipper status;
 - (11) A description of the shipment records which will be maintained to support the service contract and the address, telephone number, and title of the person who will respond to a request by making shipment records available to the Commission for inspection under § 530.15 of this part; and
 - (12) All other provisions of the contract.
- (c) *Certainty of terms.* The terms described in paragraph (b) of this section may not:
- (1) Be uncertain, vague or ambiguous; or
 - (2) Make reference to terms not explicitly contained in the service contract itself unless those terms are readily available to the parties and the Commission.

46 C.F.R. § 530.8. Certain information included in otherwise confidential service contracts must be made available to the public. 46 C.F.R. § 530.12.

The Shipping Act exempts contracts regarding "new assembled motor vehicles" from filing requirements. 46 U.S.C. § 40502(b)(2); 46 C.F.R. § 530.13. The Commission defines a "motor vehicle" as "a wheeled vehicle whose primary purpose is ordinarily the non-commercial transportation of passengers, including an automobile, pickup truck, minivan or sport utility vehicle." 46 C.F.R. § 530.3(m).

b. Freight Forwarder Compensation in Service Contracts

The introduction of service contracts has had a significant impact on the industry. The Commission's 2001 report titled *The Impact of the Ocean Shipping Reform Act of 1998* included a section labeled "Suggestions for Further Legislative Consideration." The Commission indicated that it "has identified several provisions in the statute which are either ambiguous or could be revised in order better to effect the intentions of Congress." Complainant's Opposition, Exhibit 3, *The Impact of the Ocean Shipping Reform Act of 1998* ("Impact Report") at 49 (FMC Report, Sept. 2001). The Impact Report includes a sub-section labeled "Freight Forwarder Compensation" which states:

Section 8(a)(1)(C) of the 1984 Act, 46 U.S.C. app. § 1707(a)(1)(C) [currently 46 U.S.C. § 40501(b)(3)], requires that a tariff state the level, if any, of freight forwarder compensation to be paid by a carrier or conference. Section 19(e)(4), 46 U.S.C. app. § 1718(e)(1) [currently 26 U.S.C. § 40904(d)(1-2)], provides that no conference or group of two or more carriers authorized to agree on the level of compensation, may either deny any member or group the right to take independent action on the level of compensation to be paid, or agree to limit that compensation to less than 1.25 percent of the aggregate of the applicable rates and charges. The level of freight forwarder compensation is now being included as a negotiable term in many service contracts, independent of the level set forth in the applicable tariff.

Congress may wish to clarify whether, under sections 8(a)(1)(C) and 19(e)(4), the level of freight forwarder compensation paid for shipments moving under a service contract may be different from the level of compensation paid for shipments rated according to a tariff rate. That is, did Congress intend that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under the service contract?

Impact Report at 49. In this case, the level of compensation is not at issue and there are no allegations that the service contracts set the freight forwarder rate. However, there may be legitimate business reasons that parties, particularly ocean common carriers, might want to consider freight forwarding costs when negotiating service contracts.

Two Commissioners, in recent dissents, discussed the background of the revisions that Congress made to the Shipping Act in the 1998 amendments. "The Reform Act abolished the inflexible ocean shipping regime based on public tariffs and replaced it with a system based on confidential service contracts between carriers and their customers. Today, there is competition among carriers in the ocean transportation marketplace, with 98 percent of cargo carried under confidential service contracts." *In re OC Int'l Freight, Inc.*, 33 S.R.R. 567, 575 (Dye, dissenting) (FMC July 31, 2014).

Section 8(c). Tariffs, was amended in two significant ways. First, certain contract "essential terms" that previously were required to be made available to the general

public in published tariffs were now protected from public disclosure and further, the Commission was required to maintain such information as confidential. . . . Second, the statutory requirement that these four essential contract terms, together with the remaining published terms be offered and made “available to all shippers similarly situated” was expressly excised from the Act. *See* 46 U.S.C. § 40502.

Thus the meaning of “greater reliance on the marketplace” is clearly revealed to reference reliance on private one-on-one contract negotiation and private confidential contracting between parties in the shipping community. Further, we see revealed the express Congressional abandonment and rejection of (i) reliance on a tariff freight rate that is published in a public tariff format, (ii) the concept that such published tariff freight rate must be offered to any and all shipping parties, and (iii) that such publicly available and ascertainable tariff freight rate is the single and only freight rate that is permitted, by law, to be charged to any and all parties in the shipping community.

In re OC Int'l Freight, Inc., 33 S.R.R. at 584 (Khouri, dissenting) (FMC July 31, 2014). This background, not discussed by the majority, provides historical perspective.

II. Complainant's Motion for Summary Decision

In its motion seeking summary decision, DFY asserts that there is no dispute of material facts and as a matter of law, it is entitled to payment pursuant to NYK Line's tariff. Even if DFY were entitled, as a matter of law, to compensation under the tariff, a factual dispute would exist regarding whether DFY meets the tariff requirements. As discussed below, DFY did not show entitlement to tariff compensation as a matter of law. Even if it did, DFY's motion seeking summary decision must be denied because of the factual disputes regarding the nature of the work done by DFY and whether that work met the Commission's requirements for freight forwarder compensation.

A. Arguments of the Parties

DFY argues that there is no genuine dispute that DFY has performed freight forwarding services on Ford shipments meriting compensation under NYK Line's tariff and applicable law and neither Ford nor DFY has waived DFY's right to freight forwarder compensation from NYK Line. Complainant's Motion at 23-28.

NYK Line asserts that, as a matter of law, it is not required to pay forwarder compensation for service contract shipments and DFY has not proved otherwise; the absence of a waiver of forwarder compensation is irrelevant; NYK Line payments of freight forwarder compensation to other shippers is irrelevant; even if NYK Line's tariff is held applicable to service contracts, DFY's summary decision motion must still be denied because it has not proven as a matter of law that it complied with 46 C.F.R. 515.42(c) which is a condition of compensation; and, all of the motor

vehicles shipped under the Ford service contracts were noncommercial and new. Respondent's Opposition at 1-26.

In its reply, DFY contends that NYK Line admitted much of Complainant's statement of material facts; NYK Line fails to demonstrate how any service contract incorporated and/or negated the tariff; the parties agree that neither the service contracts nor the power of attorney agreement waive freight forwarder compensation; NYK Line is not free to disregard its own published tariff as it sees fit; there is no genuine dispute that DFY booked and confirmed space for Ford shipments and that its work on bills of lading was on behalf of NYK; and, the language of service contracts determines if they are exempt from publication, not the performance of the parties. Complainant's Reply at 1-13.

B. Analysis of Complainant's Motion

DFY asserts that it is entitled to summary decision on the merits of the case and relies upon 86 separate proposed findings of fact to support its motion. Complainant's Motion at 3-17. NYK Line disputes many of these proposed facts and the conclusions to be drawn from those facts and provides 32 additional proposed facts. Respondent's Counter Proposed Findings of Fact on Complainant's Motion for Summary Judgment at 1-7. The parties present factual disputes that prohibit summary determination on the issue of whether or not DFY performed specific freight forwarder duties on all of the alleged shipments.

There are issues on which the parties agree. For example, the parties agree that shippers select and pay freight forwarders and that ocean carriers are not obligated under the Shipping Act to include freight forwarder compensation in applicable tariffs. Complainant's Reply at 7 ("It is a legal truism that ocean carriers are not obligated under the Shipping Act as currently enacted and amended to automatically include freight forwarder compensation in applicable tariffs."); Respondent's Opposition at 10 ("An individual carrier is free to pay or not pay forwarder compensation as it sees fit.").

The parties also are in agreement about the terms of the three relevant documents: (1) the DFY/NYK Line power of attorney agreement between the parties; (2) the Ford/NYK Line service contracts; and, (3) NYK Line's tariff. The relevant rule in NYK Line's tariff states:

The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and Heavy Lift and Extra Length Charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designed to cover specific costs. Compensation will not be paid on any shipment on which brokerage is payable.

Complainant's Motion, Exhibit B at 1; Respondent's Motion at 8-9 and Exhibit C (RX 26).

The parties also agree that the power of attorney agreement and service contracts are silent regarding freight forwarder compensation. DFY includes a number of emails exchanges between the parties while they were negotiating the power of attorney agreement. The emails show that the primary issue of contention was whether DFY was acting as a freight forwarder and was entitled to compensation. Complainant's Motion, Exhibit W.

The parties do not, however, agree about the legal impact of these documents. Specifically, DFY believes it is entitled to freight forwarder compensation under the terms of NYK Line's tariff, while NYK Line does not believe the tariff applied to service contract shipments and that even if it did, DFY did not perform freight forwarding services. For example, NYK Line argues that:

In this case, having not shown its entitlement to compensation under Tariff Rule 9; and having done nothing to comply with Reg. 515.42(c)(1), and nothing . . . to comply with subpara. (c)(2), DFY is far removed from the traditional rule of freight forwarders and has rendered no services (much less services adding value) for NYK to justify forwarder compensation.

Respondent's Opposition at 26. Determination of whether DFY performed freight forwarding services would require a factual analysis of the job duties performed by DFY's employees. At this stage of the proceeding, that factual analysis is premature.

Among the factual questions raised by the pleadings and not resolved by Complainant's motion are whether DFY performed freight forwarding services; whether DFY engaged, booked, secured, reserved, or contracted directly with the carrier for space aboard a vessel or confirmed the availability of the space; whether DFY prepared and processed the ocean bill of lading, dock receipt, or other similar document for the shipments; whether the shipments contained new assembled motor vehicles; the number of shipments involved; and, determination of damages. These issues require determination of disputed material facts, would benefit from full development, and are better resolved with the merits of the case.

Summary decision is only proper if the movant is entitled to a decision as a matter of law, viewing the evidence in the light most favorable to the nonmoving party. DFY has not established that it is entitled to a decision as a matter of law when the evidence is viewed in the light most favorable to NYK Line. There are unresolved genuine issues of material facts which preclude granting summary decision at this stage of the proceeding. Moreover, as discussed below, DFY has not established as a matter of law that the tariff applied to these service contract shipments. Instead, NYK Line, as discussed below, has established that the tariff did *not* apply to these shipments. Accordingly, DFY's motion seeking summary decision is denied.

III. Respondent's Motion for Summary Decision

NYK Line's summary decision motion focuses on the legal issues at the heart of this dispute. There are no facts in dispute regarding the language of the power of attorney agreement, service contracts, or tariff. Rather, the dispute is about the legal implications of these documents. These legal issues can be resolved at the summary decision stage.

A. Arguments of the Parties

NYK Line moves for a summary decision dismissing the proceeding as a matter of law, arguing that ocean carriers are not obligated to pay forwarder compensation absent some agreement or undertaking to do so; that there was no such agreement or undertaking; and, that there is no statutory or contractual basis for reading NYK Line's tariff into the service contracts or the service contract rates into the tariff as neither refers to the other expressly or by implication. Respondent's Motion at 13-22.

DFY opposes the motion to dismiss, asserting that NYK Line's motion fails to demonstrate the absence of a genuine issue of material fact; NYK Line is seeking to avoid paying a legal debt obligation; service contracts do not exclude freight forwarding compensation obligations owed to a third party non-signator; and, NYK Line is bound by its voluntarily published tariff. Complainant's Opposition at 1-7.

NYK Line contends in its reply brief that DFY's interpretation of the tariff is without merit and that DFY has misinterpreted NYK Line's defense, and as a result, has put forth arguments that are irrelevant to the questions raised by the motion. NKY Line Reply at 2-15.

B. Facts Alleged in the Complaint

At this stage of the proceeding, the facts are viewed in the light most favorable to the non-moving party. Therefore, NYK Line's motion for summary decision requires viewing the facts in the light most favorable to DFY. At a hearing, these facts would need to be established and could be contested. The relevant facts alleged by DFY in the complaint are as follows.

A. TARIFFS

8. At all times applicable to the facts alleged in this Complaint, Respondent had tariffs in effect that established the rate and requirements for compensation to entities providing freight forwarding services on shipments accepted by Respondent as a common carrier.

9. Such tariffs stated, "[e]xcept as otherwise provided, compensation to a freight forwarder shall be one-and-one-fourth percent (1.25%) of the applicable freight rates and Outport Arbitraries to ports" named in said tariffs." (sic)

10. Such tariffs also stated that “[p]ursuant to the United States Tariff Act of 1986, earners shall pay freight forwarder compensation on all Bill of Lading charges when such compensation is claimed by an FMC Licensed Freight Forwarder which is also a Treasury Department Licensed Customs House Broker.”

11. Such tariffs further provide that “[c]laims for freight forwarder compensation must be presented to the Carrier within six (6) months of the sailing of the vessel from the port at which the cargo in question was loaded.”

B. COMPLAINANT FREIGHT FORWARDING

12. Beginning on or about March 25, 2015, Complainant performed freight forwarding services related to shipments of automobiles from the Ford Motor Company and its affiliated companies (“Ford”) by, *inter alia*, arranging for shipment of such vehicles on vessels owned and/or operated by Respondent and/or its agents or affiliates.

13. On or about April 2, 2015, Complainant and Respondent entered into an Agreement in order to simplify the issuance of bills of lading for transportation of shipments from Ford by Complainant on Respondent’s vessels (“the Agreement”).

14. Though Respondent proposed a paragraph to the Agreement which would have waived any brokerage or freight forwarder compensation, Complainant expressly refused to include such a provision.

15. The Agreement included an integration clause that stated that “[t]his Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in writing signed by the party against whom enforcement is sought.”

16. The freight forwarding services performed by Complainant included engaging, booking, securing, reserving, and/or contracting directly with Respondent and/or its agents for space aboard its/their vessels and/or confirmed availability of that space for Ford shipments.

17. Furthermore, Complainant prepared and processed the ocean bills of lading and related documents respective of Ford shipments placed on Respondent’s vessels.

18. Complainant had no beneficial interest in any of the Ford shipments for which it performed freight forwarding services and for which it arranged shipment on Respondent’s vessels.

19. At all relevant times, Complainant held a valid FMC license.
20. To date, Complain[ant] has provided freight forwarding services on hundreds of Ford shipments placed on Respondent's vessels, and continues to do so.
21. The freight charges Respondent has received from Ford shipments placed on its vehicles as a result of Complainant's freight forwarding to date exceed \$20,000,000.00.
22. To date, Respondent has provided no compensation to Complainant for any of the freight forwarding services performed on any of the Ford shipments placed on the vessels of Respondent and/or its agents or affiliates.

Complaint at 3-5.

C. Analysis of Respondent's Motion

DFY asserts that it is entitled to payment of freight forwarder compensation under NYK Line's tariff. However, NYK Line asserts that the tariff did not apply to service contract shipments and the shipments at issue were transported pursuant to service contracts that did not contain provisions requiring payment of freight forwarder compensation. DFY and NYK Line signed a power of attorney agreement with each other that was silent on the issue.

At a hearing, DFY would need to demonstrate a right to freight forwarder compensation. According to the facts alleged by DFY, there are three relevant documents: (1) the DFY/NYK Line power of attorney agreement; (2) the Ford/NYK Line service contracts; and, (3) NYK Line's tariff. Questions of law, including the legal effect of contracts, may be determined at the summary decision phase of the proceeding. *Pate Stevedore Co. of Mobile v. Alabama State Docks Department*, 24 S.R.R. 1221, 1228 (FMC 1988); *Int'l Ass'n of Machinists & Aerospace Workers v. Texas Steel Co.*, 538 F.2d 1116, 1119 (5th Cir. 1976) ("It is axiomatic that where questions of law alone are involved in a case, summary judgment is appropriate."). Each agreement will be discussed in turn.

1. Power of Attorney Agreement

The parties entered into a power of attorney agreement that gave DFY the authority to print bills of lading for Ford shipments. Prior to signing the power of attorney agreement, the parties disagreed about whether the NYK Line tariff's freight forwarder provisions should apply. NYK Line sought an explicit waiver of freight forwarding compensation but DFY objected. After these discussions, the parties signed a power of attorney agreement that was silent regarding freight forwarder compensation, effectively agreeing to disagree.

DFY admits that "NYK successfully - no one knows how - acquired an agreement from Ford's prior freight forwarder (Schenker, Inc.) to waive freight forwarding compensation."

Complainant's Opposition at 5. Moreover, DFY concedes that when "Complainant became the designated freight forwarder of the Ford (sic), Respondent tried to have DFY waive the right to any freight forwarder compensation. DFY did not agree." Complainant's Opposition at 5. "NYK even threatened to nullify the Power of Attorney that DFY needs in order to perform some of its freight forwarder services on (behalf of both Ford and NYK) if DFY ever brought the current claim." Complainant's Opposition at 6.

Viewing the facts in the light most favorable to DFY, the facts alleged in DFY's complaint will be accepted as true for this motion. The complaint alleges that "Complainant and Respondent entered into an Agreement in order to simplify the issuance of bills of lading for transportation of shipments from Ford by Complainant on Respondent's vessel;" that "[t]hough Respondent proposed a paragraph to the Agreement which would have waived any brokerage or freight forwarder compensation, Complainant expressly refused to include such a provision; and, that the "Agreement included an integration clause that stated that '[t]his Agreement sets forth the complete understanding and agreement of the parties, and can be amended only in writing signed by the party against whom enforcement is sought.'" Complaint at 4, ¶¶ 13-15.

"In determining whether contract terms are ambiguous, courts consider extrinsic evidence as well as the language of the contract. Extrinsic evidence may include the structure of the contract, bargaining history, and the parties' conduct that reflects their understanding of the contract's meaning." *ANERA and its Members – Opting out of Service Contracts*, 28 S.R.R. 1215 at 1229-1230 (FMC 1999) (citations omitted). Here, the agreement between the parties is intentionally silent on the material issue of whether DFY would be entitled to freight forwarder compensation. The silence in the agreement makes the agreement ambiguous.

DFY's opposition brief appendix and exhibits includes an email from NYK Line to DFY which attaches the signed limited power of attorney and which states:

The execution of this limited Power of Attorney does not entitle DF Young to receive any compensation from NYK. Any and all compensation that DF Young receives shall come from Ford and not NYK. We expect that DF Young will not issue any invoice to NYK for providing this in-house service for Ford. The previous agent for Ford did not receive compensation of any kind from NYK and both Ford & NYK expect that to remain unchanged. In the event DF Young issues an invoice to NYK, this Power of Attorney shall be terminated immediately and the invoice shall be returned unpaid.

Complainant's Opposition, Exhibit 7 at CX 254.

DFY thought that the tariff applied and a compensation agreement was not necessary to include in the power of attorney. NYK Line thought that the tariff did not apply and DFY was not entitled to freight forwarder compensation whether or not a waiver was included. Had this issue been addressed in the power of attorney agreement, then determination of this proceeding could

consider the parties' agreement. The parties, however, did not have a meeting of the minds regarding whether freight forwarder compensation listed in the tariff applied to these service contract shipments. Accordingly, the power of attorney agreement does not create a right, as a matter of law, for DFY to recover freight forwarder compensation from NYK Line and DFY does not argue that it does.

2. Service Contracts

The cargo at issue was shipped under service contracts between NYK Line and non-party Ford. NYK Line asserts that as a freight forwarder, DFY was not a party to the service contracts and by law could not have been as only common carriers and shippers may enter into service contracts. Respondent's Motion at 9. NYK Line also contends that the service contracts do not contain any language obligating NYK to pay freight forwarding compensation to DFY. Respondent's Motion at 10. NYK Line asserts in its reply brief that "[i]f DFY has been clear about anything, it is that there is nothing in the Ford Service Contracts which purported to grant or waive forwarder compensation." Respondent's Reply at 15; *see also* Complainant's Reply to Respondent's MSD at 3.

DFY argues regarding the service contracts that DFY is not a party; the contracts do not mention freight forwarder compensation; and, NYK Line "never intended to eliminate its freight forwarder compensation obligation until after DFY brought this claim." Complainant's Opposition at 2. DFY objects to a "secret agreement," presumably the confidential service contract, arguing that "secret agreements to eliminate published Tariff obligations to non-signatories are void." Complainant's Opposition at 4.

DFY asserts that NYK Line did not argue a service contract defense until after this case was filed. Complainant's Statement of Material Facts at 29. However, according to the complaint, "Respondent proposed a paragraph to the [power of attorney] Agreement which would have waived any brokerage or freight forwarder compensation." In this case, NYK Line was very clear, from before it signed the power of attorney agreement with DFY, that it did not intend to pay freight forwarder compensation to DFY for the Ford shipments and that it had not paid freight forwarder compensation to the previous provider. NYK Line's argument is not based upon any particular clause in the service contracts but rather based upon the fact that the cargo shipped pursuant to the service contracts rather than the tariff, so that the tariff, by its express provisions, did not apply.

Although the service contracts at issue are confidential, the undersigned and the Commission have the opportunity to review them. As indicated by the parties, there is nothing in the Ford Service Contracts which addresses forwarder compensation. Most relevant to this decision, the service contracts do not form a basis, as a matter of law, for DFY to recover freight forwarder fees from NYK Line.

3. Tariff

NYK Line has a tariff in place that the parties agree would apply to cargo shipped pursuant to the tariff. NYK Line states: "If the Ford Shipments had been tariff moves as DFY alleges, then the governing tariff would have been NYKS-156 which was and is the NYK Tariff governing worldwide Ro-Ro services. RX-72, para. 8." Respondent's Motion at 8. Tariff NYKS-156 has a Rule 9 governing freight forwarder compensation which states:

The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and Heavy Lift and Extra Length Charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designed to cover specific costs. Compensation will not be paid on any shipment on which brokerage is payable.

Respondent's Motion at 8-9 (quoting RX-26); *see also* Complainant's Opposition at 23-25. The tariff does not specifically mention non-tariff, negotiated, or service contract rates. The parties agree about the language of the tariff; however, they disagree about the legal conclusions to be drawn from the tariff's language.

a. Tariff language

The Commission frequently interprets tariff provisions.

The Commission has repeatedly held that tariff provisions should be construed reasonably, and without a strained or unnatural construction. Furthermore, tariff interpretation is governed by the "express language" of the tariff, not the "unexpressed intent" of the author. The tariff provision relied upon in this proceeding is quite explicit in its application to customs of the port and to local tariffs. Neither could be reasonably interpreted to include ocean common carrier tariffs. Even if the tariff were ambiguous in any sense, a tariff's ambiguity should be construed against the carrier which developed it, not against that carrier's customer.

S.A. Chiarella v. Pacon Express Inc., 29 S.R.R. 335, 337 (FMC Aug. 15, 2001) (citations omitted).

The tariff at issue here states that "compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and Heavy Lift and Extra Length Charges, if applicable." The parties disagree on the meaning of these sentences.

NYK Line argues that the tariff does not apply to service contract rates; DFY is not entitled to compensation under the tariff because the cargo at issue was not transported under the tariff; the

terms "gross freight" and "tariff rates" do not include service contract freight and rates; and, "if applicable" refers to the heavy lift and extra length charges, not the tariff rate." Respondent's Reply at 2-7.

DFY contends that NYK Line is bound by its voluntarily published tariff; NYK Line's proposed waiver of tariff compensation shows that NYK Line knew it was owed; and, NYK Line must adhere to the tariff provisions. Complainant's Opposition at 3-7. DFY states:

The potential components of what might make up the "gross freight", to the extent that they apply, are listed. The "gross freight"[] already paid on the Ford shipments is fixed. That amount was the amount that Ford agreed to pay NYK. Mentioning a tariff freight, or anything else does not add to the meaning of "gross freight" in this specific situation. If indeed NYK intended that the word "freight" have a meaning other than what was agreed to be paid under a service contract or a tariff, it should have listed those specific, non-exclusive and alternate definitions or meanings in its tariff.

Complainant's Opposition at 23-24.

Construing the tariff reasonably, its definition of "gross freight" as the "tariff rate" limits the provision to shipments on which tariff rates have been paid. The shipments on which tariff rates have been paid are those which have shipped under the tariff. The phrase "if applicable" most logically refers to heavy lift and extra length charges, which are by their nature conditional, not to the tariff rate. Reading the tariff reasonably, and giving effect to all of its terms, "if applicable" only refers to the heavy lift and extra length charges. If "if applicable" referred to the tariff rate, then the "gross freight" would not be clearly defined. Reading this tariff and giving it a reasonable meaning, the tariff would not apply to service contract shipments where there is no "tariff rate." Accordingly, DFY is not entitled to freight forwarder compensation under the express terms of NYK Line's tariff.

DFY asserts that "[y]ou don't ask, at arms length negotiation, a person to waive a right that you know that person doesn't have." Complainant's Opposition at 11. To the contrary, wise counsel will address possible issues when drafting an agreement to ensure that both parties have the same understanding to avoid costly litigation. The waiver request put DFY on notice that the cargo was being shipped under a confidential service contract and that NYK Line did not intend to pay freight forwarder compensation. Indeed, if the parties had successfully negotiated resolution of this issue, either through a waiver or specific grant of compensation in the power of attorney agreement, both sides could have saved the time and expense of this litigation. The requested waiver does not create a right to compensation that otherwise does not exist.

b. Service contracts are alternatives to tariffs

The Commission addressed the relationship between tariffs and service contracts in *Application of Evergreen International (U.S.A.) Corp. for the Benefit of Service Contract Shipper*,

not discussed by either party. *Application of Evergreen International (U.S.A.) Corp. for the Benefit of Service Contract Shipper ("Evergreen ALJ")*, 24 S.R.R. 575 (Special Dkt 1513) (ALJ Oct. 15, 1987), *adopted in part* ("Evergreen FMC") 24 S.R.R. 753 (FMC 1988).

The applicant in *Evergreen* sought permission to waive collection of freight charges where a service contract had been signed but inadvertently filed late, raising the issue of whether section 8(e) of the Shipping Act (currently 46 U.S.C. section 40503 and formerly section 18(b)(3)) regarding tariff refunds applied to service contracts so as to allow for the refund of freight charges. The ALJ stated:

It is clear from all of the above that a service contract is not a tariff. Certainly, it contains provisions relating to rates and practices which provisions are similar to those found in tariffs, but that is hardly sufficient to warrant classifying them as tariffs. Rather, unlike tariffs which unilaterally provide for rates and practices, service contracts are commercial agreements between independent parties which, in addition to the rates and services, may contain many other terms completely foreign to the traditional tariff.

Evergreen ALJ, 24 S.R.R. at 579. The ALJ concluded that since "service contracts are not tariffs they cannot give rise to a waiver or refund of freight charges as contemplated by section 8(e), and here the application must, therefore, be denied on jurisdictional grounds." *Evergreen ALJ*, 24 S.R.R. at 579.

The Commission reviewed the ALJ's decision and adopted the ALJ's conclusion that section 8(e) is not available for service contracts, stating:

Although service contracts contain rates, they are more than a mere rate offering in a tariff. Congress distinguished service contracts from tariff rates throughout the 1984 Act. Service contracts are not required to be filed in tariffs pursuant to section 8(a) of the 1984 Act, 46 U.S.C. app. § 1707(a), and many of the prohibitions of that Act that apply to tariff rate actions specifically do not apply to service contracts because of their unique nature, *i.e.*, they may selectively favor some shippers. *See* H.R. Rep. No. 600, 98th Cong., 2d Sess., 40 (1984). Therefore, an error in a service contract, regardless of its nature, is not "an error in a tariff" for which section 8(e) relief can be granted.

Evergreen FMC, 24 S.R.R. at 754. While the situation in this proceeding is not the same as the issue in *Evergreen*, the distinction between shipments pursuant to tariffs and shipments pursuant to service contracts provides helpful guidance.

It appears that the industry appreciates the distinction between tariffs and service contracts as well. A 1999 article for the *Journal of Commerce* advised:

When the Ocean Shipping Reform Act takes effect May 1, there will no longer be a statutory obligation requiring vessel-operating common carriers, VOCCs, to pay freight-forwarder compensation for shipments moving under service contracts. Forwarders desiring compensation for shipments moving under service contracts must see to it that the pact contains a compensation provision. Unless the service-contract parties make provision for such compensation, the forwarder will be out of pocket.

Respondent's Motion, Addendum 3 (Leonard J. Fleisig, "*Bundling Unaffiliated Shipper*," Journal of Commerce, (02/16/99)).

c. Service contract cross-references to tariffs are permitted but not required

It is clear that service contracts may, but are not required to, refer to tariffs. If tariff terms were automatically incorporated into every service contract, these rules would not be necessary as it would be clear that tariff rules applied to shipments transported via service contracts.

The Commission addressed cross-referencing of general tariff terms in service contracts when it promulgated regulations implementing OSRA.

Presently, most filed service contracts contain re-occurring terms common to all of a carrier's or conference's service contracts (including matters such as free time and demurrage, bunkering rates, currency matters, etc.) the complete text of which would be very cumbersome for the carrier party to file with the service contract. Therefore, service contracts almost always make cross-reference to terms contained in that carrier's or conference's tariff or an essential terms publication.

The Commission recognizes that it was Congress' intent, by lifting the requirement that tariffs be filed with the Commission, to allow parties to service contracts more freedom and flexibility in their commercial arrangements. The proposed rule, § 530.9(c)(2), thus permits filed service contracts to refer to terms outside the four corners of the filed service contract, but only if they are contained in the carrier's or conference's tariff publication.

OSRA Regs. – NPR, Service Contracts Subject to the Shipping Act of 1984, 63 Fed. Reg. 71062, 71066 (Dec. 23, 1998) (Notice of Proposed Rulemaking) (*OSRA Regs. – NPR*). The Commission proposed a rule that would permit service contracts to reference terms in the carrier's tariff: "The [essential] terms described in paragraph (b)(1) - (8) of this section may not: . . . (2) Make reference to terms not explicitly detailed in the service contract filing itself, unless those terms are contained in a tariff publication in accordance with the requirements of 46 CFR part 520." *OSRA Regs. – NPR*, 63 Fed. Reg. at 71070 (proposed section 530.9(c)).

The Commission received comments on the proposed rule that caused it to expand the universe of publications that a service contract could cross-reference.

The Commission, in an effort to make filing less burdensome for carriers, but while ensuring that it had the entire contents of, or access to, the service contract terms, proposed that carriers may "cross-reference" their own tariff publications or their conference tariff publications in their filed service contracts. This provision was intended to allow carriers to refer to rules of general applicability (free time and demurrage, bunkering rates, currency matters, etc.) for the "boilerplate" or terms which appear in all their contracts. Further, the Commission recognized that it was Congress' intent, by lifting the requirement that tariffs be filed with the Commission, to allow parties to service contracts more freedom and flexibility in their commercial arrangements. For those reasons, the proposed rule, originally numbered Sec. 530.9(c)(2), was drafted to permit filed service contracts to refer to terms outside the four corners of the filed service contract, but only if they are contained in the carrier's or conference's tariff publication. . . .

[I]n response to comments that allowing cross-referencing only to published tariff matter would unduly stifle the parties' contract terms, the Commission has decided to allow cross-reference to a "publication widely available to the public and well known within the industry." Sec. 530.8(c)(2) [renumbered from section 530.9(c)(2)]. The Commission wishes to stress, however, that exact terms of the contract must be determinable and certain, in keeping with the requirements of the Act.

Service Contracts Subject to the Shipping Act of 1984; Interim final rule, 64 Fed. Reg. 11186, 11196 (Mar. 8, 1999) (*OSRA Regs. – Interim Rule*). In the interim final rule, section 508.8(c) stated: "The terms described in paragraph (b) of this section may not: . . . (2) Make reference to terms not explicitly contained in the service contract filing itself, unless those terms are contained in a publication widely available to the public and well known within the industry." *OSRA Regs. – Interim Rule*, 64 Fed. Reg. at 11209.

The Commission received additional comments before it published the confirmation of the interim rules.

[B]ecause tariffs are published and widely available, cross-referencing to those publications in service contracts does not appear to pose any new issues. The Commission notes, therefore, that a tariff published pursuant to part 520 of the Commission's regulations will be considered "a publication widely available and well known within the industry" for the purposes of cross-referencing in service contracts.

The Commission therefore revises Sec. 530.8(c) to clarify its approach to cross-referencing, particularly references to “service contract register” filings.

Service Contracts Subject to the Shipping Act of 1984: Confirmation of interim final rule with changes, 64 Fed. Reg. 23782, 23788 (May 4, 1999) (*OSRA Regs. – Conf. Interim Rule*). In the confirmation, section 530.8(c) was revised to read:

The [essential] terms . . . may not: . . . (2) Make reference to terms not explicitly contained in the service contract itself unless: (i) Those terms are contained in a publication widely available to the public and well known within the industry; or (ii) Those terms are contained in a service contract register filing duly filed in the Commission’s dial-up filing system and are available to all parties to the service contract. Service contract register filings are subject to the same requirements of this part as service contracts and amendments.

OSRA Regs. – Conf. Interim Rule, 64 Fed. Reg. at 23793. Therefore, Commission regulations permit a service contract to cross-reference and incorporate terms set forth in the carrier’s general tariff.

If tariff terms were automatically incorporated into every service contract, these rules would not be necessary as it would be clear that tariff rules applied to shipments transported via service contracts. The rules are clear that reference to tariff provisions is optional and voluntary – these rules do not suggest that reference to tariffs is automatic or required. In this case, there are no allegations that the service contracts incorporated the tariff.

D. Conclusion

Ocean common carriers are not required to pay freight forwarder compensation. Because 46 U.S.C. § 40904 provides *inter alia* that a “common carrier *may* compensate an ocean freight forwarder for a shipment dispatched for others,” it does not follow that a common carrier which chooses not to pay ocean freight forwarder compensation automatically violates the Shipping Act as a matter of law. 46 U.S.C. § 40904 (emphasis added).

Freight forwarders are not always entitled to freight forwarding compensation from carriers, similar to brokers who are not always entitled to brokerage. The D.C. Circuit upheld the Commission’s determination that a broker could not recover brokerage, stating:

The appointment of AUT as a broker by Central could not create any liability on the part of the ocean carriers. There was no agreement by the carriers authorizing the appointment, and certainly no agreement by the members of the Conference to incur liability to AUT, with whom it had engaged in competition for the very business for which it now claims compensation by way of reparations. AUT was not the broker for the carriers to obtain the contract and there was no agreement at any time between AUT and the members of the Conference to pay brokerage. Everything is to the

contrary and AUT was promptly put on notice that the carriers would not pay. Nevertheless, having this notice, AUT elected to proceed. It did so at its own risk.

Am. Union Transp., Inc. v. United States, 257 F.2d 607, 613 (D.C. Cir. 1958). Similarly, here, DFY knew that NYK Line contested DFY's right to freight forwarder compensation and decided to proceed anyway.

The undersigned shares DFY's concerns about secret agreements, in the form of confidential service contracts, which impact the rights of third parties. As suggested in 2001, it may be helpful for additional guidance to be provided on this issue. However, in this case, NYK Line was very clear with DFY about its position. NYK Line made DFY aware that the cargo was being shipped via service contracts, that there was no provision for freight forwarder compensation, and that the prior freight forwarder did not receive such compensation. Under these facts, even DFY admits that it was aware that NYK Line was refusing to pay freight forwarder compensation. This is more than sufficient notice and DFY took a calculated risk to go ahead and work on the shipments, knowing that it might not receive compensation from NYK Line.

To be successful in this proceeding, DFY must establish a basis to find that NYK Line is required to pay DFY freight forwarder compensation. DFY points to Rule 9 of NYK Line's Tariff NYKS-156, governing freight forwarder compensation, as basis to require payment. However, that tariff applies to tariff rates, not service contract rates, and the shipments at issue were not transported under the tariff but rather under service contracts. DFY does not argue that it is entitled to payments under the service contracts. The power of attorney, which is the only agreement between DFY and NYK Line, is silent on the question of freight forwarder compensation. As such, it cannot form the basis for the requested payments. Therefore, as a matter of law, based on the material facts to which the parties agree, NYK Line has established that there is no basis to require it to pay freight forwarder compensation to DFY for these shipments. Accordingly, NYK Line's motion seeking summary decision is granted.

IV. Order

Upon consideration of the findings and conclusions set forth above, it is hereby

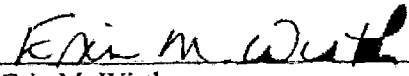
ORDERED that the Motions for Confidential Treatment be **GRANTED**. It is

FURTHER ORDERED that the Complainant's Motion for Summary Judgment be **DENIED**. It is

FURTHER ORDERED that the Respondent's Motion for Summary Decision be **GRANTED**. It is

FURTHER ORDERED that the complaint be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

A handwritten signature in cursive script, reading "Erin M. Wirth", is written over a horizontal line.

Erin M. Wirth

Administrative Law Judge

Exhibit “E”

Issuing Carrier: NYK Line

Bill Of Lading

Shipper
FORD TRADING COMPANY, LLC
1555 FAIRLANE DRIVE
ALLEN PARK, MICHIGAN 48101, US
Registration number: 38-0549190

Document No. Page No. 1/ 1 Date 12-28-2015 Ref. No. 18443426327

Export References. These commodities, technology or software were exported from the United States in accordance with the Export Administration Regulations Ultimate Destination El Salvador
Diversion contrary to US Law prohibited

Consignee
General de Vehiculos S.A. de C.V.
Boulevard Los Proceres y Calle 1
Lomas de San Francisco San Salvador
El Salvador, C.A.

Forwarding Agent References: AESPOST-
D.F. Young Inc FMC No. 656-F CHB 1259380549190-
1555 Fairlane Drive 135619239
Allen Park, MI 48101 USA 12/28/2015

Notify Party
General de Vehiculos S.A. de C.V.
Boulevard Los Proceres y Calle 1
Lomas de San Francisco San Salvador
El Salvador C.A.

Country Of Origin
U.S.A.

Pier

BK#: LABJ1563
Terms: WTF902719USD
ETS: 12/26/2015
ETA: 01/17/2016

Vessel
Victory Leader / 055

Port Of Loading
1803 JACKSONVILLE

Port Of Discharge
20505 SANTO TOMAS

For Transshipment To

Particulars furnished by Shipper

MARKS & NUMBERS	NO.OF PKGS	DESCRIPTION OF PACKAGES & GOODS	KILOS	POUNDS	CFT	M3
UNBOXED VEHICLES						
1 FM5K8D80GGB56213		2016 EXPLORER 4-DOOR 4DR 4WD X	2,050	4,519	666	18.840
1 FMCU9G9XGUB64168		2016 ESCAPE SE 4WD 2.0L ECOBOO	1,646	3,629	512	14.500

COVERING: (2) TWO UNITS FORD VEHICLES

No. of Orders 2

Freight **PREPAID**

Total: 3,696 8,148 1,178 33.340

Ocean Rates and Charges. Rates, weights or measurements subject to correction

2	@ 550.00	/ COF	1,100.00	USD
1	@ 15.33-	/ BAF	15.33-	USD
		TOTAL:	1,084.67	USD

RECEIVED the goods or packages said to contain goods described above, in apparent good order and condition, except as otherwise indicated hereon, to be transported and delivered or transhipped as herein provided. (TERMS of this Bill of Lading continued on reverse side hereof)
IN WITNESS WHEREOF, three(3) Original Bills have been signed, all of the same tenor and date, one of which being accomplished the others to stand void.

Dated at: ALLEN PARK, MI By: _____

Dated 12-28-2015 B/L No. NYKS390053447

SHIPPER-PROVED
SHORT FORM BILL OF LADING
(Terms continued from overside)

This short form Bill of Lading is provided by the Shipper and issued for his convenience and at his request instead of the Carrier's regular long/short form Bill of Lading. Copies of the Carrier's regular long/short form Bill of Lading and the clauses presently being stamped or endorsed thereon are available from the Carrier on request and are incorporated in tariffs or classifications on file with the Interstate Commerce Commission or the Federal Maritime Commission.

In using this short form Bill of Lading, the Shipper, Consignee, and Holder hereof agree that all the terms and conditions of the Carrier's regular long/short form Bill of Lading, normally used in the service for which the bill of lading is issued, including any clauses presently being stamped or endorsed thereon filed with the above agencies, are incorporated herein with like force and effect as if they were written at length herein, and all such terms and conditions so incorporated by reference are agreed by Shipper to be binding and to govern the relations, whatever they may be, between all who are or may become parties to this Bill of Lading as fully as if this Bill of Lading had been prepared on the Carrier's regular long/short form Bill of Lading.

As used herein, the term "Carrier" means any and all carriers whether on land or sea on whose modes of conveyance the goods described on the face hereof are carried.

If this Bill of Lading evidences a contract for the carriage of goods by sea to or from parts of the United States in foreign trade, or provides for routing within the United States, it shall have effect subject to the provisions of the U.S. Carriage of Goods by Sea Act of 1936, and other applicable statutes, to the extent that any such Act of statutes may apply to the transportation contract of any one or more of the carriers involved.

If this Bill of Lading evidences a contract for the carriage of goods by sea or by surface transportation to, from or through countries other than the United States, it shall have effect subject to the provisions of the applicable Acts, statutes or regulations of such countries to the extent that any such Acts, Statutes or regulations may apply to the transportation contract of any one or more of the carriers involved.

The Carrier's regular long/short form Bill of Lading may contain a number of provisions giving the Carrier certain rights and privileges and certain exceptions and immunities from and limitations of liability additional to those provided by the Acts or Laws referred to above and may extend the benefit of its provisions to stevedores and others.

If required by the Carrier, a signed original Bill of Lading, duly endorsed, must be surrendered to the Carrier on delivery of the goods.

All agreements with respect to the above goods are superseded hereby and none of the terms hereof shall be deemed waived except in writing by an authorized agent of the Carrier.

Exhibit “F”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT,

V.

NYK LINE (NORTH AMERICA), INC.,

RESPONDENT

**COMPLAINANT D.F. YOUNG, INC.'S EXCEPTIONS TO INITIAL DECISION DENYING
COMPLAINANT'S SUMMARY DECISION MOTION AND GRANTING RESPONDENT'S
SUMMARY DECISION MOTION DATED AUGUST 1, 2017**

Thomas J. Wagner, Esquire
LAW OFFICES OF THOMAS J. WAGNER, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Boulevard
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel: 215.790.0761
PA Bar ID No. 52876
Attorneys for Complainant, D. F. Young, Inc.

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ABBREVIATION LEGEND:

“DFY”:	Complainant D. F. Young, Inc.;
“DFY MSD”:	D. F. Young’s Motion for Summary Decision, Reply, Opposition to NYK’s Motion for Summary Decision and Exhibits
“NYK”:	Respondent NYK Line (N.A.), Inc.;
“Decision”:	The August 1, 2017 Initial Decision;
“FFC”:	Freight Forwarders Compensation pursuant to 46 CFR §515.42(c);
“Complaint”:	DFY’s verified Complaint, filed on February 3, 2016;
“First Answer”:	NYK’s Answer filed on March 23, 2016;
“2 nd Answer”:	NYK’s Amended Answer filed on September 23, 2016;
“Tariff”:	NYKS Tariff 156; (Public document and CX “1” to Motion for Summary Decision);
“Subpoena”:	Subpoenas issued Ford Motor Company by the Honorable Clay Guthridge at NYK’s request. (FMC docket/record)
“POA”:	Power of Attorney Agreed to between NYK and DFY on April 2, 2015 (CX “X” to DFY);
“Rule 230 Motion”:	DFY’s Motion To Recognize The NYK Tariff And Bill Of Lading Terms Or To Re-Open The Record And Remand Pursuant To Rule 230, filed with these exceptions.

A. SUMMARY OF KEY EXCEPTIONS

Exception No. 1: The Initial Decision Erred by Using the Wrong Summary Decision Standard in Denying DFY's Motion And Granting NYK's Motion.

The initial decision relied upon a pre-2010 discretionary standard to deny DFY's motion and used "discretion" to deny DFY's Motion when there were no facts in dispute:

- DFY performed freight forwarder activities – Undisputed.
- DFY performed the actions required by 46 CFR §515.42 – Undisputed.
- Ford, the shipper, admits that DFY satisfied 46 CFR §515.42 (c) for every shipment.
- DFY has performed 46 CFR §515.42 (c) services for every Ford vehicle shipped on NYK vessels since March 15, 2015 – Undisputed.
- NYK proffers no direct admissible evidence – NYK simply disagrees that they owe FFC to DFY.
- All non-party witness testimony demonstrates DFY's satisfaction of 46 CFR §515.42(c).

Exception No. 2: The Decision Erred As A Matter Of Law And Fact In Determining That NYKS Tariff 156 Did Not Apply.

NYK agrees that NYKS Tariff-156 and Rule 9 apply here. Not only do NYK Bills of Lading specifically incorporate NYK's tariff, in this case Tariff 156 and Rule 9, but NYK agreed specifically with DFY to "that the terms and condition of Carrier's regular form bill of lading shall apply to all shipments hereunder." There is no dispute here. The parties agreed that the tariff applied and now it must be enforced. See also, 46 CFR §520.13(C)(1)(requiring carriers to adhere to voluntarily published tariffs on exempt goods). (*Tariff 156, NYK0001, 54886, & 54975, CX "A" and DFY's Rule 230 Motion.*)

Exception No. 3: The Decision Erred When It Determined That NYKS Tariff 156 Did Not Apply.

The Decision identified an ambiguity in the Tariff. Then, after identifying the ambiguity, the ambiguity was interpreted in favor of NYK, the carrier that developed it, and against DFY, a member of the shipping public. The Decision incorrectly interpreted the language of the tariff by determining that the phrase "if applicable" only modified 2 of the 3 terms appearing prior to that phrase. The tariff language actually lists all three terms as not applicable. (*Tariff 156, NYK0001, 54886, & 54975, CX "A" and DFY's Rule 230 Motion.*)

Exception No. 4: The Decision Erred in Determining that the Tariff Only Applied to Tariff Rates and by Unreasonably Interpreting Tariff 156 and Rule 9 to Eliminate Freight Forwarding Compensation. (Id. At 20-22)

Tariff-156 and Rule 9 simply provides for 1.25% FFC on shipments of automobiles on NYK vessels. If a tariff is ambiguous in any sense, the ambiguity should be construed against the carrier which developed it. The Decision did the opposite, judging the ambiguity against DFY and in a manner that had no factual or logical basis.

Exceptions No. 5: The Decision Erred As A Matter Of Law When It Sought To Define The Term “Gross Freight” In A Manner At Odds With More Than A Century Of Universal Industry Acceptance.

The term “gross freight” has been a universally recognized term in admiralty and maritime law for centuries and therefore needs no definition. The Decision re-defined the term illogically and with no factual basis when interpreting the tariff language, drew inferences from that re-definition, and drew those inferences against DFY, not against NYK, who developed the tariff language.

Exception No. 6: The Decision Erroneously Determined That NYK, Despite Voluntarily Publishing A Tariff On An Exempt Cargo, Was Permitted To Violate 46 CFR §520.13(C)(1), Requiring Adherence To That Tariff.

Because NYK voluntarily published NYKS Tariff 156 including Rule 9, NYK must adhere to the tariff provisions. The Decision erred when it ignored this requirement and, in addition, determined that the tariff was inapplicable to DFY’s claim for FFC.

Exception No. 7: The Decision Erroneously Reversed The Burden Of Proof On NYK’s Affirmative Defense And Determined That The Existence Of Service Contracts Between NYK And A Shipper Absolve NYK Of Its Obligations To Adhere To NYK’s Own Voluntary Tariff Provisions Related To Third-Parties.

The Tariff applies in several demonstrated ways, including by contract between NYK and DFY: by operation of the Commission’s Rules, through the NYK/DFY Power of Attorney; through Tariff 156 language and by incorporation of para. 4 of the carriers Bill of Lading. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- Purpose of Tariff and Service Contract Regulations
 - Service contracts are commercial agreements between independent parties. The tariff applies to the Shipping Public. A service contract cannot eliminate a carrier’s tariff obligations or adherence.
- Deviating from Freight Forwarder Compensation in Tariff
 - The Decision presupposes that the terms of service contracts between shippers and carriers automatically render all of the terms in the carrier’s tariff applicable to the kinds of shipments being made unless the service contract actually incorporates the tariff or vice-versa, but fails to see that tariffs, by their definition and purpose, reflect the terms of relationships between carriers and the greater shipping public, including shippers, while service contracts deal only with the relationship between carriers and the shippers.

Exception No. 8: The Decision Impermissibly Construes Inferences From Materials Facts Against Non-Movant DFY And Not In The Light Most Favorable To Non-Movant – Reverse Inferences.

- By NYK’s 2 Contradictory Verified Answers.

- NYK filed two separate and contradictory Verified Answers that, viewed in a light most favorable to DFY, question the materiality and relevance of an alleged service contract defense.
- The Power of Attorney
 - The Decision concluded that the NYK/DFY Power of Attorney was a “relevant” document to demonstrate DFY’s lack of entitlement to FFC. Instead, the POA demonstrates that the tariff applies by incorporation of the terms of NYK’s bills of lading.
- The Absence Of Any Mention In The Tariff That FFC Would Not Be Applicable To Service Contract Shipments.
- Shipment of Non-Commercial Vehicles.
- Industry Practice on Freight Forwarding Compensation with Service Contracts.

Exception No. 9: The Decision Wrongly Applies the Waiver of Freight Forwarder Compensation by DFY’s Predecessor on Ford Shipments – Again Impermissibly Drawing Inferences From The Evidence In Favor Of The Moving Party.

The Decision implies that the prior Freight Forwarder’s waiver of FFC is binding on DFY. There is absolutely nothing in the record of the case to suggest that there was ever any relationship between Schenker and DFY that would justify enforcing any such contract.

Exception No. 10: The Decision Erroneously Suggests Freight Forwarders Must Reach Agreements With Ocean Carriers In Order To Merit Compensation When The Ocean Carrier Operates Under A Confidential Service Contract With A Third Party.

There are no provisions in the Shipping Act, or sections of the Commission’s corresponding Regulations that require freight forwarders to obtain an agreement with ocean carriers that they will pay freight forwarder compensation. To the contrary, freight forwarders are entitled to rely on the information obtainable through public tariffs and publicly accessible essential terms of service contracts to determine whether they are entitled to compensation, what they must do to merit such compensation, and in what amount.

Exception No. 11: The Decision Ignores Public Policy Consequences.

The Decision would not just have the effect of depriving DFY of its right to compensation for work performed in nearly a twenty (20) month period, but could subject freight forwarders to prosecution by the Commission for violating 46 C.F.R. §515.42(d)’s prohibition against “accept[ing] compensation from a common carrier which is different from that specifically provided for in the carrier’s effective tariff(s).”

BEFORE THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
Respondent.	:	

**COMPLAINANT D.F. YOUNG, INC.'S EXCEPTIONS TO THE AUGUST 1, 2017 INITIAL
DECISION**

Complainant, D.F. Young, Inc. ("DFY"), through its undersigned counsel, and pursuant to 46 CFR §502.227, asserts these Exceptions to Administrative Law Judge Erin Wirth's Initial Decision Denying Complainant's Summary Decision Motion and Granting NYK's Summary Decision Motion (August 1, 2017) ("Decision"). DFY submits that it is entitled to an award of Freight Forwarding Compensation ("FFC") and that Respondent NYK Line (N.A.), Inc.'s ("NYK") Motion must be denied as a matter of law and fact.

I. SUMMARY OF KEY EXCEPTIONS

Exception No. 1: The Initial Decision Erred by Using the Wrong Summary Decision Standard in Denying DFY's Motion And Granting NYK's Motion.

The initial decision relied upon a pre-2010 discretionary standard to deny DFY's motion and used "discretion" to deny DFY's Motion when there were no facts in dispute:

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- DFY performed the actions required by 46 CFR §515.42 – Undisputed.
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- NYK proffers no direct admissible evidence – NYK simply disagrees that they owe FFC to DFY.
- All non-party witness testimony demonstrates DFY's satisfaction of 46 CFR §515.42(c).

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NYK agrees that NYKS Tariff-156 and Rule 9 apply here. Not only do NYK Bills of Lading specifically incorporate NYK's tariff, in this case Tariff 156 and Rule 9, but NYK agreed specifically

with DFY to “that the terms and condition of Carrier’s regular form bill of lading shall apply to all shipments hereunder.” There is no dispute here. The parties agreed that the tariff applied and now it must be enforced. See also, *46 CFR §520.13(C)(1)*(requiring carriers to adhere to voluntarily published tariffs on exempt goods). (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

Exception No. 3: The Decision Erred When It Determined That NYKS Tariff 156 Did Not Apply.

The Decision identified an ambiguity in the Tariff. Then, after identifying the ambiguity, the ambiguity was interpreted in favor of NYK, the carrier that developed it, and against DFY, a member of the shipping public. The Decision incorrectly interpreted the language of the tariff by determining that the phrase “if applicable” only modified 2 of the 3 terms appearing prior to that phrase. The tariff language actually lists all three terms as not applicable. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

Exception No. 4: The Decision Erred in Determining that the Tariff Only Applied to Tariff Rates and by Unreasonably Interpreting Tariff 156 and Rule 9 to Eliminate Freight Forwarding Compensation. (Id. At 20-22)

Tariff-156 and Rule 9 simply provides for 1.25% FFC on shipments of automobiles on NYK vessels. If a tariff is ambiguous in any sense, the ambiguity should be construed against the carrier which developed it. The Decision did the opposite, judging the ambiguity against DFY and in a manner that had no factual or logical basis.

Exceptions No. 5: The Decision Erred As A Matter Of Law When It Sought To Define The Term “Gross Freight” In A Manner At Odds With More Than A Century Of Universal Industry Acceptance.

The term “gross freight” has been a universally recognized term in admiralty and maritime law for centuries and therefore needs no definition. The Decision re-defined the term illogically and with no factual basis when interpreting the tariff language, drew inferences from that re-definition, and drew those inferences against DFY, not against NYK, who developed the tariff language.

Exception No. 6: The Decision Erroneously Determined That NYK, Despite Voluntarily Publishing A Tariff On An Exempt Cargo, Was Permitted To Violate 46 CFR §520.13(C)(1), Requiring Adherence To That Tariff.

Because NYK voluntarily published NYKS Tariff 156 including Rule 9, NYK must adhere to the tariff provisions. The Decision erred when it ignored this requirement and, in addition, determined that the tariff was inapplicable to DFY’s claim for FFC.

Exception No. 7: The Decision Erroneously Reversed The Burden Of Proof On NYK’s Affirmative Defense And Determined That The Existence Of Service Contracts Between NYK And A Shipper Absolve NYK Of Its Obligations To Adhere To NYK’s Own Voluntary Tariff Provisions Related To Third-Parties.

The Tariff applies in several demonstrated ways, including by contract between NYK and DFY: by operation of the Commission's Rules, through the NYK/DFY Power of Attorney; through Tariff 156 language and by incorporation of para. 4 of the carriers Bill of Lading. (*Tariff 156, NYK0001, 54886, & 54975, CX "A" and DFY's Rule 230 Motion.*)

- Purpose of Tariff and Service Contract Regulations
 - Service contracts are commercial agreements between independent parties. The tariff applies to the Shipping Public. A service contract cannot eliminate a carrier's tariff obligations or adherence.
- Deviating from Freight Forwarder Compensation in Tariff
 - The Decision presupposes that the terms of service contracts between shippers and carriers automatically render all of the terms in the carrier's tariff applicable to the kinds of shipments being made unless the service contract actually incorporates the tariff or vice-versa, but fails to see that tariffs, by their definition and purpose, reflect the terms of relationships between carriers and the greater shipping public, including shippers, while service contracts deal only with the relationship between carriers and the shippers.

Exception No. 8: The Decision Impermissibly Construes Inferences From Materials Facts Against Non-Movant DFY And Not In The Light Most Favorable To Non-Movant – Reverse Inferences.

- By NYK's 2 Contradictory Verified Answers.
 - NYK filed two separate and contradictory Verified Answers that, viewed in a light most favorable to DFY, question the materiality and relevance of an alleged service contract defense.
- The Power of Attorney
 - The Decision concluded that the NYK/DFY Power of Attorney was a "relevant" document to demonstrate DFY's lack of entitlement to FFC. Instead, the POA demonstrates that the tariff applies by incorporation of the terms of NYK's bills of lading.
- The Absence Of Any Mention In The Tariff That FFC Would Not Be Applicable To Service Contract Shipments.
- Shipment of Non-Commercial Vehicles.
- Industry Practice on Freight Forwarding Compensation with Service Contracts.

Exception No. 9: The Decision Wrongly Applies the Waiver of Freight Forwarder Compensation by DFY's Predecessor on Ford Shipments – Again Impermissibly Drawing Inferences From The Evidence In Favor Of The Moving Party.

The Decision implies that the prior Freight Forwarder's waiver of FFC is binding on DFY. There is absolutely nothing in the record of the case to suggest that there was ever any relationship between Schenker and DFY that would justify enforcing any such contract.

Exception No. 10: The Decision Erroneously Suggests Freight Forwarders Must Reach Agreements With Ocean Carriers In Order To Merit Compensation When The Ocean Carrier Operates Under A Confidential Service Contract With A Third Party.

There are no provisions in the Shipping Act, or sections of the Commission's corresponding Regulations that require freight forwarders to obtain an agreement with ocean carriers that they will pay freight forwarder compensation. To the contrary, freight forwarders are entitled to rely on the information obtainable through public tariffs and publicly accessible essential terms of service contracts to determine whether they are entitled to compensation, what they must do to merit such compensation, and in what amount.

Exception No. 11: The Decision Ignores Public Policy Consequences.

The Decision would not just have the effect of depriving DFY of its right to compensation for work performed in nearly a twenty (20) month period, but could subject freight forwarders to prosecution by the Commission for violating 46 C.F.R. §515.42(d)'s prohibition against "accept[ing] compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s)."

II. STANDARD OF REVIEW

A complete *de novo* review is required here because the Decision failed to consider arguments, ignored material evidence, and made errors on key issues of law and governing standards which incurably infected the subsequent consideration of the facts. *Ceres Marine Terminal, Inc. v. M.D. Port Administration*, 27 S.R.R. 1251 (F.M.C. 1997); *Rose International, Inc. v. Overseas Moving Network, International, Ltd.*, 29 S.R.R. 119, 123-24 (F.M.C. 2001); *Pet. Of S.C. State Ports Authority for Declaratory Order*, 27 S.R.R. 1137 (F.M.C. 1997). The Decision must provide a reasoning "on all material issues of fact, law, or discretion presented on the record." 5.U.S.C. §557(c)(3)(A); *FMC Rule* 223 (Initial Decision must include "a Statement of Findings and Conclusions, as well as the reasons or basis therefore, upon all the material issues presented on the record.") The Decision cannot be based on speculation. Here, the Decision failed to meet these requirements.

III. EXCEPTIONS

- **Exception No. 1: The Initial Decision Erred By Using The Wrong Summary Decision Standard In Denying DFY's Motion And Granting NYK's Motion.**
 - a. **The Initial Decision Relied Upon A Pre-2010 Discretionary Standard To Deny DFY's Motion.**

The Commission follows Fed. R. Civ. P. 56 in deciding Summary Decision motions. 46 C.F.R. §502.12. Summary Judgment/Decision is appropriate where there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law, and moving parties have the initial burden of demonstrating that entitlement. *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). However, Judges must view the facts in the light most favorable to the nonmoving party, giving the nonmoving party the benefit of all justifiable inferences derived from the evidence in the record. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248-249 (U.S. 1986) (*emphasis added*). The Decision erred when it did not give DFY the benefit of all justifiable inferences derived from the evidence in the record when it denied DFY's Motion and granted NYK's Motion. *Infra at 27.*

Since 2010, Rule 56 has stated that “[t]he court **shall** grant summary judgment if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” *Fed. R. Civ. P. 56(a)*. The Decision relied incorrectly on pre-2010 case law and the prior Rule 56 to support discretion¹ **not** to grant DFY's Motion. (Decision at 5 “**D. Relevant Law**” & 1. **Motion for Summary Decision Standard**”) This was error. There is ample undisputed evidence to demonstrate that DFY is entitled to judgment on its FFC claims.

¹ The Decision's "Procedural History" notes that there had been extensive discovery; that Respondents' Amended their Verified Answer to assert a new defense 9 months service of the Verified Complaint that had never before been mentioned, ever; that the hearing might take 10 days, *etc.* But, the Decision is silent on why discretion was exercised against DFY when summary decision in DFY's favor was technically proper. Exercise of this discretion – eliminated since 2010 from Fed. R. Civ. P. 56 – goes unexplained here while requiring “the case to be developed fully at trial” by DFY. (*id.* at 5)

The Decision accurately describes that there to must be genuine factual disputes to defeat Summary decision, but it erred in not recognizing that the only disputes between the parties regarding DFY's freight forwarding activities are legal, not factual, disputes.

In holding that “[d]etermination of whether DFY performed freight forwarding services would require a factual analysis of the job duties performed by DFY's employees” and “[a]t this stage of the proceeding, that factual analysis is premature[]”, the Decision lists “factual questions raised by the pleadings and not resolved by DFY's motion”:

1. Whether DFY performed freight forwarding services;
2. Whether DFY “engaged, booked, secured, reserved, or contracted directly with the carrier for space aboard a vessel or confirmed the availability of the space”;
3. Whether DFY “prepared and processed the ocean bill of lading, dock receipt, or other similar document for the shipments”;
4. Whether shipments contained new assembled motor vehicles;
5. The number of shipments involved; and
6. Determination of damages.

(See *id.*). Yet, the Decision does not separate the legal issues from factual ones and is cites no evidence to show that there is any admissible evidence to show and genuine material disputes over these facts.

The Decision's first three (3) cited “factual questions” are restatements of prerequisites for freight forwarder compensation under 46 U.S.C. §40904(a) and 46 C.F.R. §515.42(c) (or, by extension, 46 C.F.R. §515.2(h)). Whether the activities described in DFY's Motion and supported by actual documents in the record qualify as compensable freight forwarder services defined by these regulations is a question of law: application of regulatory language to facts not genuinely in dispute.

The Decision's fourth “factual question” is not actually relevant to DFY's Motion; DFY need only show that the Ford shipments contained “Auto Manufacturer cargo,” not “new assembled motor

vehicles”². There is no dispute between the parties that the Ford shipments qualified as “Auto Manufacturer cargo.” The Decision’s fifth “factual question” is also not genuinely in dispute; the time period of Ford shipments in question and the particular Ford shipments that were carried on NYK’s vessels (as evidenced on the bills of lading that correspond to those shipments) for which DFY is seeking freight forwarder compensation are clear. (Tariff 156, *DFY’s MSD and CX “A” - “HH” & CX 1-12, Statement of Material Facts*, ¶¶29- 56; *NYK’s Opposition to DFY’s Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶29- 56 and *DFY’s Opposition to NYK’s MSD*). The last “factual question”, “determination of damages” requires only applying the FFC rate of 1.25% on the gross freight of Ford shipments moved on NYK’s vessels during the agree-upon time period. If there is doubt from the record of the case as to the last two “factual questions,” the Decision should have entered judgment holding the other four “factual questions” as established. *Fed. R. Civ. P. 56(g)*.

- **DFY Performed Freight Forwarder Activities - Undisputed**

There is no genuine dispute as to what particular activities DFY performed on Ford shipments transported on NYK’s vessels. Rather, all parties agree what they are and that they are all freight forwarding activities. Even the Decision, at 13 under “**A. Arguments of the Parties**” doesn’t attempt to include that question as part of the genuine material issue dispute.

- **DFY Performed the Actions Required by 46 CFR §515.42 – Undisputed.**

The only question here is whether they qualify for FFC under 46 CFR §515.42. Simple review of the evidence demonstrates that they do. §515.42 is written in the alternative – here, the words are meaningful. DFY must have “**Engaged, booked, secured, reserved, or contracted directly with the**

² As explained, *infra*, the Decision’s holding that the record of the case still raises a factual question as to whether the Ford shipments on Respondent’s vessels qualified as “new assembled motor vehicles” as described in 46 C.F.R. §§ 530.3(m) and 530.13(a) is actually grounds for denial of Respondent’s Motion.

carrier or its agent for space aboard a vessel or confirmed the availability of that space; and Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

515.42 (c) does not require DFY to do each and every one of these actions – just actions from (1) and (2). The Decision erred in not concluding that at the very least, DFY booked, secured, reserved or contracted directly with the carrier for space; or confirmed the availability of that space – and – prepared and processed the bill of lading, dock receipt or related documents for that shipment. (Tariff 156, *DFY's MSD and CX "A"- "HH" & CX 1-12, Statement of Material Facts*, ¶¶29- 56; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶29- 56 and *DFY's Opposition to NYK's MSD*).

- **Ford, The Shipper, Admits That DFY Satisfied 46 CFR §515.42 (c) On Every Shipment.**

Steve Emmons was Ford's representative proffered to speak on the FFC services that DFY provided in shipping Ford vehicles on NYK vessels. He responded to NYK's subpoena with documentary evidence showing that that DFY performed each action required by 46 CFR §515.42(c) on every Ford vehicle shipment. (*CX "D" and Judge Guthridge's subpoena to Ford, FMC record*)

Emmons, as Fords representative, advised that DFY books the cargo on board the vessels and confirms the availability of that space on every shipment. (*CX "D" 119:16 – 22*).

Ford, through Emmons, confirms that when DFY confirms that NYK space allocation, they secure, reserve and contract NYK directly to make sure that space is available. DFY also prepares and processes the bills of lading and dock receipts. (*CX "D" 119:23 – 25/120:1 – 6*).

Ford, through Emmons, confirmed that DFY's booking actually secures the space directly with NYK. (CX "D" 120:7 – 11). Ford, through Emmons confirmed that DFY prepares the 304³ that they send to book the cargo space on board NYK vessels. That "304" information is then sent back to DFY by NYK as a "310". DFY – who created this information, then uses the information that NYK sends back confirms to DFY that the space is being used, to prepare and process the bill of lading. (CX "D" 120:12 – 25)

Ford, through Emmons, demonstrates the absurdity of NYK's defenses, i.e., that the only service provided by DFY was to remotely print out a bill of lading. Indeed: "Q: Is that accurate, sir? A: No." (CX "D" 125:12 – 20) Ford/Emmons advised that Ford could not ship their vehicles on NYK vessels if DFY did not provide the freight forwarder services to book those vehicles onto NYK's vessels. (CX "D" 126:18 – 25).

- **DFY has Performed 46 CFR §515.42 (c) Services For Every Ford Vehicle Shipped On NYK Vessels Since March 15, 2015 – Undisputed.**

There is also no dispute that DFY performed these activities on every shipment since March 25, 2015. The Decision, erred as a matter of fact, on that point.

NYK served the Commission's subpoena⁴ on Ford seeking:

"[A]ll documents with respect to the shipments during the period March 1, 2015 to the present:

(1) indicating the engaging, booking, securing, reserving, or contracting directly with NYK Line or its agent for space aboard a vessel owned or operated by NYK Line or confirming the availability of that space; and/or

(2) indicating the preparing and/or processing of any ocean bills of lading, or other similar documents with respect to any of the shipments. (*Subpoena Issued by Judge Guthridge, FMC record*)

³ The original bookings.

⁴ See, August 18, 2016 Subpoena issued by The Hon. Clay G. Guthridge, "SCHEDULE OF DOCUMENTS TO BE PRODUCED", "Requested Production" and Ford production. (*FMC record*)

In response, Ford, through Emmons, produced materials documenting every Ford's vehicle shipment on NYK vessels. Ford, through Emmons, testified that every one of those shipments "are indicative of D.F. Young doing these [46 CFR §515.42 (c)] activities" on every Ford shipment since March 15, 2015.

Contrariwise, NYK proffers no evidence to contradict DFY and Ford's evidence that DFY performed the required 46 CFR §515.42(c) freight forwarding services for every Ford vehicle shipped on NYK vessels since March 15, 2015.

- **NYK Proffers No Direct Admissible Evidence – NYK Simply Disagrees That They Owe FFC To DFY.**

NYK, speaking pursuant to *Fed. R. Civ. P. 30 (b)(6)* through their Corporate Designee, John Grbic, provided no evidence to contradict Ford/Emmons or DFY's assertions about their Freight Forwarding actions – because NYK doesn't know what DFY does! NYK/Grbic simply disagrees that FFC should be paid.

Mr. Grbic's testimony binds NYK on their defenses to this claim, the tariffs in effect from March 1, 2015, NYK policies are for investigating FFC claims, policies regarding the preparation, processing and issuance of bills of lading, policies regarding the booking, securing and/or reserving space, and services provided by DFY on all shipments of Ford products from March 1, 2015 to the present as well the bills of lading or other transport documents related to shipment of Ford products from March 1, 2015 to the present. (CX "H").

Mr. Grbic assumed the job of determining whether persons or entities performed freight forwarder activity "sometime in 2015". (CX "H" 42:11 – 22).

When asked to describe every activity he engaged in to deal with the analysis of freight forwarding activity in the summer of 2015, he first identified all of the freight forwarders. (CX "H" 45:12 – 20). With respect to DFY, he decided that because in the NYK/Ford service contract DFY does not reserve or secure space with NYK on any vessel or voyage or Port-pairs; because DFY did not select NYK as a carrier and that all that DFY does is remotely print Bills of Lading, he didn't think that FFC was warranted⁵ (CX "H" at 53-54). In addition, Grbic/NYK admits that it is not the sequence of contacts – in time - for space that they will pay FFC on. Rather, FFC depends on just what the "process" is and who's performing that function.

NYK/Grbic will pay FFC if "a freight forwarder is in the process of securing space on behalf of the shipper with the carriers", "performing shipping instructions – to the carrier" and "preparing bills of lading." (CX "H" 71:17 – 25/72:1 – 16) In fact, this is the sum and substance of freight forwarding activity, in NYK/Grbic's mind (CX "H" 72:13 – 16). These are all activities that DFY performs. NYK doesn't know that this is so because they do not know what DFY does or does not do.

With regard to bills of lading, bill of lading information is on a 304 – EDI information. (CX "H" 109:2 – 9) the shipping instructions gets turned into a bill of lading. (CX "H" 109:14 – 17) the content of the EDI, or cargo documentation is used to create the bill of lading – that is a 304 transmission. (CX "H" 112:5 – 15). DFY performs this.

NYK/Grbic posits that these shipping instructions in the 304 are received from Ford, but only because they are received from the Ford EDI system. NYK/Grbic does not know one way or the other whether or not D.F. Young sends that information through Ford's EDI system to NYK. (CX "H" 119:1

⁵ Not surprisingly, NYK/Grbic didn't locate any freight forwarder justifying payments from NYK during his investigation. (CX "H" 73:21 – 25/74:1 – 2)

– 18) on the other hand, Ford/Emmons is certain that DFY provides the 304's in order to book, secure and reserve space on the vessel. In fact, NYK/Grbic does not know what DFY does inside Ford's EDI system. (CX "H" 119:19 – 25/120:1 – 10). NYK/Grbic also cannot identify exactly what DFY does with that information in the 304 and NYK/Grbic has no personal knowledge of what DFY does with the 304 message that it sends to NYK (CX "H" 120:11 – 25/121:1 – 23).

The data on the 304 ultimately needs to have onboard dates, rates, port pairs, shipper, consignee, VIN numbers entered into it and returned for the Ford EDI system as a 310. That 310 always needs to be audited. NYK does not do that, somebody else does. (CX "H" 127 – 129). According to Ford and DFY, DFY does that activity. According to NYK/Grbic, that is pretty much preparing and processing the bill of lading (CX "H" 128:2 – 15).

NYK/Grbic calls the auditing "check for errors" (CX"H" 130:1 – 12) but everything in the 304 is essentially contained in the 310. If there is something else, NYK/Grbic is not clear on it. (CX"H" 130:13 – 19) and NYK/Grbic does not know who was using the Ford system to create and send the 304 (CX"H" 131:1 – 24). In fact, he has never seen the booking, securing, reserving or confirming space process for any Ford vehicle shipment. (CX "H" 131:25/132:1 – 5).

NYK/Grbic admit that they have no personal knowledge as to what DFY does in the shipping process, their actual activities or their actual responsibilities with respect to Ford. (CX "H" 132:20 – 25/133:1 – 13 "specifically, no").

NYK/Grbic conducted no visual observations of DFY's actions with regard to the Ford vehicle shipments that would provide him or NYK with a foundation upon which to challenge DFY's claims. Thus, NYK doesn't know what DFY "was or was not doing that would entitle them to freight

forwarding compensation". (CX "H" 134:14 – 25/135:1 – 8) NYK/Grbic never contacted DFY and never had any curiosity or concern as to what DFY's actions might be. (CX "H" 136:7 – 13).

NYK/Grbic knew at the outset of this case that DFY was seeking freight forwarding compensation on the Ford shipments. (CX "H" 141:17 – 22). It was NYK/Grbic's understanding that DFY was not entitled to FFC because the prior freight forwarder did not get paid. (CX "H" 142:3 – 13). Yet, NYK/Grbic agree that they don't know what activities the prior freight forwarder – Schenker – performed on behalf of forwarder NYK and never made any investigation to find out exactly what Schenker was doing either. (CX "H" 152:7 – 14); and NYK/Grbic cannot validate exactly what DFY is doing either. (CX "H" 151:13 – 24). NYK/Grbic agrees that they do not know whether DFY reserved, booked, engaged or secured any space on NYK vessels. (CX "H" 157:1 – 23). Yet, Ford advises that this is exactly what DFY does. Of course, NYK/Grbic never checked with anybody at Ford to find out what DFY was doing for Ford. (CX "H" 158:4 – 9) NYK/Grbic also do not know what DFY is doing in the Ford EDI system. (CX "H" 232:231:23 – 25/232:1 – 9).

NYK/Grbic agrees that sending 304s is freight forwarding activity; process and preparing of the bills of lading is freight forwarding activity. Auditing and processing the 310 message is freight forwarding activity and that inserting missing data into the bill of lading and processing that part of the bill of lading is freight forwarding activity. (CX "H" 217 – 220)

The service contract between NYK and Ford is confidential, not published anywhere and NYK/Grbic agrees that DFY could not have knowledge of, or access to that contract. (CX "H" 225:1 – 8). At best, NYK/Grbic made a mistake on their approach to the evidence in this case. And the only notice ever given to DFY that they would not be entitled to FFC is a February 27, (CX "D" 11) email

from NYK describing the services – which NYK did not know what services and still does not know what services DFY provides – were not freight forwarder services. (CX “H” 268:16 – 23)

- **All Witness Testimony Demonstrates DFY’s Satisfaction Of 46 CFR §515.42(C).**

- **Sharon Parcha .**

Ms. Parcha works for Wallenius Wilhemson as a traffic coordinator. (CX “O” 10:21 – 25).

Parcha receives a final booking log with the VIN information of all vehicles to be shipped on NYK vessels from DFY. (CX “O” 31:25/32:1 – 11). DFY provides this list after DFY books the cargo and sends it through Ford’s EDI system. (CX “O” 32:16 – 20). Parcha provides information directly to D.F. Young as part of her job satisfying her company's contractual relations with Ford. Her understanding is limited because she doesn’t actually know what the scope of her employer’s contractual role is in this process. (CX “O” 32:21 – 25/33:1 – 12). While Parcha lacks the required foundation to offer opinions as to exactly what role she or her employer Willenius actually performs, she is certain that she gets the booking information from DFY. (CX “O” 36:18 – 20). The rest of the information that she acquires concerning forecasts are from Ford (CX “O” 37:1 – 2). Ms. Parcha does not offer anything to undermine DFY's claim of booking, securing, reserving and ultimately confirming space aboard NYK vessels.

- **Linda Ferguson**

Linda Ferguson was a documentation manager at Wallenius. She provides DFY with all the information that DFY would need to ship Ford vehicles on NYK vessels. (CX “G” 17:9 – 25/18:1 – 5). Ferguson makes sure the DFY has everything they need to prepare documentation and book the vehicles on board NYK vessels. (CX “G” 23:2 – 15). In essence, Wallenius works in support of DFY and performs their forecasting for DFY, not Ford. (CX “G” 33:15 – 23). DFY prepares and processes the

300's, 304's and 310's to NYK that reserves the space, books the actual vehicles into that space (not conceptual vehicles, but real ones). (CX "G" 42:9 – 25/43:1 – 2). DFY can even make a booking before they get a forecast. (CX "G" 44:15 – 20). DFY creates each load for each vessel for voyage in the Ford's system and that data is then generated by DFY to NYK. (CX "G" 50:2 – 6). DFY updates the VIN's, creates the voyage, assign the VIN to a vessel and then DFY book the vehicle onto the vessel. (CX "G" 50:7 – 16). The provision of the VIN's in the booking then confirms the space. (CX "G" 70). Without DFY's efforts, Fords vehicles cannot travel on NYK vessels. (CX "G" 63:1 – 25/64:1 – 8).

When space is short on an NYK vessel; or if there is too much, DFY fills it or moves overflow to other NYK vessels. (CX "G" 66/67).

DFY also creates the bookings (300's and 304's - shipping instructions) that then permits DFY to process the bills of lading so that the freight on the bills of lading can be paid to NYK. (CX "G" 73/74). If DFY did not provide these services, NYK would have to do it themselves. (CX "G" 74 – 78). Without DFY's booking actions, the space described by NYK is never used – and NYK would never be paid for any freight.

- **Darlene Schwark**

Ms. Schwark audits, processes and prepares the bill of lading with information provided from NYK. After she corrects the freight rate – and every freight rate from NYK is incorrect – she arranges payment for NYK. (CX "J" 20 – 21 & 15 – 16).

- **Stacy Southards Declaration Is Irrelevant, Contradicts NYK's Corporate Admissions And Lacks Foundation. It Does Not Create A Genuine Issue Of Material Fact.**

NYK provides a Declaration from a Stacy Southard that must be disregarded as it contradicts the testimony of NYK's designee and lacks foundation.

Stacy Southard is a lay witness opinion. Lay witness opinion testimony is limited to what the witness can perceive with his or her senses. *Fed. R. Evid. 701*. None of her conclusions are based on actual observation, or what might be perceived by her senses of touch, taste, smell, hearing or observation. To the extent her Declaration it is based on some scientific, technical or other specialized knowledge within the scope of *Fed. R. Evid. 702*, it lacks a foundation.

According to Southard's declaration, she is "fully familiar with the carrier documentation created by NYK in regard to shipping new manufactured motor vehicles from the United States to foreign destination, and I am likewise familiar with the documentation, both hard copy and EDI, which shippers either directly or through their forwarders, provide to NYK in the usual course of business." She is a "Customer Service and Documentation Manager of NYK". Ms. Southard proffers no basis for an opinion on what an EDI message does or does not do. The basis for her conclusions about how EDI systems work, and what effect those systems have is simply not demonstrated by the proffered foundation as a "Customer Service and Documentation Manager." For example, McDonalds employees are fully familiar with the frying of a hamburger, the right temperature and how it should look, but without any further foundation, their opinions and conclusions about how the circulatory or digestive tracts of a cow works are not admissible.

Ford, DFY and Wallenius all agree that without DFY's efforts in securing, booking confirming the space, preparing and issuing 300 and 304 messages, no Ford vehicle could be shipped on board any NYK vessel and the space for that specific vehicle could not be confirmed or filled by that specific vehicle. Ms. Southard's opinions on behalf of her employer are admirable, but they are based on hearsay, not personal observation, and her opinions lack an appropriate foundation. *Fed. R. Civ. P. 56* requires admissible evidence in order to defeat a DFY's MSD.

The only actual dispute between the parties about these activities is whether they qualify for compensation according to the language of 46 U.S.C. §40904 and 46 C.F.R. §515.42(c) (as referenced by implication in the Tariff). NYK does not affirmatively deny that DFY carries out the specific activities it describes in DFY's Motion (See, e.g., *DFY's MSD, NYK/DFY POA, CX "A" through "HH" and DFY's Proposed Findings of Fact*).

In fact, NYK claims to not even know at this late date what activities DFY even performs on Ford shipments. (See e.g., *DFY's Motion, Statement of Material Facts*, ¶¶42, 50, 80-82; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶42, 50, 80-82).

The entire basis for NYK's defense that DFY only remotely printed bills of lading was NYK's mistaken belief that Electronic Data Interchange ("EDI") messages were transmitted through Ford's proprietary "GLADS" system and emails sent to and from DFY's employees used Ford email addresses. (See *id.*, ¶¶80, 83). NYK now argues that DFY's actions do not constitute "engaging," "booking," "securing," "reserving," "contracting directly with the carrier for space aboard a vessel," "confirming the availability of the space," or "preparing and processing the ocean bills of lading". 46 U.S.C. §40904(a); 46 C.F.R. §515.42(c). (See e.g. *NYK's Opposition to DFY's Motion for Summary Judgment*, ¶¶31-55). Even in these arguments, NYK relies on flat denials with no reference to actual admissible record evidence to support their opposition. *id.*, ¶¶39-55, 81-83).

- **Exception No. 2: The Decision Erred As A Matter Of Law And Fact In Determining That NYKS Tariff 156 Did Not Apply Because Ford And NYK Had A Secret/Confidential Service Contract.**
- **Each Bill Of Lading Specifically Incorporates The Tariff. The Power Of Attorney Between NYK And DFY Specifically Incorporates The Bill of Lading Terms.**

NYK has contractually agreed that NYKS Tariff-156 and Rule 9 apply here. All NYK Bills of Lading prepared and processed by DFY specifically provide that:

(Carrier's Tariff) The terms of the Carrier's applicable tariff are deemed to be incorporated herein. Copies of the relevant provisions of the applicable tariff are obtainable from the Carrier upon request. In a case of inconsistency between this Bill of Lading and the applicable tariff, this Bill of Lading shall prevail. (NYKS-Tariff-156, NYKS 54975 and NYK Bill of Lading terms; DFY's Rule 230(d) Motion)

These terms are specifically incorporated into NYK's Long Form and Short Form Bills of Lading prepared and processed by DFY on NYK's behalf. (Tariff 156, CX "A", "P" and "X", NYKS 54975 and NYK Bill of Lading terms; DFY's Rule 230(d) Motion).

The Power of Attorney executed by NYK and DFY provides:

4. Bill of Lading Forms. For the Ford shipments identified above, forwarding agent shall, in accordance with the instructions and directions provided by Carrier, use the Bill of Lading data to print and issue Bills of Lading on forms to be supplied by forwarding agent. It shall be the responsibility of forwarding agent effectively to incorporate by reference into all Bills of Lading issued hereunder the terms and conditions of Carriers right of regular form Bill of Lading, a copy of which is attached as "Exhibit A." Carrier, forwarding agent and Ford agree that the terms and conditions of Carriers regular form Bill of Lading shall apply to all shipments hereunder..." (CX "W" at 3)(emphasis added)

Not only do NYK Bills of Lading specifically incorporate NYK's tariff – in this case Tariff – 156 and Rule 9, but NYK agreed with DFY "that the terms and condition of Carrier's regular form bill of lading shall apply to all shipments hereunder." There is no dispute here. The parties agreed that the tariff applied and now it must be enforced.

NYK's Short Form Bill of Lading terms also require that:

All agreements with respect to the above goods are superseded hereby and none of the terms hereof shall be deemed waive except in writing by an authorized agent of the carrier. (CX "P")

Any contrary agreements – in this case, that the tariff **does not** apply or is not incorporated herein - are "superseded" by the terms of NYK's Short Form and Long Form Bills of Lading prepared and processed by DFY pursuant to the NYK/DFY Power of Attorney. (CX "A", "P" & "X")

- **Exception No. 3. The Decision Erred When It Determined That NYKS Tariff 156 Did Not Apply.**

The Decision holds that the “tariff, by its express provisions, did not apply.” (*Id.* at 20). There is no factual or legal basis for this conclusion. DFY has always asserted that the tariff applied in DFY MSD filings. DFY specifically asserted that the term “tariff rate” was not applicable. (*DFY’s MSD filings, including it’s opposition to NYK’s MSD at paras. 1, 2, 5, 9, 10 & 12 -citing NYK’s bad faith failure to honor Tariff 156 and Rule 9.*)

The Decision concludes that “the parties agree about the language of the tariff; however, they disagree about the legal conclusions to be drawn from the tariffs language”. Yet, the Decision relates “the tariff at issue here states that ‘compensation which is paid under this will shall be on the gross freight. The gross freight includes the tariff rate **and** Heavy Lift **and** Extra Length charges, if applicable [. SIC]. .’” (*Id.* at 21)(**emphasis added**).

Oddly, the Decision locates an ambiguity. Then, after identifying the ambiguity, the ambiguity is interpreted in favor of NYK, the carrier that developed it, and against DFY, a member of the shipping public. This type of interpretation is contrary to the established role of the court and Commission, is clear error, and it alone requires reversal of the Decision.

- **Exception No. 4: The Decision Erred in Determining that the Tariff Only Applied to “Tariff Rate[s]” and by Unreasonably Interpreting Tariff 156 and Rule 9 to Eliminate Freight Forwarding Compensation. (Id. At 20-22)**

DFY submits that Tariff-156 and Rule 9 simply provides for 1.25% FFC on shipments of automobiles on NYK vessels. There is no reasonable or logical alternative view.

Recognizing that “tariff provisions should be construed reasonably, and without a strained or unnatural construction”; *id.* At 21. (quoting *S.A. Chiarella v. Pacon Express Inc.*, 29 S.R.R. 335, 337 (FMC Aug. 15, 2001)); and that “tariff interpretation is governed by the ‘express language’ of the tariff,

not the ‘unexpressed intent’ of the author, the Decision advises that “if the tariff [is] ambiguous in any sense, a tariff’s ambiguity should be construed against the carrier which developed it, not against the carrier’s customer.” *id.* The Decision did the opposite.

The Decision incorrectly interpreted the first two sentences in Rule 9 of the NYKS-156 Tariff related to calculation of freight forwarder compensation. Those two statements read:

The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate and Heavy Lift and Extra Length Charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designated to cover specific costs. (emphasis added)

(See *id.* at p. 21) (*citing* RX 26).

The Decision abused its discretion and incorrectly concluded that the term “if applicable” “only refers to heavy lift and extra length charges, which are by their nature conditional, not the tariff rate.” *id.* At 22. That conclusion is demonstrably wrong.

According to Tariff 156, the terms “tariff rate”, “Heavy Lift” and, “Extra Length charges” are separate terms set forth in the Tariff. Joined by the conjunction “and⁶”, all three separate terms in this series are equally modified by the term “if applicable”.

According to Tariff 156, none of these three terms, and their potential rates or charges “Appl[y]”. (*Tariff 156, NYKS 54886, DFY’s Rule 230 Motion, FMC Rule 161*)

⁶ and,(ə)n/: *conjunction*

and 1. used to connect words of the same part of speech, clauses, or sentences that are to be taken jointly. Google Definition

These three terms are thus not **“applicable”**. And, given that this sentence only adds **“applicable”** considerations that could modify what might be **“include[d]”** in the **“gross freight”** **“for the purpose of computing compensation”**, none of the three are relevant to our inquiry here.

NYK has no tariff rate for this cargo. That is why the “tariff rate is not “[*not*]applicable”. (*CX “H” 92-93*).

Nothing is more “conditional” than a Tariff rate that both doesn’t apply and doesn’t exist. According to the Tariff, the “tariff rate” does not apply.

Moreover, Tariff 156 itself identifies that none of these 3 terms are “applicable”. Since they are inapplicable, they cannot be included in the “gross freight” measure for FFC set forth in Rule 9 and cannot logically or factually limit the applicability of Tariff 156 or FFC to service contract shipments. The only reasonable interpretation of those 2 sentences is that FFC will be measured by “gross freight”. Gross Freight means just that: “gross freight”. The second portion of that sentence is not, by it’s own terms, “applicable.

Conversely, there is no mention of a service contract rate. And there is no mention that there are any other limitations on the way FFC is measured. The only reasonable interpretation that could be made by the shipping public is that NYK will pay FFC of 1.25% on the “gross freight” related to new manufactured automobiles.

The ambiguity of this Rule and Tariff, and the resultant confusion caused to DFY by NYK’s own language was exacerbated NYK’s own non-responsive conduct in this case. When DFY asked NYK on 3 separate pre-suit occasions - September 24, 2015; December 22, 2015 & January 12, 2016 - if they

would honor their Applicable Tariff; NYK never responded. (CX “CC”)⁷ Instead, NYK stayed silent. Realistically, what further effective communications could be made? Repeated requests? DFY did that when it sent 3 successive FFC demands to NYK and was met with silence.

DFY suggests that the reason for the “[in]applicable” “tariff rate” is that NYK knew that “all Auto manufacturers cargo” were subject to service contracts, so that a tariff rate was unnecessary. NYK intended the FFC Rule to apply to service contracts – that was all that was out there! NYK still proffered Rule 9 FFC based on “gross freight”. Really, NYK’s new “The tariff doesn’t apply to service contract shipments” claim is a retrospective one. NYK knows better.

Based on NYK’s own Tariff & Rule language, Tariff 156 was applicable and Rule 9 advised that compensation would be paid on 1.25% of the “gross freight”. These facts demand that this inference be drawn in favor of DFY and not the tortured interpretation in favor of NYK, the tariff’s author.

Next, the Decision wrongly interprets these sentences to mean that the “gross freight” described here limits compensation payments to shipments on which freight has been paid at tariff rates, because “the tariff would not apply to service contract shipments where there is no ‘tariff rate.’” *id.* That interpretation has no basis in fact or law. If correct, then a carrier silence in its tariff; silence in response to written requests or lawsuits now can be interpreted to mean whatever that carrier can come up with 18 months after the first written request; 9-11 months after 3 documented written demands; 8 months after service of a Verified Complaint; and 6 months after the carrier’s Verified Answer is filed (yet still silent on the issue). That is an absurd result.

⁷ Indeed, on December 22, 2015, DFY’s counsel asked NYK: “Anent our recent conversation concerning NYK’s obligations here, I haven’t received anything that would pose any legitimate avoidance of these obligations. If you have something . . . anything, please send it on over. I look forward to hearing from you.” *Id.*

Contrariwise, there is no language in Rule 9 that implies that the payment of freight forwarder compensation is conditioned on there being no service contracts or on incorporating the terms of the service contract into the tariff, which is how the decision ruled. The description of “gross freight” as “includ[ing] the tariff rate **and** Heavy Lift **and** Extra Length Charges, if applicable” (**emphasis added**) very clearly is for “the purpose of computing compensation.” (*RX 26*).

Rule 9 does not state that freight forwarder compensation will only be paid on cargo shipped without a service contract or that it will be computed by using any other term. NYK could have drafted Rule 9 that way or amended it to reflect such an intent at any time, but it chose not to do so. NYK could have also referred to the NYK/Ford service contracts, as it has referred to other service contracts in other tariffs, but chose not to. (*CX “HH” NYKS Tariff 199 stating that FFC is “Applicable as provided in individual Service Contracts”*)

The most reasonable interpretation of this provision of Rule 9 is that FFC will be measured on “gross freight” which may be modified by applicable terms, not that compensation is limited “to shipments on which tariff rates have been paid.” *Id.* If there is an ambiguity regarding the meaning of this language, it must be construed against NYK as the drafter of the Tariff. The Decision casts this construction aside in order to have the tariff comport with its preconceived belief that service contracts automatically deactivate tariffs as to all aspects of shipments unless otherwise provided.

Next, the phrase “The gross freight **includes** the tariff rate **and** Heavy Lift **and** Extra Length Charges, if applicable . . .” (**emphasis added**) is not a definition of “gross freight”. Rather, it is a permissive phrase using the word “includes”, not the phrase “is defined as”.

The Decision ignored the clear, concise tariff term “[t]he compensation which is paid under this rule shall be on the gross freight.” And instead held that the next sentence “[t]he gross freight

includes...” was a “definition” of “gross freight”. The decision abused judicial discretion and erred as a matter of law to change the term of the tariff, i.e., removing the term “includes” and substituted the term “defined as” in order to interpret the tariff in favor of NYK. There is no legal or factual basis for this change. This change again draws inferences from the facts in favor of the moving party.

- **Exception No. 5: The Decision Erred As A Matter Of Law When It Sought To Define The Term “Gross Freight” In A Manner At Odds With More Than A Century Of Universal Industry Acceptance.**

The term “gross freight” is not a term that needs definition. If there is any term in NYK’s Tariff or Rule that no one has any doubt about, it is the term “gross freight”.

First, “freight” in maritime law and commercial parlance, never refers to the goods carried, but rather to the compensation which the ship owner is to receive for carrying the goods. **Gilmore & Black, *The Law of Admiralty, 2nd Ed. Chapter V.*** The term “gross freight” is one that has been universally recognized in admiralty and maritime law for centuries.⁸ Everyone knows exactly what it is when it is

⁸ See, e.g. *The “Potomac”*, 105 U.S. 630 (May 8, 1882) (“When there is a market price for such use, that price is the test of the sum to be recovered. When there is no market price evidence of the profits that she would have earned if not disabled is competent; but from the gross freight must be deducted so much as would in ordinary cases be dispersed on account of her expenses in earning it; in no event can more than the net profits be covered by way of damages.”); *New York and Cuba Mail S.S. Co. v. Royal Exchange Assurance*, 154 F.315 (Cir. 2. 1907) (In action seeking to recover damages for lost freight, “the court concluded that the parties intended as the valued subject the insurance the freight at appellant’s risk, and not the gross freight, in which appellant might have only a fractional interest.” Mentioning that “the policy insureds freight on board, or not on board”. These words may mean the gross freight, or they may mean the freight at risk.”... “we think they intended as the valued subject of insurance the freight at the libellants risk, and not the gross freight, in which the libellant might have only a fractional interest.”); *The Young America*, 30 F. 789 (S.D.N.Y. 1887) (discussing, without defining, the term “gross freight” referred to under the statute of limited liability of George III.); *The Baltimore*, 75 U.S. 377 (U.S. 1869) identifying “gross freight” as the appropriate measure of damages in a vessel loss.; *Butler v. Boston and Savannah S.S. Co.*, 130 U.S. 527 (U.S. 1889) (identifying “gross freight” pending as the proper measure used in valuing limitation fund in the limitation of liability proceeding.); *Viumbria*, 166 U.S. 404 (U.S. 1897) (discussing cases in which the “gross freight” would be a measure of damages, without defining what that was.); *Texas Transport and Terminal Code. v. New Orleans*, 246 U.S. at 150 (U.S. 1924) (identifying “gross freight” as the basis upon which a taxable compensation can be measured on a steamship line.); *Todd Shipyards Corp. v. The City of Athens*, 80 3F. Supp. 67 (Dist. Md. 1949); *The Eliza Lines* 60 1F. 308 (D. Mass. 1894)(identifying “gross freight” without qualification, definition or any other description, as an appropriate measure of damages.); See also, more recently, *Navieros Inter-Americanos, S.A. v. M/V Vasilisa Express*, 120 F. 3d, 304 (1 St. Cir. 1997); (“gross freight” as a measure of damages, without qualification, explanation, etc.); *The Hope and Freddie L. Porter*, 5 F. 822 (Dist. Maine 1880) (gross freight and net freight discussed as measure of damages.); *Great Lakes*

written in a tariff. It needs no modification; and warrants nothing to describe what it might include. The Decision erred as a matter of fact and law when it interpreted the terms of Tariff 156 and Rule 9⁹ otherwise. Without resorting to strained or unreasonable interpretation, it is entirely reasonable – and in this case most likely – that a review of NYK's Tariff 156 and its Rule 9 would lead to the inescapable conclusion that a tariff published without a “tariff rate” would promise freight forwarding compensation at 1.25% of the “gross freight”.

This conclusion is supported by the fact that all of the Bills of Lading prepared and issued by DFY on NYK's behalf specifically incorporate NYK's tariffs and that the NYK/DFY POA incorporated those terms as well. Changing those terms would require NYK's written agreement – and that has not been given. That was the reason that NYK's demanded that DFY waive FFC here.

The Tariff-156 (*CX “A”, NYK 54886 and DFY Rule 230 Motion*) identifies that the “application of rates and charges” (the “tariff rate”) does not “appl[y]”. This inherent ambiguity is compounded by the lack of any “tariff rate” that could possibly modify that the universally understood and accepted definition of “gross freight” in the admiralty and maritime community.

The Decision's contrary interpretation has no factual or legal basis. The only reasonable interpretation is that Tariff 156 and Rule 9 have no applicable “tariff rate” to modify “gross freight” as the measure of FFC. *See, EPG Giacona v. Marubeni Oceano, (Panama) Corp.*, 620 3 F. Supp. 1560 (S.D. Tx. 1985) (interpreting tariff ambiguity in favor of the shipping public. The ambiguity was

Business Trust v. M/T Orange Sun, 855 F. Supp. 2d 131 (S.D.N.Y. 2012) (“gross freight” measure of damages for vessel loss.); *Laurin Tankers AM, Inc. v. Stolt, Inc.*, 306 F. Supp. 2d 645 (S. D. N.Y 1999).

⁹ The Commission can take judicial notice of NYKS Tariff – 156 and its contents. *See, e.g.*, §502.226. NYK and DFY agree that the excerpts from Tariff 156 and Rule 9 are genuine, accurate and in effect at all relevant times. *See also, Rule 161 and DFY's Rule 230 Motion.*

Similarly, the Bills of Lading prepared, processed and issued by DFY for NYK have already been introduced into evidence and are agreed by the parties to be the subject Bill of Lading terms at issue here.

compounded by contradictory information contained in the tariff.); *Gilbert Imported Hardwoods, Inc. v. 245 Packages of Guatambu Squares*, 508 F. 2d 1116, 1120 (5th Cir. 1975) *Mediterranean Shipping Company v. Best Tire Recycling, Inc.*, 215 U.S. Dist. Lexis 149793 (D.P.R. 2015)(Binding the carrier to its published tariff). With no applicable “tariff rate” the tariff applies and the Decision must be reversed.

- **Exception No. 6: The Decision Erroneously Determined That NYK, Despite Voluntarily Publishing A Tariff On An Exempt Cargo, Was Permitted To Violate 46 CFR §520.13(C)(1), Requiring Adherence To That Tariff.**

Ocean freight forwarder tariffs are governed by the Shipping Act of 1984 as amended by the *Ocean Shipping Reform Act of 1998*, 46 U.S.C. §§40101, *et seq.*, (“the Shipping Act”) and 46 CFR §§520.1, *et seq.* 46 U.S.C. Section 40501(a)(1) provides:

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.

§40501(b)(3) provides that “[a] tariff under subsection (a) shall ... state the level of compensation, if any, of any ocean freight forwarder by carrier or conference; ...”

The Federal Maritime Commission promulgates Shipping Act regulations to, *inter alia*, “ensure that carrier tariff publications are accurate and accessible and to protect the public from violations by carriers of section 10 of the Act,” and to allow the Commission to review and monitor the activities of controlled carriers pursuant to section 9 of the Act. 46 CFR §520.1(b)(3)-(4). The Commission requires that published tariffs “[s]tate the level of ocean transportation intermediary, as defined by section 3(17)(A) of the Act, compensation, if any, to be paid by a carrier or conference.” 46 CFR §520.4(a)(3).

Although shipments of “bulk cargo, forest products, recycled metal scrap, new assembled motor vehicles, waste paper and paper waste,” are excepted from this section, the Commissions requires that “[c]arriers or conferences which voluntarily publish tariff provisions covering otherwise exempt

transportation thereby subject themselves to the requirements of this part, including the requirement to adhere to the tariff provisions.” 46 CFR §520.13(c)(1). Because NYK voluntarily published NYKS Tariff -156 including Rule 9, NYK must “adhere to the tariff provisions”. The Decision erred when it ignored this requirement and, in addition, determined that the tariff was inapplicable to DFY’s claim for FFC.

- **Exception No. 7: The Decision Erroneously Reversed The Burden Of Proof On NYK’s Affirmative Defense And Determined That The Existence Of Service Contracts Between NYK And A Shipper Absolve NYK Of Its Obligations To Adhere To NYK’s Own Voluntary Tariff Provisions Related To Third-Parties.**

The Decision held that DFY was not entitled to FFC from NYK, as a matter of law, because “the shipments at issue were not transported under the tariff but rather under the service contracts,” and “DFY has not established as a matter of law that the tariff applied to these service contract shipments.” (See *Id.* at 15, 27). In so stating, the Decision reversed the burden of proof from NYK who asserted the Affirmative defense of a service contract – to DFY, who now had to show that the Tariff applied to “these service contract shipments.” *Id.*

DFY should have only had to show that the Tariff applied to these shipments, not “these service contract shipments”. The service contract is between Ford and NYK. No one claims – and the decision did not hold – that Ford or NYK could ever contract away DFY’s entitlement to FFC under the Tariff.

DFY has demonstrated that the Tariff applies in several ways.

The Tariff applies by contract between NYK and DFY – as the NYK/DFY POA subjects their agreement to NYK Bill of Lading terms that incorporate the Tariff.

The Tariff applies by operation of the Commission’s Rules. 46 CFR §520.13(C)(1)

The Tariff applies because NYK demands that it does in every Bill of Lading issued by DFY for Ford. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

The Tariff applies because NYKS Tariff 156 requires every Bill of Lading issued to incorporate the Tariff.

And the Tariff applies by its terms – it has no applicable tariff rate - and FFC is calculated on the “gross freight”. The facts demonstrate the tariff’s applicability, despite the existence of a service contract.

While imposing the obligation upon DFY to establish that the Tariff applied over the service contract, the Decision reasoned, in part, that because the NYK/Ford service contracts are silent on the issue of freight forwarder compensation (i.e. did not include language on the issue or incorporate the Tariff) **and** because the Tariff did not incorporate the NYK/Ford service contracts, that the service contract eliminates the tariff obligations. *id.* At 20-21. The consequence of this holding, if it is allowed to stand, would be to amend several different sections of the Commission’s regulations related to tariffs, service contracts, and FFC, in ways the Commission has not proposed.

- **Purpose of Tariff and Service Contract Regulations**

The Decision briefly discusses the purpose of the Commission’s tariff regulations but does not consider this purpose in effectively writing new regulations. The Purpose of the Commission’s tariff regulations are set out in *46 C.F.R. § 520.1(b)*, which provides that “[t]he requirements of this part are intended to permit:

- (1) Shippers **and other members of the public** to obtain reliable and useful information concerning the rates and charges that will be assessed by common carriers and conferences for their transportation services;
- (2) Carriers and conferences to meet their publication requirements pursuant to section 8 of the Act (46 U.S.C. 40501-40503);
- (3) The Commission to ensure that carrier tariff publications are accurate and accessible and **to protect the public** from violations by carriers of section 10 of the Act (46 U.S.C. 41101-41106);and
- (4) The Commission to review and monitor the activities of controlled carriers pursuant to section 9 of the Act (46 U.S.C. 40701-40706). (emphasis added).

Here, the Commission makes it clear that carrier tariffs affect all members of the shipping public and that each has an interest in accurate and reliable tariff publications.

The Decision discusses the history and definitions of service contracts, and confirms that that service contracts are “between one or more shippers, on the one hand, and an individual ocean common carrier or an agreement between or among ocean common carriers on the other...” *id.* at 9 (quoting 46 U.S.C. §40102(20)). It also recognizes that “unlike tariffs, which unilaterally provide for rates and practices, service contracts are **commercial agreements between independent parties** which, in addition to rates and services, may contain other terms completely foreign to the traditional tariff.” *id.* At 23 (citing *Application of Evergreen International (U.S.A) Corp. for the Benefit of Service Contract Shipper (“Evergreen ALJ”)*, 24 S.R.R. 575, 579 (ALJ 1987)) (*emphasis added*). It does not note the purpose of the Commission’s regulations on service contracts, which is “to facilitate the filing of service contracts and the publication of certain essential terms of those service contracts as required by section 8(c) of the [Act] (46 U.S.C. 40502)” and to “[enable] the Commission to review service contracts to ensure that these contracts and the parties to them comport with the requirements of the Act.” (See 46 C.F.R. §530.1). This authority attests that service contracts, as defined and treated by the Shipping Act and the Commissions Regulations, are agreements exclusively between shippers and carriers.

The Decision does not contemplate the unquestioned purposes and definitions of tariffs and service contracts in deciding that the existence of service contracts could negate the rights of freight forwarders even when those contracts do not refer to the freight forwarders Rule or the carrier’s tariff and the tariff does not cite the service contracts. If it had, it would not have been so quick to disregard the Commission’s acknowledgment that service contracts might not be able to adjust the level of freight forwarder compensation due under a tariff, let alone eliminate it.

- **Service Contracts Do Not Alter Freight Forwarder Compensation In Tariffs**

The Decision presupposes that the terms of service contracts between shippers and carriers automatically render all of the terms in the carrier's tariff applicable to the kinds of shipments being made unless the service contract actually incorporates the tariff or vice-versa. *id. At 21, 24-26*. In doing so it fails to see that tariffs, by their definition and purpose, reflect the terms of relationships between carriers and the greater shipping public, including shippers, while service contracts deal only with the relationship between carriers and the shippers (i.e. the actual parties to the contracts).

This distinction was not lost on the Commission when it issued the *Impact of the Ocean Shipping Reform Act of 1998* (FMC Report, Sept., 2001). There, the Commission stated that it was unclear from the Shipping Act whether parties to shipping contracts could alter the freight forwarder rate of compensation in the carrier's tariff at all. Specifically, the Commission admitted that it did not know if "Congress intend[ed] that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under shipping contracts. *id. At 49*. Following this Report, the Commission promulgated no Regulations which purported to answer this concern, and Congress made no changes to the Shipping Act to address this issue.

Judge Wirth asserts that Congress or the Commission's failure to affirmatively state anywhere that shippers and carriers could change the freight forwarder compensation rates by their own agreement is not relevant to this present case because "the level of compensation is not at issue and there are no allegations that the service contracts set the freight forwarder rate." (*See id.*, p. 12). What Judge Wirth is suggesting here is that it might be true that shippers and carriers might not be able to lower/raise freight forwarder compensation rates described in tariffs through terms of service contracts, but they can eliminate freight forwarder compensation entirely by merely failing to mention it at all in the service

contracts. This logic would lead to the absurd conclusion that shippers and carriers might not be able (without freight forwarders knowledge or permission) to lower a tariff freight forwarder compensation rate from 2% to 0.0000002% by stating the change in a service contract, but they can lower it all the way to 0% by simply not making any reference to freight forwarder compensation. Despite the possible “legitimate business reasons that parties, particularly ocean common carriers, might want to consider freight forwarder costs when negotiating service contracts” (*id. At 12*), it is a clear misinterpretation of the intent of both Congress and the Commission in the Decision to assume that carriers can reduce freight forwarder costs to nothing by simply entering into service contracts (like those in the instant case) that are 1) completely silent on the issue of FFC; 2) are confidential and not filed with the Commission; 3) go undisclosed to freight forwarders; and (4) while a published tariff on the same cargo promises FFC – with no analysis or even mention of how that could be.

There is no legal basis - no statute, regulation, or case law - in the history of maritime or admiralty law that supports a finding that the existence of a confidential service contract silent on FFC will secretly eliminate the published Tariff and Rule that promises it. Instead, she refers to Rules that allow carriers to cross-reference tariffs in service contracts. (See *id.*, pp. 24-26). Judge Wirth states that “[t]he rules are clear that reference to tariff provisions is optional and voluntary -- these rules do not suggest that reference to tariffs is automatic or required.” (See *id.*, p. 26). The Decision reasons that “[i]f tariff terms were automatically incorporated into every service contract, these rules would not be necessary as it would be clear that tariff rules applied to shipments transported via service contracts.” (See *id.*).

There is no dispute that parties to service contracts can reference a Tariff. Then, the Decision turns the permissive cross-reference rule on its head: she reads it to require incorporating tariff

provisions related to third parties into service contracts between only shippers and carriers. This is contrary to the purpose of the permissive cross-referencing rule which the Decision provides then ignores, which is “to allow **parties to the service contracts** more freedom and flexibility in their commercial agreements.” *id.* At 24 (quoting *OSRA Regs. – NPR, Service Contracts Subject to the Shipping Act of 1984*, 63 Fed. Reg. 71062, 71066 (Dec. 23, 1998) (*emphasis added*)).

It is especially telling that earlier this year, when the Commission decided to undertake the “first comprehensive review of the FMC’s service contract regulations in part 530 since the Commission promulgated implementing rules pursuant to OSRA ...” it did not amend any of those regulations to clarify that service contracts have the effect claimed by the Decision. *Final Rule on Amendments To Regulations Governing Service Contracts and NVOCC Service Arrangements*, issued March 29, 2017.

Service contracts allow shippers and carriers to negotiate terms of their relationship different than those contained in carriers’ tariffs. The Commission allows those parties to service contracts to reference tariffs into those service contracts, but neither it nor Congress has given shippers and carriers the ability or the right to contract away FFC obligations described and promised to third-party freight forwarders in carriers’ publicly available tariff. The Decision cites no authority that actually stands for this notion, and the Commission would never have questioned whether Congress intended for parties to service contracts to be able to reduce FFC incrementally if it believed the Regulations it promulgated allowed those parties to eliminate freight forwarder compensation without even saying so.

- **Exception No. 8: The Decision Impermissibly Construes Inferences From Material Facts Against Non-Movant DFY And Not In The Light Most Favorable To Non-Movant – Reverse Inferences.**

The Decision misapplied the Summary Decision standard in granting NYK’s Motion by in drawing inferences from contested, material facts in the movant’s favor and against non-movant DFY.

- **Notice of the NYK/Ford Service Contracts**

The Decision repeatedly relies on the “fact” that NYK notified DFY that the Ford shipments on NYK vessels were “being shipped pursuant to service contracts.” *id. at 2, 22 & 27*. In this instance, the Decision does not simply fail to view whether NYK ever gave DFY such notice in the light most favorable to DFY, as the non-moving party, she assumes a fact that is directly contrary to the record of the case. Even NYK doesn’t claim that DFY knew that NYK was operating under a secret service contract with Ford; or the terms to that contract.

NYK admits that it did not inform DFY of the existence of the NYK/Ford service contracts during the course of the negotiation of terms of the power of attorney executed by DFY and NYK, and no mention of a service contract between Ford and NYK is ever mentioned in the emails between DFY and NYK before that document was executed. (See *DFY’s Statement of Material Facts*, ¶¶79; *DFY’s Motion*). NYK confirmed that because these service contracts are confidential and unfiled, it is unaware of any legitimate way DFY could have gotten any access to them was to file the subject law suit. (See *DFY’s Statement of Material Facts*, ¶¶27, 71). NYK itself didn’t even know that it might have some “contractual defense” to DFY’s claims until August 2016! See, e.g., *NYK’s Motion to Amend Answer*.

The Decision was right to point out that notice would at the very least be required before any confidential, unfiled service agreement could possibly affect the rights of a third-party freight forwarder; there is just nothing in the record on which to base the Decision’s repeated conclusions that DFY was put on **any** notice regarding these contracts before the subject suit was filed.

DFY made two written demands for FFC prior to suit. NYK never responded. (CX “CC”)

DFY’s Petition was filed in January 2016. NYK’s first Verified Answer mentions no Service Contract. The Service Contract was never revealed to DFY until September 2016 in NYK’s Amended

Answer asserting for the first time that the Tariff allegedly did not apply. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- **NYK’s 2 Contradictory Verified Answers.**

NYK filed 2 separate and contradictory Verified Answers that, viewed in a light most favorable to DFY – questions the veracity of the alleged service contract defense.

The Decision did not weigh the contradicting Verified Answers filed by NYK. NYK’s first Answer made no mention that any service contract was significant. The second Answer asserted that the service contract was significant. These competing sworn statements – facts – permit an inference to be drawn against NYK as to the veracity of their interpretation of the language of the tariff – a question of fact. Instead, the Decision concluded, in NYK’s favor, that the late and contradictory service contract defense, combined with NYK’s demand that DFY waive FFC demonstrated “the fact that the cargo shipped pursuant to the service contracts rather than the tariff, so that the tariff, by its express provisions, did not apply.” *Id. at 20*. This was fundamental error.

The Decision did not weigh the contradicting Verified Answers filed by NYK. Drawing an inference from NYK’s 9 month delay in even asserting the service contract defense and NYK’s failure to mention it in the 1st Verified Answer can undermine the factual basis for the Decision’s conclusion that either “NYK Line made DFY aware that the cargo was being shipped via service contracts,...”; *id. at 27*; “the Waiver Request put DFY on notice that the cargo was being shipped under confidential service contract...?” *Id. at 22*; or that “DFY had actual knowledge that the cargo was being shipped pursuant to service contracts...” *Id. at 2*.

While there remains no evidence to support these conclusions, the entire Decision was founded on this alleged “notice”. For this reason alone, the Decision should be reversed.

DFY, as a member of the shipping public, specifically asked NYK whether NYK would honor their published tariff. No answer was forthcoming. DFY reasonably concluded that Tariff 156 and its Rules meant what it said, and that under all **known** applicable law and all **known** facts, NYK would adhere to Tariff 156 and its Rule's provisions.

Moreover, in light of NYK's continuous demands that DFY waive FFC, NYK's multiple back-door attempts by NYK to convince Ford to amend the Ford service contract to waive DFY's right to FFC; NYK's multiple requests to Ford to bring pressure on DFY to waive FFC; highlights NYK's bad-faith conduct and demonstrates that their current claimed service contract defense is not undisputed, or a simple legal question. The shipping public and any of their "wise counsel" would have available the current tariff & Rule and a non-responsive carrier secretly working the back channels to Ford to acquire an agreement to eliminate DFY's FFC right. If NYK was not going to honor its tariff, it could have said so.

Under the Decision's reasoning, NYK's refusal to respond or engage in a discussion, or even respond to three demands for FFC in September 2015, December 2015 and January 2016, is DFY's tough luck. Under the Decision's reasoning, since the parties could not agree on the language of a Power of Attorney that included FFC, the Commission will offer no recourse to enforce published tariffs, or its own regulations.

The Decision concluded that NYK's refusal to answer DFY's question as to whether NYK would honor their applicable tariff to mean "that the cargo shipped pursuant to the service contracts rather than the tariff, so that the tariff, by its express provisions, did not apply." (*Id. at 20*). There is no evidence to support this conclusion, let alone to draw this inference in NYK's favor. (CX "W")

- **The Power of Attorney.**

The Decision concluded that the NYK/DFY POA was a “relevant” document to demonstrate DFY’s lack of entitlement to FFC. It isn’t.

The Decision concluded that “the silence in the agreement” (the “POA”) makes the POA ambiguous. (*Id. at 19*). There is no claim that the POA is ambiguous. This POA was not intended by the parties to resolve the FFC issue. It is an integrated agreement. The pre-POA communications demonstrate NYK’s multiple attempts to pressure, threaten or persuade DFY to waive any potential claim for FFC. In comparison, the Decision could have said that “the silence in the [tariff]” makes the tariff ambiguous. That wasn’t done, and should have been.

Rather, the POA actually demonstrates that the NYK’s tariff applies. The POA specifically incorporates the NYK B/L terms. NYK Bills of Lading - created by DFY and prepared, processed and issued by DFY – that specifically incorporate NYK’s Tariff.

Instead, the Decision took this fact and drew the inference against DFY. This is fundamental error.

The Decision even construed the facts surrounding the pre-POA email exchanges against DFY. The decision determined that the “primary issue of contention was whether DFY was acting as a freight forwarder and was entitled to compensation”. That was not the case. The primary issue was NYK’s demand that DFY waive FFC obligations. (*Id. at 15 and CX “W”, DFY’s MSD and Proposed Statement of Facts, paras. 56-80*).

Then, the Decision interprets this exchange as a basis to conclude that DFY knew about the Ford/NYK service contract. *See, Supra at 30*.

- **The Absence Of Any Mention In The Tariff That FFC Would Not Be Applicable To Service Contract Shipments.**

The Decision erred in interpreting the absence of any mention of a non-tariff, negotiated, service contract or any other kind of “rate” in Rule 9 and then viewing the factual inferences from that ambiguity against DFY, the non-moving party. Instead, the Decision determined that despite the bill of lading terms incorporating the tariff, the Power of Attorney that incorporated those bill of lading terms, and the fundamental universally accepted understanding of “gross freight” in admiralty and maritime, she disregarded the clear phrase “[t]he compensation which is paid under this rule shall be on the gross freight.” Instead, the Decision relied upon the next sentence with the phrase “the gross freight includes the tariff rate and Heavy Lift and Extra Length charges, if applicable”, when the tariff itself described that the rate, heavy lift and extra length charges were not applicable. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

The Decision drew inferences in favor of NYK and against, DFY, the non-moving party when it determined that the term “includes” actually means the “definition” of “gross freight” as the “tariff rate” when there was no factual or legal basis to make that determination.

At best, the terms are ambiguous and must be construed in favor of DFY under interpretive law as well as the standard applied in deciding summary decision motions. This was error.

The Decision disregarded fundamental facts of the case to the effect that NYK knew that the tariff applied and simply tried to use economic force to have DFY waive freight forwarding compensation by threats, entreaties to Ford to pressure DFY the wave FFC (ex.), multiple post-POA requests to Ford to change the terms of the Service Contract to specifically waived freight forwarding compensation, (CX “W”); the First Amended Verified Answer which mentions nothing about the tariff not being applicable after NYK had ignoring three pre-suit FFC demands from DFY (CX “CC”).

Inferring from these facts that there was no legitimate interpretation of the tariff language different from DFY's - the non-moving party – was required.

It certainly is an error of both fact and law take these facts and conclude that these facts demonstrate DFY's notice that the tariff did not apply, that the Ford/NYK service contract did, and that DFY knew that in March 2015.

- **Shipment of Non-Commercial Vehicles**

The Decision points out that there remains a factual issue as to “whether shipments contained new assembled motor vehicles.” (*See id.*, p. 15). This fact is material to the present case because NYK’s defense relies on service contracts NYK did not file with the Commission and for whom essential terms were not filed or otherwise made public. (See *DFY’s Statement of Material Facts*, ¶¶27, 71). NYK would have had to file these service contracts and make essential terms public if the Ford shipments do not qualify as “new assembled motor vehicles,” which is one of the categories of cargo exempt from filing requirements. (See 46 C.F.R. §530.13(a)(4)). A “motor vehicle” is defined by the Commission as “a wheeled vehicle whose primary purpose is ordinarily the **non-commercial** transportation of passengers, including an automobile, pickup truck, minivan or sport utility vehicle.” (See 46 C.F.R. §530.3(m)). Both of the NYK/Ford service contracts, by their own express terms, cover the shipment of both “passenger and commercial automotive vehicles by ocean vessel.” (See *DFY’s Statement of Material Facts*, ¶¶20, 70).

In this affirmative defense, NYK needs to establish that the NYK/Ford service contracts are valid and recognizable. Ignoring for the moment that these contracts do not purport to limit DFY’s FFC claim, such a determination is contingent on the kind of cargo included in the Ford shipments and whether NYK was except from disclosing these contracts. If the “number of shipments involved” remains a

factual question requiring denial of DFY's Motion, the type of shipments should be an equal impediment to NYK's Motion. The Decision expressly assumes that "all of the motor vehicles shipped under Ford service contracts were noncommercial and new." (*See id.*, pp. 13-14). In doing so, Judge Wirth again impermissibly weighs disputed facts in the movant's favor.

- **Industry Practice on Freight Forwarding Compensation with Service Contracts**

In making factual determinations as to what understanding the "industry" possesses on the effect of service contracts on freight forwarding compensation, the Decision relied upon a "Commentary" article published in 1999 in the Journal of Commerce – a pre-OSRA – in support of the determination "that the industry appreciates the distinction between tariffs and service contracts". *Id.* at 23 – 24. The quoted material contends that "[f]orwarders desiring compensation for shipments moving under service contracts must see to it that the pact contains a compensation provision." *id.* This article does not actually address the interplay between tariffs and service contracts – in fact the article never mentions tariffs. The article does not state that this is (or was in 1999) the industry practice; it only offers a prediction of what might occur (without reference to any authority) after the Ocean Shipping Reform Act "takes effect May 1..." *id.*

The Decision adopts the future predictions of this article as what the "industry appreciates." Deeming this Commentary as any kind of authority in NYK's favor further compounds the error in the Decision to weigh factual claims against NYK as it relates to its motion.

Further, the "Commentary" is not relevant to the inquiry here. The "Commentary" does not mention the word "tariff", does not discuss tariffs or how they may interplay with service contracts and does not consider the situation where a published tariff promised FFC and the carrier refused to honor it.

There is no factual basis in the record to determine that this represents a “industry” view either. This “Commentary” is relied upon; yet the tariff, “a publication widely available well known within the industry”, was not! The Decision’s reliance on this article, interpreting it to be a “industry” view, adopting it in support and then ignoring the only NYK publication to the shipping public on FFC payments demonstrates clear error.

- **Exception No. 9: The Decision Wrongly Applies the Waiver of Freight Forwarder Compensation by DFY’s Predecessor on Ford Shipments – Again Impermissibly Drawing Inferences From Evidence In Favor Of The Moving Party.**

If the Decision wanted a more relevant take on what the industry of ocean carriers “appreciates” as to its obligations to freight forwarders when there exists service contracts, it need look no further than NYK’s own conduct with regard to all automobile manufacturer shipments other than those for Ford: NYK continued paying freight forwarder compensation on all of those shipments (even where there were service contracts) until it amended Rule 9 of its Tariff to remove compensation for automobile cargo. (See *DFY’s Statement of Material Facts*, ¶84). NYK understood that it had to pay this compensation regardless of their service contracts to all forwarders who did not waive their compensation. The actual reason NYK refused to pay DFY compensation is NYK’s belief that the waiver of compensation executed by DFY’s predecessor as freight forwarder on Ford shipments (Schenker, Inc.) should somehow also extend to DFY.

The Decision asserts a bases for granting the NYK’s Motion that “NYK had indicated to DFY that it would not pay freight forwarder compensation, and such compensation had not been paid to the previous provider.” (See *id.* p. 2). In so doing, the Decision implies that Schenker’s waiver is binding on DFY. There is absolutely nothing in the record of the case to suggest that there was ever any relationship between Schenker and DFY that would justify enforcing any contract executed by Schenker

against DFY, and NYK offers no such contract as “proof” that DFY ever waived that right. The Decision cites no authority to support this position, in the Shipping Act, the Commissions Regulations, or elsewhere. Schenker’s waiver can and should have no effect on DFY and cannot form any factual or legal basis for granting NYK’s Motion. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- **Exception No. 10: The Decision Erroneously Suggests Freight Forwarders Must Reach Agreements with Ocean Carriers in Order to Merit Compensation.**

When the Decision references the Schenker waiver, not to suggest that it is enforceable against DFY, but instead as proof of what “wise counsel” or freight forwarders, themselves should do to “address possible issues when drafting an agreement to ensure that both parties have the same understanding to avoid costly litigation” (see *id.*, p. 22) the reference is equally misplaced. Again drawing an inference from the facts against the non-moving party.

There are no provisions in the Shipping Act, or sections of the Commission’s corresponding Regulations that require freight forwarders to obtain an agreement with ocean carriers that they will pay freight forwarder compensation. To the contrary, freight forwarders are entitled to rely on the information obtainable through public tariffs and publicly accessible essential terms of service contracts to determine whether they are entitled to compensation, what they must do to merit such compensation, and in what amount. Freight forwarders similarly have no affirmative duty to obtain confirmation from ocean carriers that they will adhere to applicable tariffs before the freight forwarders begin service on shipments. Yet, in an abundance of caution, that is what DFY attempted to do prior to the execution of the NYK/DFY power of attorney. (CX “W”) NYK refused to answer whether it would observe its tariff as it related to freight forwarder compensation. Instead, NYK threatened DFY, put pressure on DFY’s

business partners, tried to change the Ford/NYK Service Contract and then advised DFY that it would not pay FFC because DFY's predecessor waived FFC. (See *id.*).

A notification by an ocean carrier that it "was refusing to pay freight forwarder compensation" based on a waiver that DFY never made creates no duty at all on the part of a freight forwarder; it only alerts it that there is a stated chance that the ocean carrier will violate its tariff, the Shipping Act, and Commission Regulations. DFY and its counsel analyzed all information made accessible by NYK that related to whether DFY would be entitled to compensation if it performed the requisite freight forwarding services, and reasonably relied on Tariff 156 and its Rule 9 – the only public information available. DFY was not and could not have been aware of any service contracts between Ford and NYK, and there was no authority that stated that it would be deprived of compensation on freight forwarder compensation described in NYK's Tariff if such confidential, unfiled contracts silent on the issue of freight forwarder compensation existed. In the circumstances, there was no legal or factual reason for DFY to act differently.

- **Exception No. 11: The Decision Creates Adverse Public Policy Consequences.**

The Decision should also be rejected insofar as it grants NYK's Motion based on the public policy consequences that must, but weren't, considered.

The Decision would not just have the effect of depriving DFY of its right to compensation for work performed in nearly a twenty (20) month period, on shipments for which NYK was paid approximately \$40,000,000. (See *DFY's Statement of Material Facts*, ¶85; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶85). The conclusion, that confidential, unfiled, service contracts silent on the issue of freight forwarder compensation eliminate freight forwarders' rights to compensation under applicable tariffs, can provide the basis for a number of

lawsuits by ocean carriers to recuperate sums already paid to freight forwarders when a service agreement exists.

Moreover, this holding could subject freight forwarders to prosecution by the Commission for violating 46 C.F.R. §515.42(d)'s prohibition against "accept[ing] compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s)." For example, in this case, accepting nothing.

There is nothing in the history of the Shipping Act or the accompanying Regulations to suggest that creating these issues was ever the intent of Congress or the Commission. Yet, the Decision would have the inevitable effect of commencing litigation to decide these very questions, and awarding judgment to ocean carriers and against freight forwarders without so much as a formal hearing. These public policy concerns should be considered by the Commission.

IV. CONCLUSION

NYK voluntarily published NYKS Tariff 156 promising FFC on auto cargo. There is no "tariff rate" applicable. Thus, according to the tariff, FFC was to be calculated at 1.25% of the "gross freight".

All NYK bills of lading incorporate the tariff.

NYK and DFY have a POA contract that also specifically incorporates NYK's bills of lading terms and subject all shipments to those terms. NYK's bill of lading terms incorporate the tariff.

NYK voluntarily published Tariff 156 and promised to pay FFC. NYK was not obligated by statute or regulation to issue a tariff that promised to pay freight forwarder compensation on shipments of automobile manufacturer cargo; it voluntarily did so. Once, it did, NYK was obligated to adhere to that tariff pursuant to The Shipping Act and corresponding regulations promulgated by the Commission until such time that that provision was amended or revoked.

NYK could have amended its Tariff to before DFY began performing freight forwarding services on Ford shipments on NYK's vessels, or immediately after DFY demanded compensation under the Tariff for such services, or as soon as DFY initiated the subject litigation; instead, NYK waited until nearly twenty (20) months after DFY began that work and over nine (9) months after the Complaint in this matter was filed to do so.

The Decision holds that NYK is not responsible for paying FFC during the period DFY performed freight forwarding services on Ford shipments on NYK's vessels while Rule 9 of the Tariff was still effective (even though NYK paid DFY and other freight forwarders such compensation on shipments for other automobile manufacturers through November 2, 2016) because of the existence of unfiled, confidential service contracts between only NYK and Ford. This holding has no basis in The Shipping Act, the Commissions regulations, the language of the Tariff, the language of the subject service contracts, or in any known caselaw and would disrupt the framework carefully created by Congress and the Commission regarding freight forwarders, tariffs, and service contracts in ways neither Congress nor the Commission has previously considered.

Without legal or factual bases for releasing NYK from its duty to pay DFY FFC under the applicable terms of the Tariff, and because there is no genuine dispute as to what activities DFY performed on the shipments of Ford cargo on NYK's vessels, summary decision in DFY's favor is appropriate.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: September 6, 2017

By: _____

Thomas J. Wagner, Esquire

Law Offices of Thomas J. Wagner, LLC

8 Penn Center, 6th Floor

1628 John F. Kennedy Blvd.

Philadelphia, PA 19103

tjwagner@wagnerlaw.net

Tel.: 215.790.0761

PA Bar ID No. 52876

Attorneys for Complainant, D. F. Young, Inc.

BEFORE THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
NYK.	:	

CERTIFICATE OF SERVICE

The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Complainant D.F. Young, Inc.'s Exceptions to Initial Decision Denying Complainant's Summary Decision Motion and Granting NYK's Summary Decision Motion Dated August 1, 2017 via Fed Ex Overnight and email on the following at the addresses provided:

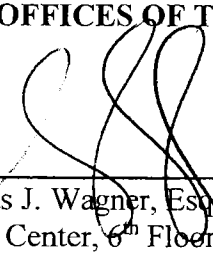
Paul M. Keane
Joseph De May, Jr.
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
pkeane@cckd-ny.com
jdemay@cck-ny.com
Attorneys for NYK, NYK Line (North America), Inc.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: September 6, 2017

By:



Thomas J. Wagner, Esquire
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel: 215.790.0761
PA Bar ID No. 52876
Attorney for Complainant, D. F. Young, Inc.